PART II - OBSERVATIONS AND RECOMMENDATIONS

A. FINANCIAL AUDIT

Property, plant and equipment

1. **The accuracy of the reported balance of Property, Plant and Equipment (excluding Construction in Progress account) amounting to P3,534,929,341.19 could not be ascertained due to various errors and deficiencies noted, thus, fair presentation of balances presented in the financial statements at year-end are rendered doubtful.**

2. Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

3. Also, COA Circular No. 2020-006 dated January 31, 2020 prescribes the Guidelines and Procedures in the Conduct of Physical Count of Property, Plant and Equipment (PPE), Recognition of PPE Items Found at Station, and Disposition for Non-exisitng/Missing PPE Items, for the One-Time Cleansing of PPE Account Balances of Government Agencies for the purpose of the establishment of PPE balances that are verifiable as to existence, condition and accountability.

4. As at December 31, 2024, the Statement of Financial Position (all funds) of the City Government of Panabo showed a balance of P3,723,475,779.53 for its Property, Plant and Equipment (PPE), net of accumulated depreciation and exclusive of Construction in Progress accounts, with details as follows:

Table 1. Composition PPE Accounts exclusive of Construction in Progress accounts

PPE Account	Acquisition Cost	Accumulated Depreciation	Net Book Value
Land	P135,412,627.69	P0.00	P135,412,627.69
Land Improvements	69,783,945.84	32,435,997.56	37,347,948.28

PPE Account	Acquisition Cost	Accumulated Depreciation	Net Book Value
Infrastructure Assets	2,552,893,818.25	410,096,702.08	2,142,797,116.17
Building & Other Structures	1,400,189,019.18	445,156,426.41	955,032,592.77
Machinery & Equipment	514,919,642.34	326,685,067.21	188,234,575.13
Transportation Equipment	145,160,688.71	94,897,284.86	50,263,403.85
Furniture, Fixtures & Books	15,758,703.90	9,437,189.55	6,321,514.35
Construction in Progress	192,816,055.82	0.00	192,816,055.82
Other Property, Plant & Equipment	53,214,338.43	37,964,392.96	15,249,945.47
TOTAL	**P5,080,148,840.16**	**P1,356,673,060.63**	**P3,723,475,779.53**

5. Review of the balances of the PPE account revealed the following deficiencies:

A. Details of PPE obtained from the City Accounting Office (CAO) and submitted report of physical count from the City General Services Office (CGSO) revealed a total variance of P30,261,025.02 in several PPE accounts

6. For CY 2024, the CGSO conducted a physical count of the City's PPE items as at year-end which was reported in the Report of Physical Count of Property, Plant and Equipment (RPCPPE). However, comparison thereof with the PPE Schedules maintained by the City Accounting Office revealed discrepancies in the balances of several accounts as shown in the table below.

Table 2. Variances noted per PPE Account between Accounting and CGSO records

PPE Account	Acquisition Cost per CAO	Acquisition Cost per CGSO	Variance
Buildings	P583,150,845.45	P554,478,469.12	P28,672,376.33
Office Equipment	21,280,316.83	21,224,316.83	56,000.00
Information & Comm. Tech. Eqpt.	28,020,213.67	28,955,323.44	(935,109.77)
Motor Vehicles	135,619,986.30	135,868,405.22	(248,418.92)
Furniture and Fixtures	15,695,505.30	15,346,385.30	349,120.00
Total	**P783,766,867.55**	**P755,872,899.91**	**P30,261,025.02**

7. The noted variance amounting to P30,261,025.02 is inconsistent with the provision of COA Circular No. 2020-006. Section 5.12 thereof emphasizes that *"...property records shall be updated based on the results of the physical inventory and*

reconciled with the accounting records to come up with the reconciled balances of PPE accounts to be considered as the correct balances of the agency's PPEs."

8. According to the CGSO they have already conducted reconciliation with the CAO. However, since the submission to COA of the RPCPPE is earlier than the Financial Statement, which is on January 31, 2025 and February 14, 2025, respectively, the Supply Officer explained that there were acquisitions, transfers and disposals made in the accounting records in between the aforementioned periods. Additionally, further adjusting and reclassification entries may have been made as part of the CAO's account analysis and reconciliation of the PPE records.

9. However, details of the transactions representing the variance were not provided to the Audit Team, thus the claim was not verified thereby casting doubts on the fair representation of the PPE accounts in the financial statements as at year end. Nonetheless, the concerned offices assured their continued commitment in the reconciliation of the variances noted.

B. PPE items with carrying amount of P253,693,449.84 is yet to be subjected for request by the City Mayor to the Sangguniang Panlungsod for authority to transfer to various government agencies.

10. Under Paragraph 82 of IPSAS 17, the criteria in de-recognizing PPE is that future economic benefits or service potential associated with the property is no longer expected from its use and when subjected for disposal.

11. Review and examination of the records maintained by the City Accounting Office (CAO) for its PPE accounts revealed that properties with a total carrying amount of P326,266,177.64 still formed part of the City's PPE accounts despite being used, controlled, and under the possession by national government agencies (NGAs) and the barangays and are the ones enjoying its economic benefits. The breakdown of the said properties are presented in Table 3 with detailed information shown in *Annex D*.

Table 3. PPE items in the possession of various NGAs and barangays

PPE Account	No. of Items	End-User	Carrying Amount
GENERAL FUND			
Water Supply Systems	34	Various Barangays	P171,358,759.07
Other Infrastructure Assets	9	Various Barangays, BFP, PNP	9,268,599.56
Buildings	14	Various Barangays,	49,411,226.05

PPE Account	No. of Items	End-User	Carrying Amount
		DepEd, PNP	
Hospitals and Health Centers	4	Various Barangays	3,445,761.16
Other Structures	14	Various Barangays, PNP, Philippine Army	16,500,503.44
Information and Communication Technology Equipment	4	BFP, Office of the Congressional District	228,139.69
Communication Equipment	17	DepEd, DILG	162,903.66
Other Machinery and Equipment	7	Various Barangays, BJMP, DILG, BFP	822,723.28
Motor Vehicles	4	DILG, PNP	1,799,072.46
Watercrafts	2	PNP Maritime and Coastguard	3,150,809.89
Furnitures and Fixtures	4	DepEd, Regional and Municipal Trial Court	101,140.70
Other Property, Plant and Equipment	10	Various Barangays	1,956,434.43
Sub-total (GF)	**123**		**P258,206,073.39**
SPECIAL EDUCATION FUND			
Other Land Improvements	31	Department of Education	P14,837,230.08
Flood Control Systems	2		410,454.71
Water Supply Systems	8		2,045,546.25
School Buildings	15		34,034,987.51
Other Structures	15		12,521,598.25
Office Equipment	2		200,025.00
Information and Communication Technology Equipment	2		179,196.96
Communication Equipment	2		260,162.30
Sports Equipment	1		63,412.43
Technical and Scientific Equipment	2		148,836.32
Furniture and Fixtures	1		215,536.79
Sub-total (SEF)	**81**		**P64,916,986.60**
TOTAL	**204**		**P323,123,059.99**

12. Out of the 204 items totalling P323,123,059.99, 93 PPE items thereof, with carrying amount of P69,429,610.15, were already requested for transfer without cost to recipient agencies but was only approved by the Sangguniang Panlungsod on the ensuing year as per SP Resolution No, 25, series of 2025. On the other hand, 111 PPE items with carrying amount of P253,693,449.84 is yet to be

subjected for request by the City Mayor to the Sangguniang Panlungsod for authority to transfer to various government agencies.

13. According to CGSO, the City Government regularly conducts de-recognition of PPE after transferring the same to the concerned government agencies and barangays. They added that processing and preparations for the transfer without cost of various properties is scheduled every August of the year.

14. The inclusion of 111 PPE items renders the fair presentation of PPE account in the financial statement doubtful since it no longer passes the criterion under Paragraph 82 of IPSAS 17. Hence, it is proper to transfer these identified PPE Items to concerned government agencies. Finally, the continued existence of the said PPE in the books of accounts increases the burden on the part of the City Government in monitoring and reporting of the said properties.

C. Unserviceable and/or obsolete PPE items with net book value of P2,704,249.72 were not yet disposed and derecognized from the books

15. The Supply and Property Management Manual for Local Government Units, providing the guidelines on the disposal of property or supplies, states the following:

> Section 162. When Supplies or Property shall be Disposed of. – When supplies or property of any local government unit have become unserviceable for any cause or are no longer needed, the same shall be disposed of in accordance with the procedures prescribed in these rules and regulations.
>
> Section 163. Responsibility for the Disposal of Supplies or Property. – The provincial or city general services officer or municipal or barangay treasurer, as the case may be, shall be responsible for disposal of supplies or property of the local government.
>
> Section 195. Dropping of Book Value – After disposal, the book value of the supplies or property shall be dropped from the book of accounts in accordance with existing accounting and auditing rules and regulations.

16. The following terms are also defined on Section 4 of the same Manual –

Obsolete Property" is a property which has lost its efficiency either due to technological advancement, change of procedure, reorganization of a department or office, or completion of a project.

Unserviceable Property" is a property that is not operational. It may be economically repairable or beyond economical repair.

17. Review of the PPE Schedules, RPCPPE and Inventory and Inspection Report of Unserviceable Property (IIRUP) as at December 31, 2024 revealed that 135 items with carrying amount of P2,704,249.72 that were already **unserviceable/obsolete** were still recorded in the books of accounts of the Agency as shown hereunder in Table 4 and details presented in *Annex E*:

Table 4. Unserviceable/Obsolete properties still recorded in the books

PPE Account	No. of Items	Carrying Amount
Office Equipment	26	P144,401.70
Information and Communication Technology Equipment	50	548,356.68
Communication Equipment	4	35,260.92
Construction and Heavy Equipment	7	1,124,817.57
Technical and Scientific Equipment	8	79,045.41
Machineries and Equipment	5	39,080.58
Motor Vehicles	28	649,206.14
Watercrafts	2	43,345.75
Furnitures and Fixtures	1	3,159.75
Other Property, Plant and Equipment	4	37,575.22
Total	**135**	**P2,704,249.72**

18. Scrutiny of the reports further disclosed that out of the 135 disposable properties identified, only 42 items with carrying amount of P598,317.00 were included in the IIRUP and disposed on December 17, 2024 even though the remaining 93 items with carrying amount of P2,105,932.72 were already marked as unserviceable, defective and/or returned in the RPCPPE. Majority of these unserviceable properties were already identified in the prior year and included in the CY 2023 Annual Audit Report, however, these items remained recorded in the books and not yet derecognized.

19. According to the CGSO, the disposal of unserviceable properties last December 17, 2024, as approved by the Sangguniang Panlungsod as per SP Resolution No.

48, series of 2024, covered only those previously identified items in CY 2023 and prior years. The remaining undisposed items especially those returned in CY 2024 were not included in the previous request for disposal submitted to SP since these items are still subject for appraisal and technical inspection. Currently, the Inventory Committee is yet to convene for the next schedule for the disposal of the remaining unserviceable properties. On the other hand, the CAO stated that the necessary documentary required for the derecognition of the unserviceable properties where not submitted, thus, the continued inclusion thereof in the PPE accounts.

20. The non-disposal of unserviceable properties can have various negative effects which includes: 1) taking up space within government premises leading to congestion and inefficiency in the work areas; and, 2) diminished value due to prolonged exposure to natural elements and possibly to pilferage. On the other hand, timely and regular disposal of unserviceable property benefits the agency in the following:

a. Prevention of further deterioration thereby obtaining the fair return in case of sale;
b. Relieve accountable officers of unnecessary accountability; and
c. Make available usable space.

D. Subsidiary Ledgers classified as "For reclassification" and others with unknown details totaling to P3,110,708.19 were not supported with the list of PPE items composing thereof

21. Review on the composition of all PPE accounts of the City disclosed that there were thirteen (13) subsidiary ledgers classified as "for reclassification" or have unknown details totaling to P3,110,708.19 as summarized in Table 5 below and detailed in *Annex F*, viz:

Table 5. PPE subsidiary ledgers with unknown details

PPE Account	No. of SLs	Carrying Amount
General Fund		
Land	2	P704,302.63
Office Equipment	1	9,063.00
Construction and Heavy Equipment	4	392,126.64
Medical Equipment	1	7,187.88
Furniture and Fixtures	1	188,979.10
Sub-total (GF)	**9**	**P1,301,659.25**

PPE Account	No. of SLs	Carrying Amount
Special Education Fund		
School Buildings	1	P154,391.63
Other Structures	1	1,596,768.21
Furniture and Fixtures	1	22,089.10
Land	1	35,800.00
Sub-total (SEF)	**4**	**P1,809,048.94**
TOTAL	**13**	**P3,110,708.19**

22. Further verification showed that the balances were not supported with list of PPE items showing the composition thereof. According to CAO, these balances originated from the transition to electronic New Government Accounting System (eNGAS) from manual recording starting from January 1, 2006 to the present.

23. CAO further explained that during the setting-up of beginning balances under eNGAS, composition of the balances of these PPE Accounts were not identified due to the absence of relative supporting documents such as Property Ledger Cards. The CGSO also informed that they do not have records for the said accounts especially those that were acquired prior to the current personnel's assumption of office. Despite exhaustion of diligent efforts, they could no longer establish the composition of these accounts due to non-availability of persons knowledgeable of the transactions and due to long passage of time from the period of recording.

24. Based on the above circumstance, the management should have established the non-availability of the records of accountability of these balances and request the de-recognition of the balances in accordance with COA Circular No. 2020-006 dated January 31, 2020 in relation to the "One-Time Cleansing" of PPE account balances. The continued inclusion of these balances in the ending balances of PPE Accounts cast doubts on management assertion on the existence of the assets affecting the reliability of the information presented in the financial statements.

Recommendations:

25. We restated the prior years' recommendations to the Management as follows:

    a. The City Accounting Office (CAO) and the City General Services Office (CGSO) to fast-track the reconciliation of the PPE accounts in accordance with COA Circular No. 2020-006 dated January 31, 2020 and ensure the

swift and regular reconciliation of records of both offices pertaining to the City's PPE;

b. The CGSO to facilitate the transfer of the identified PPE Items and ensure compliance to documentary requirements and other procedures provided under applicable rules and regulations;

c. After completion of the transfer of the properties, the CAO to de-recognize the specified assets from the City's books of accounts and furnish the respective recipient national and local government agencies a copy of the Journal Entry Voucher together with the supporting documents to facilitate the recording in the latter's respective books of account; and,

d. For the unserviceable and obsolete properties, the CGSO to facilitate its immediate disposal and furnish the CAO the necessary supporting documents to enable its derecognition from the books

Management's Comments:

26. Management noted the observations and committed to comply with the audit recommendations. As to the unserviceable properties, those were not yet derecognized due to unavailability of the relevant documents since the sale through auction was conducted last December were not yet perfected.

Auditor's Rejoinder:

27. As to the SL accounts with unknown details, the management should apply for the "One-Time Cleansing" thereof to solve the current predicament. Variances between records should also be identified and reconciled by the CGSO and CAO immediately.

Property, plant and equipment – Construction-in-Progress accounts

28. **The reported Construction in Progress account balance for all funds as at December 31, 2024 amounting to P192,816,055.82 could not be relied upon due to the non-reclassification of completed projects to its proper asset accounts resulting to non-provision of depreciation expenses, non-recognition of incurred project costs, inclusion of accounts with unverified status and non-adjustment of accounts with system errors, thereby, misstating the**

Property, Plant and Equipment and Equity and Government Equity accounts by P8,454,691.29 as at year-end.

29. Section 50 of the New Government Accounting System (NGAS) Manual for LGUs, Volume I provides:

> Property, plant and equipment to be constructed may be classified as agency assets and public infrastructures. Agency assets are those to be used by the LGU concerned, like buildings, while public infrastructures are those to be used by the general public. The construction period theory shall be used in recording both types of assets. This means that expenses such as license fees and bonus paid to contractor for completing the work ahead of schedule, etc. during the construction period shall be added to the total cost of the project. However, liquidated damages charged to the contractor for delayed completion should be deducted from the total cost.
>
> During the construction period, agency assets and public infrastructures shall be taken up in the books as "Construction in Progress" with the appropriate asset classification. **As soon as the project is completed, the Construction in Progress for agency asset is closed to the appropriate asset account**." (Emphasis supplied)

30. Also, Commission on Audit (COA) Circular No. 2015-009 dated December 1, 2015, which prescribes the updated chart of accounts and its description in relation to the adoption of the International Public Sector Accounting Standards (IPSAS), *describes Construction in Progress (CIP) as cost or other appropriate value of government assets that are **still in the process** of construction or development. Said account shall be reclassified to the appropriate asset account upon completion.*

31. The CIP accounts (all funds) of the City Government of Panabo showed a total balance of P192,816,055.82 as at December 31, 2024. Details are shown in Table 6, as follows:

Table 6. Construction in Progress Accounts-12/31/2024

	Account Title	General Fund	SEF	Trust Fund	Total
1	Construction in Progress – Land Improvements	P1,804,289.40	P5,697,533.50	P0.00	P7,501,822.90
2	Construction in Progress –	115,627,879.13	0.00	20,879,500.60	136,507,379.73

Account Title		General Fund	SEF	Trust Fund	Total
	Infrastructure Assets				
3	Construction in Progress – Buildings and Other Structures	37,636,021.03	11,170,832.16	0.00	48,806,853.19
TOTAL		**P155,068,189.56**	**P16,868,365.66**	**P20,879,500.60**	**P192,816,055.82**

32. To determine the status of the above accounts as at December 31, 2024, the Audit Team reviewed and examined the Construction in Progress subsidiary ledgers and verified its status with the report submitted by the City Engineer's Office (CEO) and City Housing Section. An ocular inspection was also conducted on February 24-27, 2025 by the Audit Team to verify the actual physical status of the projects recorded under the CIP accounts.

33. Upon thorough examination and validation of the accounts, the following deficiencies were noted, viz:

Table 7. Completed Projects still recorded under CIP Accounts

Account Title	No. of Projects	Amount	Actual Cost Incurred	Variance/ Understatement	Unrecognized Depreciation
General Fund					
Other Land Improvements	1	P637,367.40	P999,348.00	P361,980.60	P73,007.92
Road Networks	4	21,665,672.89	38,901,103.69	17,235,430.80	4,586,849.76
Flood Control Systems	1	1,733,594.01	2,339,190.04	605,596.03	935,676.02
Water Supply Systems	1	1,474,069.33	4,996,852.20	3,522,782.87	12,029.46
Market Structures	2	2,240,261.80	10,809,796.60	8,569,534.80	497,794.16
Buildings	6	7,150,543.59	7,150,543.59	0.00	1,190,084.56
Other Structures	3	2,421,909.67	2,471,812.62	49,902.95	125,222.69
Sub-total	***18***	***P37,323,418.69***	***P67,668,646.74***	***P30,345,228.05***	***P7,420,664.56***
Special Education Fund					
Other Land Improvement	1	P5,697,533.50	P5,697,533.50	P0.00	P583,997.18
School Buildings	1	1,429,791.57	2,985,094.86	1,555,303.29	45,605.62
Sub-total	***2***	***P7,127,325.07***	***P8,682,628.36***	***P1,555,303.29***	***P629,602.80***
Trust Fund					
Parks, Plaza & Monuments	1	P192,620.00	P192,620.00	P0.00	58,642.09
Other Structures	1	187,307.16	187,307.16	0.00	124,871.44
Sub-total	***2***	***P379,927.16***	***P379,927.16***	***P0.00***	***P183,513.53***
Grand Total	**22**	**P44,830,670.92**	**P76,731,202.26**	**P31,900,531.34**	**P8,233,780.89**

**Details are presented in Annex G.*

A. Completed projects were still recorded under the Construction-in-Projects accounts and not yet reclassified to its proper asset account

34. Based on actual ocular inspection, affirmation by the project engineers and submission of Certificates of Completion and Inspection Reports, twenty-two (22) infrastructure projects totalling to P44,830,670.92 were verified to be 100% completed as to physical accomplishment and, yet, were still recorded as Construction in Progress and not yet classified by the City Accounting Office (CAO) to their appropriate asset accounts in contrary to the above-cited provision of the NGAS Manual. Evaluation of the records further revealed that the date of completion for these projects ranges from CY 2014 to CY 2024.

35. Inquiry with the CAO personnel revealed that projects recorded under several CIP accounts remained in such classification due to failure and/or delay of the CEO to submit the certificates of project completion and other supporting documents to warrant the transfer of the same to its appropriate PPE accounts.

B. The amount recorded in the CIP accounts is understated relative to the total cost incurred for each infrastructure project

36. Based on the review of the Statement of Appropriation, Allotment, Obligation, and Balances (SAAOB) from the current and prior years, as well as the program of works and contract costs, the total cost incurred for the 22 completed projects amounts to P76,731,202.26. As mentioned in Item A above, the recorded amount in the subsidiary ledger records only amounts to P44,830,670.92, thus, there is a variance of P31,900,531.34 cast doubts on the accurateness of the reporting the cost of affected PPE accounts.

37. The variance suggests that not all costs incurred for infrastructure projects have been properly recognized in the accounting records. This issue may arise due to several factors such as delayed or partial recording of costs, omissions or misclassification of expenditures and accounting or reporting errors.

C. Non-recognition of depreciation expenses for the completed projects

38. Due to the non-reclassification of the 22 completed projects from the CIP to its appropriate asset account, no depreciation expenses were provided therefor. The estimated depreciation expense of the above-completed projects amounted to at least P8,233,780.89. Non-recognition thereof resulted to the overstatement of the Property, Plant and Equipment and Equity as at December 31, 2024 by the same amount.

D. Unverified completion status of projects recorded in the CIP accounts

39. Status of completion for three (3) CIP accounts totaling P11,338,080.14 were not yet verified by the City Engineering Office and City Accounting Office due to unavailability of documents at hand, viz:

Table 8. CIP Accounts with Unverified Completion Status

	Fund	SL	Project Name	Amount	Remarks
1	Trust Fund	10710020-01-RN004	(POW lacking) Rehabilitation of Katipunan to Kasilak road -Katipuanan	P6,350,434.01	Liquidation by the Provincial Government of Davao del Norte (PGDDN) of the LGU Equity or city counterpart for the project implementation
2	General Fund	10710020-01-RN004	(POW lacking) Rehabilitation of Katipunan to Kasilak road -Katipuanan	2,829,416.81	
3	General Fund	10710020-01-RN007	FMR/PRDP PROJECT LITTLE PANAY-KATIPUNAN-KASILAK	2,158,229.32	Payment of road-right-of-way acquisitions
	Total			**P11,338,080.14**	

40. An Audit Query Memorandum (AQM No. 25-17 dated February 10, 2025) was sent to the City Engineering Office to request for any available documents and information pertaining the aforementioned projects. However, the CEO, in their reply letter, stated that they were not aware of the project and its corresponding funding until the receipt of the AQM since they did not prepare the POW nor implement the projects.

41. As per inquiry with the City Accounting Office, as to Item Nos. 1 & 2, there was a Memorandum of Agreement between the City Government of Panabo and Provincial Government of Davao del Norte (PGDDN) for the Rehabilitation of Little Panay-Katipunan-Kasilak Road. As per MOA, the City will provide counterpart funding for the project, referred as "LGU Equity", to the PGDDN as the main implementing agency. The fund transfer amounting to P6,350,434.01 and P3,000,000.00 was made on December 9, 2015 and November 6, 2017 under the Trust Fund and General Fund, respectively, and was recorded under "Due from LGUs" account. The amount recognized under the CIP accounts represents liquidations made by the PGDDN for the LGU Equity, of which the first

liquidation made was recorded in December 29, 2016 via JEV-2016-12-00751 and the latest liquidation was recorded on December 31, 2023 via JEV-2023-12-000475. As at December 31, 2024, the LGU Equity balance, as confirmed by the PGDDN, amounts to P170,583.19. According to the City Accountant, no Certificate of Completion has been furnished by the PGDDN, hence, the project is still recorded under the CIP account.

42. As to Item No. 3, the subsidiary ledger shows payments for the road-right-of-way acquisitions and crop damages due to the implementation of the same project from CYs 2016-2019.

43. There is a high probability that the said project is already completed considering that the period of implementation started as early as CY 2016.

E. CIP accounts with system errors and unadjusted balances

44. Further verification of the CIP accounts revealed subsidiary ledgers with systems errors and unadjusted balances, viz:

Table 9. CIP accounts with system errors and unadjusted balances

	Fund	SL	Project Name	Amount	Remarks
1	Trust Fund	10710020-01-RN002	(POW lacking) Construction of FTMR-Brgy. Malativas- DIDP Trust Fund	P220,910.40	System error in the e-NGAS in the beginning of CY 2010
2	Trust Fund	10710020-01-RN003	Construction of FTMR-Prk.03-Brgy. San Roque to Brgy. Malativas (416)-DIDP-Trust Liab.	26,798.36	Remaining balance after reclassification of completed project from CIP
	Total			**P247,708.76**	

45. For Item No. 1, at December 31, 2009, the project, which then has a recorded cost of P1,839,360.00 was reclassified from the CIP account via JEV-2009-12-000777, thereafter, the SL showed an ending balance of P0.00. However, for the succeeding year, at January 1, 2010, the records showed a beginning balance of P220,910.40. As per inquiry, this may be due to reversals/adjustments made to the closing accounting entries for CY 2009 which in turn may have caused an error in the e-NGAS balances. No adjustment has been made to the CIP account since then.

46. For Item No. 2, as at December 18, 2010, the account showed a balance of P367,411.25. In December 22, 2010, an adjusting entry was made for the transfer of completed project, however, it only amounts to P340,612.89, thereby leaving a balance of 26,798.36 in the SL records. Similarly, no adjustment has been made to the CIP account since then.

47. For those accounts with system errors and unadjusted balance, the projects are already completed in prior years as manifested by the reclassification entries made. Thus, the amount reported as at year-end amounting to P247,708.76 casts doubt as to the accuracy and reliability of the PPE records.

48. A summary of the noted misstatements and its effect on the Financial Statements is shown below:

Misstatement	Amount	Asset	Equity
Non-provision of depreciation due to non-reclassification of completed projects	P8,233,780.89	Overstated	Overstated
Non-adjustment of account with system error	220,910.40	Overstated	Overstated
Total Misstatement	**P8,454,691.29**	**Understated**	**Understated**

49. These observations had already been noted in CY 2023 and in the prior years. Even though management was able to reclassify several completed projects from the CIP to its proper asset accounts, the above-mentioned deficiency is still observed in the current year, hence, this restatement.

Recommendations:

50. We restated the prior years' recommendations to the Management as follows:

    a. The City Engineer's Office (CEO) to immediately submit to the City Accounting Office (CAO) the necessary supporting documents (i.e Statement of Work Accomplished, Inspection Reports, Certificates of Completion, Certificates of Acceptance, etc.) in order to recognized the incurred projects costs and reclassify the completed projects recorded under CIP accounts to the appropriate asset accounts;

    b. The CAO to coordinate with the Provincial Government of Davao del Norte to verify the completion status of the FMR/PRDP Project – Rehabilitation of

Little Panay-Katipunan-Kasilak Road in order to make the proper adjusting and reclassification entries for the said CIP account.

c. The CAO to prepare the necessary adjusting entries to recognize the incurred projects costs and reclassify the CIP account to its appropriate asset account upon receipt of necessary documents and to record the appropriate depreciation expenses.

d. The CAO to make the necessary adjustments to correct the balance of CIP accounts with system and reclassification errors.

Management's Comments:

51. The CEO informed that they have already endorsed to CAO the relevant supporting documents to facilitate the appropriate reclassification of CIP accounts. However, among the projects listed in Annex G, there were two (2) that has no necessary supporting documents available: (1) The Construction of Drainage System from National Highway to CPII Cagangohan, Panabo City– as per ocular inspection the project is physically completed but since it was several years ago, the office is still in search of relevant supporting documents on its completion. However, the CEO had already certified as to the existence of the completed project; (2) The Improvement of TB-DOTS and Other Structure-TF CHD Region XI – the CEO has no records such as the POW for the implementation of the project and was not included in previous AIPs as confirmed by the CPDO. The Office is still coordinating with CAO and CHO as to the existence of the fund and the project. Relevant documents shall be furnished to COA and CAO once available.

Auditor's Rejoinder:

52. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Cash and cash equivalents

53. **Cash and cash equivalents totaling P1,399,374,342.64 were noted with various discrepancies/errors due to lapses in the cash management control procedures thereby affecting the fair presentation of the balances in the financial statements at year end.**

54. International Public-Sector Accounting Standards (IPSAS) dictates:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs.

55. As of December 31, 2023, the total balance of Cash and Cash Equivalents of the City Government of Panabo amounted to **P1,399,374,342.64.** The account is composed of the following:

Account Name	Amount
Cash Local Treasury	P2,991,241.69
Cash in Bank – Local, Currency Current Account	1,396,383,100.95
TOTAL	**P1,399,374,342.64**

A. Book reconciling items in the BRS remained unadjusted in the books as at December 31, 2024 resulting to a misstatement in the Cash in Bank -Local Currency, Current Account (LCCA) by P4,334,182.70.

56. It was also observed that book reconciling items remained unadjusted in the books as at year end. Details of the reconciling items are presented in *Annex H-1*.

Table 10. Summary of Bank Accounts with unadjusted reconciling items

Bank Account	Ending Balance per Subsidiary Ledger, as at December 31, 2024	Reconciling Items (Additions)	Reconciling Items (Deductions)	Adjusted Balance per BRS, as at December 31, 2024
GF-Proper LBP 1742-1006-90	P817,482,090.78	P431,192.01	(P1,570,003.57)	**P816,343,279.22**
GF-Cemetery LBP 1742-1037-10	17,688,237.84	0.00	(18,184.50)	**17,670,053.34**
GF-Terminal LBP 1742-1033-46	22,953,029.51	0.00	(133,439.50)	**22,819,590.01**
GF-Slaughter LBP 1742-1037-29	12,546,190.19	207,164.86	0.00	**12,753,355.05**
GF-Market Operations LBP 1742-1008-35	106,308,421.59	0.00	(301,027.67)	**106,007,393.92**

Bank Account	Ending Balance per Subsidiary Ledger, as at December 31, 2024	Reconciling Items (Additions)	Reconciling Items (Deductions)	Adjusted Balance per BRS, as at December 31, 2024
SEF-Special Educational Fund LBP 1742-1006-81	71,662,741.62	0.00	(35,404.50)	**71,627,337.12**
TF-HCI Charges LBP 1742-1064-26	5,721,121.39	1,441,660.00	(73,811.35	**7,088,970.04**
TF-DSWD Programs and Services LBP 1742-1043-50	14,817,756.00	6,000.00	(600.00)	**14,823,156.00**
TF-Trust Fund Proper LBP 1742-1007-03	88,751,857.25	0.00	(50,194.74)	**88,701,662.51**
TF-Professional Fee LBP 1742-1064-34	2,634,498.18	64,900.00	(600.00)	**2,698,798.18**
TOTAL	**P1,160,565,944.35**	**P2,150,916.87**	**(P2,183,265.83)**	**P1,160,533,595.39**

57. This audit observation has been included in the Annual Audit Report for CY 2022 and 2023, however, similar conditions has still been observed in CY2024, thus, this restatement.

58. The CAO and CTO explained that they have already formally requested copies of the DMs/CMs to LBP, however, as of this date the audit team did not received any update regarding this matter.

59. Bank Reconciliation Statements are prepared every month to detect any discrepancies and errors between the accounting records and the bank, aside from those normal reconciling items due to timing differences. All valid reconciling items that require adjustments and corrections in the General Ledger must be recorded by the accountant through the preparation of Journal Entry Vouchers as stated under Section 3.3 of COA Circular 96-011 dated October 2, 1996. Items for reconciliation noted in the preparation of the monthly Bank Reconciliation Statements without effecting the adjustments in the books defeated its purpose.

60. As shown in Table 10, the non-adjustment of book reconciling items at year end resulted to a misstatement in the ending balance of Cash in Bank – LCCA totaling **P4,334,182.70**. Summary of the unadjusted reconciling items and its corresponding effect to Cash in Bank – LCCA and other affected accounts is presented in Table 11 while details are presented in *Annex H-2*.

Table 11. Summary of the effects on Cash in Bank, Local Currency, Current Account (CIB-LCCA)

Particulars	Total Unadjusted Reconciling Items, as at December 31, 2024		CIB-LCCA Understatement (Overstatement)	Other Accounts Affected
	CY 2024	CY 2023 and earlier		
Various Credit Memo (Addition)	P2,148,505.86	P0.00	**P2,148,505.86**	Receivables Government Equity
Various Debit Memo (Deduction)	(1,600,553.26)	(38,756.00)	**(1,639,309.26)**	Government Equity
Various Book Adjustments (Addition)	2,411.01	0.00	**2,411.01**	Cash Local Treasury
Various Book Adjustments (Deduction)	(543,956.55)	(0.02)	**(543,956.57)**	Government Equity
TOTAL VARIANCE	**P6,407.06**	**(P38,756.02)**	**(P32,348.96)**	

61. Consequently, the ending balance of Cash in Bank – LCCA as presented in the Statement of Financial Position is overstated by **P32,348.96**. Although the net effect of the reconciling items is immaterial, the huge amount of reconciling items totaling **P4,334,182.70** which is the absolute value, raises concern about the accuracy and reliability of the bank reconciliation process.

Recommendations:

62. We restated our prior year's recommendation to the Management that the CTO and City Accounting Office (CAO) coordinate and ensure that the book reconciling items in CY 2024 and prior years are adjusted in order that balances of Cash in Bank accounts and other affected accounts are corrected.

Management's Comments:

63. The CTO stated in their reply letter that they have already submitted the required documents to CAO. On the other hand, the City Accounting Office informed during the exit conference that necessary adjusting journal entries will be effected immediately upon receipt and verification of the supporting documents from CTO.

Auditor's Rejoinder:

64. The Audit Team's audit decision shall be finalized after the evaluation the management's written reply and the verifications of the documents to be submitted.

B. Non reconciliation of Cash-local Treasury and Cash in Bank – LCCA account balances between the records of City Accounting Office (CAO) and City Treasurer's Office (CTO) resulted in a variance of P826,903.13 and P27,433,809.21, respectively.

65. Section 74 of PD No. 1445 provides:

> Monthly reports of depositories to agency head. At the close of each month, depositories shall report to the agency head, in such form as he may direct, the condition of the agency account standing on their books. The head of the agency shall see to it that a reconciliation is made between the balance shown in the reports and the balance found in the books of the agency.

66. A comparison of the balances per General Ledger (GL) and records of the City Treasurer for various funds of the City Government of Panabo as at December 31, 2024 are presented in Table 12 and 13.

Table 12. Comparison of Cash – Local Treasury balance between CAO's and CTO's records

FUNDS	Cash – Local Treasury as at December 31, 2024		
	City Accounting Office	City Treasurer's Office	VARIANCE
General Fund – Proper	P1,451,086.71	P924,654.54	P526,432.17
Market Operations	581,622.59	517,798.29	63,824.30
Slaughter Operations	13,926.00	7,880.00	6,046.00
Terminal Operations	181,514.16	22,061.07	159,453.09
Cemetery Operations	214,770.57	143,623.00	71,147.57
Special Educational Fund	548,321.61	548,321.61	0.00
TOTAL/NET VARIANCE	**P2,991,241.64**	**P2,164,338.51**	**P826,903.13**

Table 13. Comparison of Cash in Bank – LCCA balance between CAO's and CTO's records

FUNDS	Cash in Bank – LCCA as at December 31, 2024		
	City Accounting Office	City Treasurer's Office	VARIANCE
General Fund – Proper	P817,382,090.78	P798,751,607.17	P18,630,483.61
Market Operations	106,208,421.59	105,797,153.28	411,268.31
Slaughter Operations	12,546,190.19	12,687,505.87	141,315.68

FUNDS	Cash in Bank – LCCA as at December 31, 2024		
	City Accounting Office	**City Treasurer's Office**	**VARIANCE**
Terminal Operations	22,953,029.51	22,640,254.69	312,774.82
Cemetery Operations	17,688,237.84	17,655,203.33	33,034.51
20% Development Fund	228,948,360.06	225,439,533.44	3,508,826.62
Special Educational Fund	71,662,741.62	74,503,472.64	2,840,731.02
Trust Fund -DSWD	14,817,756.00	14,823,156.00	5,400.00
Trust Fund Proper	88,751,857.25	88,676,636.44	75,220.81
Trust Fund – PCF	3,484,092.86	3,484,092.86	0.00
Trust Fund – Panabo Emergency	847,101.79	847,101.79	0.00
Professional Fee	2,634,498.18	2,698,798.18	64,300.00
HCI Charges	5,721,121.39	7,131,544.72	1,410,423.33
DBP	2,577,419.50	2,577,419.50	0.00
Mindanao Railway Project	30,151.89	30,151.89	0.00
MDG Faces	30.50	*Closed Account*	30.50
TOTAL/NET VARIANCE	**P1,396,253,100.95**	**P1,377,743,631.80**	**P27,433,809.21**

67. The records of the CAO and CTO have a net variance of P826,903.13 which is 27.64% of the total amount of Cash – Local Treasury and P27,433,809.21, which is 1.33% of the total amount of Cash in Bank - LCCA. The total misstatement amounting to **P27,433,809.21** representing its absolute value raises concerns about the accuracy and reliability of the Cash in Bank – LCCA account. The CAO explained that the variance was firstly incurred way back 2013 and 2014, and the personnel-in-charge in that particular year did not regularly reconcile with the CTO.

68. Reconciliation between records is vital and is an internal control procedure which aimed at ascertaining the reliability of the account balances. The absence of reconciliation between the accounting and treasury records, is resulted to unreliable recorded balance of Cash – Local Treasury and Cash in Bank - LCCA in the Financial Statement of the City as at December 31, 2024.

69. This audit observation has been included in the Annual Audit Report for CY 2022 and 2023, however, similar conditions has still been observed in CY2024, thus, this restatement.

Recommendations:

70. We restated our prior year's recommendation and the Management agreed that the City Accounting and City Treasurer's Office:

    a. reconcile the discrepancies noted between their records and to regularly reconcile the same so that errors and discrepancies in balances could be traced and accordingly adjusted; and,

    b. draw adjusting entries to correct the balances of affected Cash and cash equivalent accounts and to adjust balances in the CTO's Cash Books.

Inventories

71. **The accuracy of the reported balance of Inventory accounts amounting to P77,259,057.95 as at December 31, 2024 could not be ascertained due to various deficiencies noted, thus, fair presentation of balances presented in the financial statements at the year-end are rendered doubtful.**

72. Section 27 of the International Public Sector Accounting Standards (IPSAS) 1 also provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs.

73. Moreover, International Public Sector Accounting Standard (IPSAS) 12, "Inventories", prescribed the accounting treatment for inventories and provides guidance on the determination of costs and its subsequent recognition as an expense.

> Cost of Inventories
>
> Paragraph 18. The cost of inventories shall comprise all cost of purchases, cost of conversion, and other costs incurred bringing the inventories to their present location and condition.

Recognition as an Expense

Paragraph 44. When inventories are sold, exchanged, or distributed, the carrying amount of those inventories shall be recognized as an expense in the period in which the related revenue is recognized. If there is no related revenue, the expense is recognized when the goods are distributed or the related service is rendered. The amount of any write-down of inventories and all losses of inventories shall be recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories shall be recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs.

74. As at December 31, 2024, the Statement of Financial Position of Panabo City, Davao del Norte showed a balance of **P77,259,057.95** for its Inventory accounts, with details as follows:

Account Title	Account Code	Amount
Merchandise Inventory	10401010	P26,422,301.50
Food Supplies for Distribution	10402010	1,300,174.90
Drugs and Medicines for Distribution	10402030	749,409.75
Medical, Dental and Laboratory Supplies for Distribution	10402040	653,607.00
Agricultural and Marine Supplies for Distribution	10402050	808,713.00
Agricultural Produce for Distribution	10402060	242,450.00
Property and Equipment for Distribution	10402090	816,770.00
Other Supplies and Materials for Distribution	10402990	3,618,267.50
Office Supplies Inventory	10404010	3,231,335.85
Accountable Forms. Plates and Stickers Inventory	10404020	3,552,775.84
Non-Accountable Forms Inventory	10404030	93,601.50
Food Supplies Inventory	10404050	1,330,689.00
Drugs and Medicine Inventory	10404060	2,334,033.50
Medical, Dental and Laboratory Supplies Inventory	10404070	3,897,438.74
Fuel, Oil and Lubricants Inventory	10404080	464,480.00
Agricultural and Marine Supplies Inventory	10404090	1,466,929.78
Textbooks and Instructional Materials Inventory	10404100	44,168.00
Construction Materials Inventory	10404130	15,802,187.44
Other Supplies and Materials Inventory	10404990	8,098,539.65
Semi-Expendable Office Equipment	10405020	284,969.00
Semi-Expendable ICT Equipment	10405030	463,079.00
Semi-Expendable Disaster and Response Equipment	10405080	346,420.00

Account Title	Account Code	Amount
Semi-Expendable Medical, Dental and Lab Equipment	10405100	99,800.00
Semi-Expendable Sports Equipment	10405120	190,939.00
Semi-Expendable Technical and Scientific Equipment	10405130	48,896.00
Semi-Expendable Other Machinery and Equipment	10405990	249,000.00
Semi-Expendable Furniture and Fixtures	10406010	648,082.00
TOTAL		**P77,259,057.95**

75. We have reviewed the supporting documents in recording the costs and the issuances of the inventories accounts and found the following deficiencies:

A. Incomplete preparation of Report of Physical Count of Inventory (RPCI), non-preparation of Report of Physical Count of Semi-Expendable Property (RPCSP) and non-maintenance of Stock Ledger Cards (SLCs)

76. As of this date, not all inventory accounts were supported with the Report of Physical Count of Inventory (RPCI). Likewise, semi-expendable properties were also not supported with Report of Physical Count of Semi-Expendable Property (RPCSP). Only, RPCIs for Office Supplies Inventory and Construction Materials Inventory accounts were submitted to the audit team by the City General Services Office (CGSO). Although, some city offices/departments have submitted an RPCI, the costs of the counted inventories were not provided. Further verification showed that Subsidiary Ledger Cards (SLC) were also not maintained by the City Accounting Office (CAO).

77. COA Circular No. 2018-003 dated November 21, 2018, prescribes the use of the Internal Control Standards for the Philippine Public Sector (ICSPPS). Section 10.1.11 of Part IV – Internal Control Components of the ICSPPS provides that the management should establish physical controls to secure and safeguard vulnerable assets, such as cash, securities, inventories, and equipment. The guideline emphasizes the importance of periodically counting these assets and comparing the same with control records.

78. Chapter 7 – Accounting for Supplies or Properties under the National Government Accounting System (NGAS) Manual for Local Government Units (LGUs) and COA Circular No. 2022-004 dated May 31, 2022 have provided reports and forms to be maintained by government agencies to safeguard and account for inventories. The Report of Physical Count of Inventory (RPCI) and Report of Physical Count of Semi-Expendable Property (RPCSP) are forms used to report the result of the physical count of inventory items and to support management's assertion of the

existence of inventories. Meanwhile, Stock Cards (SCs), Semi-expendable Property Cards (SPCs), Supplies Ledger Cards (SLCs) and Semi-expendable Property Ledger Cards (SPLCs) are forms used by the Supply Division and Accounting Division to account for the receipt and issuance of every type of supply. The result of the physical count, as contained in the RPCI and RPCSP, needs to be periodically reconciled with the SCs, SPCs, SLCs, and SPLCs and any variance to be immediately verified to faithfully represent in the financial statements the actual state and condition of the inventory in accordance with IPSAS 1.

79. According to the GSO, they conduct physical count of inventories on a semi-annual basis, however, based on the above premise, the preparation of the RCPIs were still incomplete and RPCSPs were not prepared. On the other hand, CAO explained that their office was not able to maintain SLCs because eNGAS does not have a built-in feature for the said purpose. While an alternative solution would be to manually encode SLCs in other applications such as Microsoft Excel, this method presents several challenges. It would be time-consuming and require significant effort to record transactions for numerous inventory items. This would, in turn, increase the workload of accounting personnel, particularly since the LGU procures inventories on a monthly basis.

80. It should be noted, however, that government agencies are not constrained to use or establish other computerized system for inventory management as long as it complies with the procedures, controls, forms and reports as required in pertinent accounting standards and COA issuances. As such, the City Government may use or establish an electronic inventory management system to aid them in tracking, recording, and reconciling inventory balances more efficiently.

81. The semi-annual conduct of physical count, the maintenance of appropriate records such as the RPCI, RPCSP, and SLCs, and the subsequent reconciliation of accounting and property records, are all vital internal controls to ensure that Management's assertions as to the existence of its inventories, along with the reliability of its corresponding inventory balances, are indeed complete and accurate. The incompleteness or absence thereof resulted in the difficulty in ascertaining these assertions as reported in the LGU's financial statements.

Recommendations:

82. We recommended the Management that the:

a. City General Services Office (CGSO) after conducting the semi-annual physical inventory count for all inventory accounts ensure the timely and complete preparation of the RPCI and RPCSP, including other required inventory forms and reports;

b. City Accounting Office (CAO) establish and maintain SLCs and other inventory forms and reports for all inventory items as prescribed under existing COA issuances; and,

c. CGSO, in coordination with CAO, establish an electronic inventory management system to streamline inventory tracking, recording, and reconciliation.

Management's Comments:

83. Management was amenable with the above-noted observations and expressed commitment to the compliance of the audit recommendations

84. Furthermore, on their letter received on March 24, 2025, the CGSO requested for additional time of ten (10) days to submit their written response as the office is still in the process of discussing issues raised in the audit observation memorandum and to compile pertinent supporting documents therefor.

Auditor's Rejoinder:

85. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

B. Unreconciled variance between General Ledger (GL) and the Reports of Physical Count of Inventory (RPCI) totaling P15,672,827.54

86. Section 74 of PD No. 1445 provides:

> Monthly reports of depositories to agency head. At the close of each month, depositories shall report to the agency head, in such form as he may direct, the condition of the agency account standing on their books. The head of the agency shall see to it that a reconciliation is made between the balance shown in the reports and the balance found in the books of the agency.

87. A comparison of the balances between the General Ledger and the Reports of Physical Count of Inventory (RPCI) of the following inventory accounts of the City Government of Panabo as at December 31, 2024 showed a variance totaling to P15,672,827.54:

Account Title	Account Code	Per General Ledger	Per RPCI	Variance
Office Supplies Inventory	10404010	P3,222,260.85	P710,919.70	P2,511,341.15
Construction Materials Inventory	10404130	15,802,187.44	2,640,701.05	13,161,486.39
TOTAL		**P19,024,448.29**	**P3,351,620.75**	**P15,672,827.54**

88. Inquiry with the CAO revealed that the variance was directly attributed to the non-submission of supporting document by two departments, the City Engineering Office (CEO) and the CGSO which were responsible in providing necessary documents for the issuance of Construction Materials and Office Supplies, respectively. The CAO cannot record the issuance unless the CEO and CGSO will provide supporting documents.

89. Reconciliation between records is a vital internal control procedure which aimed at ascertaining the reliability of the account balances. The non- reconciliation between the accounting and general services records cast doubts on the reliability of the presented balances of inventory accounts in the City's financial statement as at December 31, 2024.

Recommendations:

90. We recommended that the City Accounting Office (CAO), City General Services Office (CGSO) and City Engineering Office (CEO) reconcile the discrepancies noted and to regularly reconcile the same so that errors and discrepancies in balances could be traced and accordingly adjusted.

91. We further recommended that the CAO draw adjusting entries to correct the balances of affected Inventory accounts based on the results of the reconciliation.

Management's Comments:

92. Management was amenable with the above-noted observations and expressed commitment to the compliance of the audit recommendations

93. The City Engineering Office informed, in their reply letter, that they are currently coordinating with the City Accounting Office and City General Services Office for the tracking and reconciliation of all Construction Materials Inventory. Further, all the necessary documents will be prepared accordingly to facilitate the CAO's reconciliation of the noted variance in the records. The same shall also be submitted to COA for validation.

94. On the other hand, the CGSO requested for additional time to submit their written response as the office is still in the process of discussing issues raised in the audit observation memorandum and to compile pertinent supporting documents therefor.

Auditor's Rejoinder:

95. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

C. Unrecorded receipts of various inventory items from the other government agencies in CY2024 amounted to P5,938,582.71 while unsupported recorded receipts and errors amounted to P1,709,513.33 and P8,999.79, respectively

96. We have examined the Property Transfer Receipt (PTR) of various drugs and medicines from the other government aagencies submitted by the City Health Office (CHO) and verified with the recorded receipts under the General Ledger – General Fund (GL-GF) of the following the inventory accounts:

Account Title	Account Code	Total Receipts per General Ledger
Drugs and Medicines for Distribution	10402030	P8,638,277.38
Medical, Dental and Laboratory Supplies for Distribution	10402040	40,571.00
Drugs and Medicine Inventory	10404060	0.00
Medical, Dental and Laboratory Supplies Inventory	10404070	136,537.46
Total		**P8,815,385.84**

97. Our examination showed that a number of PTR were not included in the recorded receipts under the GL-GF which amounted to P5,938,582.71 (*Annex I-1*). Moreover, recorded receipts under GL-GF amounting to P1,709,513.33 (*Annex I-2*) were not supported with documents as the printed Journal Entry Vouchers

(JEVs) including its supporting documents were not submitted to the audit team. Lastly, error in recording were also noted in the amount of P8,999.79 (*Annex I-2*).

98. The noted variances indicate issues in reconciliation procedures and documentation, compromising the accuracy of inventory reporting and financial accountability. Additionally, the Audit Team identified discrepancies in the dating of essential documents. Specifically, some PTRs were dated and received by CGSO personnel in 2024, while the corresponding Acceptance and Inspection Reports (AIR) were dated in 2025. This inconsistency raises concerns about the reliability of inventory records and may contribute to the observed variances, potentially impacting the accurate tracking and accountability of government assets.

Recommendations:

99. We recommended that the City Accounting Office (CAO), the City Health Office (CHO) and City General Services Office (CGSO) reconcile the discrepancies noted between their records and for the CAO to adjust it records accordingly to recognize the received items as enumerated in Annex I-1 and I-2.

100. We further recommended the CAO to submit the Journal Entry Vouchers (JEVs) including its supporting documents for recording the receipts of various drugs and medicines as indicated in Annex I-2.

Management's Comments:

101. Management was amenable with the above-noted observations and expressed commitment to the compliance of the audit recommendations

102. Furthermore, the CGSO requested for additional time to submit their written response as the office is still in the process of discussing issues raised in the audit observation memorandum and to compile pertinent supporting documents therefor.

Auditor's Rejoinder:

103. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

D. Journal Entry Vouchers, including the Summary of Supplies and Materials Issued (SSMI) and the Requisition Issue Slip (RIS) to support the recording of inventory issuances amounting to P23,692,414.83 were not submitted to the audit team

104. Chapter 7 – Accounting for Supplies or Properties under the National Government Accounting System (NGAS) Manual for Local Government Units (LGUs) provides that every requisition and issuance of inventory shall be supported by a duly signed and approved Requisition and Issue Slip (RIS), with proof of receipt from the end user. The RISs shall be summarized weekly through Summary of Supply and Materials Issued (SSMI) and submit it to the CAO for proper recording in the books of accounts, to wit:

> Sec. 121. Reporting on Issuance of Supplies/materials. – The General Services Officer or the Local Treasurer, as the case maybe, shall consolidate weekly the RIS for which supplies and materials were issued using the Summary of Supplies and Materials Issued (SSMI). The SSMI together with the original copy of the RIS shall be submitted to the Chief Accountant, who shall compute cost of supplies issued and ending inventory using the moving average method. Based on the SSMI, a JEV shall be prepared to record the expenditures using appropriate expenditure accounts.

105. During the verification of the issuance of inventories, it was discovered that the printed Journal Entry Vouchers (JEVs), including the SSMIs and RISs, were not submitted to the Audit Team. Thus, the audit team required the submission thereof of which the CAO complied. However, further scrutiny of the submitted documents revealed that 106 JEVs totaling P23,692,414.83 remained unsubmitted to the Audit Team for validation. Details are presented in *Annex I-3.*

106. CAO explained that the recording of the issuance of inventories are based on the received SSMIs and the RISs received from the CGSO. They further explained that the personnel in charge in reconciling RIS to the SSMI has recently resigned and the proper turnover of the files was properly carried, thus the delay in the submission.

107. The incomplete supporting documents and delay of its submission is not in accordance to Sec. 121, 58. Chapter 7 – Accounting for Supplies or Properties under the National Government Accounting System (NGAS) Manual for Local

Government Units (LGUs). It has also prevented the Audit Team from verifying the accuracy of the recorded issuances for the year.

Recommendations:

108. We recommended and the Management agreed that the City Accounting Office submit immediately the lacking Journal Entry Vouchers (JEV) of inventory issuances for the year 2024 together with the SSMIs and RISs.

E. Reports of Semi-Expendable Property Issued (RSPI) to support the recording of inventory issuances amounting to P1,129,087.50 for CY2024 were not submitted to the audit team

109. COA Circular No. 2022-004 dated May 31, 2022 provides;

> 4.1. Tangible items which meet the definition and recognition criteria of PPE but cost is below Fifty Thousand Pesos (P50,000.00) shall be accounted in the books of accounts of the agencies as semi-expendable property. This shall be supported by the issuance of the Inventory Custodian Slip (ICS) to establish accountability of the end-user. ICS shall be issued to the end-user and shall be renewed every three years or every time there is a change in custodianship/user of the property. The threshold shall be applied on an individual asset or per item basis. Each item within the bulk acquisition such as library books, small equipment, computer peripherals, work animals, and the like, will need the amount below P50,000.00 to be recognized as semi-expendable property.
>
> 4.7.7. Annex A.7 – Report of Semi-Expendable Property Issued (RSPI). This report shall be prepared by the Property and/or Supply Division/Unit to report/summarize all issued semi-expendable property (by semi-expendable property number) at least weekly. It shall be prepared by the Property and/or Supply Custodian based on the ICS and shall be used by the Accounting Division/Unit as basis in preparing the journal entry voucher to recognize the semi-expendable property issued. In this form, the ICS No. is indicated and the agency can check anytime if there are missing ICS at hand since ICS is the only accountability form for the issuance of semi-expendable property. Proper keeping and monitoring of the ICS by the Property/Supply Officer is recommended.

110. Based on above prescribed procedures, every issuance of Semi-Expendable inventory shall be supported by a duly signed and approved Inventory Custodian Slip (ICS) and duly received by the user. The ICSs shall then be summarized by the CGSO through the Report of Semi-Expendable Property Issued (RSPI) on a weekly basis. The RSPI shall then be submitted to the City Accounting Office for proper recording in the books. The Semi-Expendable inventories issued in the year 2024 as recorded under the general ledgers amounted to P1,129,087.50.

Account Name	Inventory Issued for CY 2024			
	GF	SEF	TF	TOTAL
Semi-Expendable Office Equipment	P422,610.00	P312,380.00	P0.00	**P734,990.00**
Semi-Expendable Agricultural and Forestry Equipment	89,417.50	0.00	0.00	**89,417.50**
Semi-Expendable Medical, Dental and Laboratory Equipment	49,500.00	0.00	0.00	**49,500.00**
Semi-Expendable Technical and Scientific Equipment	9,995.00	0.00	0.00	**9,995.00**
Semi-Expendable Other Machinery and Equipment	245,185.00	0.00	0.00	**245,185.00**
TOTAL	**P816,707.50**	**P312,380.00**	**P0.00**	**P1,129,087.50**

111. The Audit Team did not also receive the printed JEVs, including the RSPI, to record the issuances of Semi-Expendable inventories. Although the CSIs were supported in the recognition of Semi-Expendable inventory, it was not reference to JEV which records the issuance. Finally, it was observed that the preparation of the RSPI was not practice by the CGSO.

112. Nonetheless, CAO stated that issuances of Semi-Expendable inventories are only recorded to appropriate expense account upon receipt of the ICS from the CGSO.

113. The non-preparation of RSPI is not in compliance with COA Circular No. 2022-004 and the absence thereof prevented the Audit Team from verifying the accuracy of the recorded issuances of Semi-Expendable inventories for the year.

Recommendations:

114. We recommended that the City Accounting Office (CAO) submit the Journal Entry Vouchers (JEV) of inventory issuances for the year 2024 together with the RSPIs and CISs and ensure that the supporting documents are properly referenced and traceable to the JEVs.

115. We further recommended the City General Services Office (CGSO) to prepare RSPI weekly and submit the same together with CIS to the CAO for proper recording in accordance with COA Circular No. 2022-004.

Management's Comments:

116. Management was amenable with the above-noted observations and expressed commitment to the compliance of the audit recommendations.

117. Furthermore, the CGSO requested for additional time to submit their written response as the office is still in the process of discussing issues raised in the audit observation memorandum and to compile pertinent supporting documents therefor.

Auditor's Rejoinder:

118. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Non-recording of LGU counterpart – Due to NGAs (DOLE) account

119. **The non-recording of the LGU counterpart amounting to P450,216.00 for the Livelihood Support to Registered Workers Associations of Department of Labor and Employment (DOLE) under the Trust Books is contrary to Section 95 of New Government Accounting System (NGAS) Manual for Local Government Units (LGU), thereby affecting the fair presentation of balance of Due to NGAs in the financial statements at year-end.**

120. Section 95 of New Government Accounting System (NGAS) Manual for Local Government Units (LGU) provides:

> **Sec. 95. Receipts Accruing to the Trust Fund.** – Grants and donations coming from foreign funding institutions, other levels of government and private institutions/individuals for specific projects/purpose shall accrue to the Trust Fund. Equity of the LGU on projects under a trust agreement shall also accrue to the Trust Fund. These receipts shall be credited to the Project Equity account. (Underscoring supplied)

121. Furthermore, International Public-Sector Accounting Standards (IPSAS) par. 27 dictates:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs.

122. The City Government of Panabo received a fund transfer amounting to P1,657,770.00 on March 25, 2024 from Department of Labor and Employment (DOLE) under its Integrated Livelihood Program or KABUHAYAN Program. The purpose of the fund transfer is to implement a livelihood project entitled "Livelihood Support to Registered Workers Associations" of Panabo City.

123. Relative thereto, a Memorandum of Agreement (MOA) was signed between the City Government of Panabo and DOLE Region XI on January 9, 2024. The provision of an equity or counterpart was stipulated therein, to wit:

> B. The **PROPONENT** shall:
>
> xxx
>
> 1. Provide equity or counterpart which is equivalent to at least twenty percent (20%) of the total project cost in the amount of **FOUR HUNDRED FIFTY THOUSAND TWO HUNDRED SIXTEEN PESOS ONLY (450,216.00)** for the procurement of "Livelihood Support to Workers Associations" other expenses or **20%** of the total project cost."

124. On January 30, 2025, an Audit Query Memorandum (AQM No. 25-14 (FA-2024)) was issued by the Audit Team verifying the compliance of the City Government of Panabo on the aforementioned stipulation as well as its status as of December 31, 2024. Based on management reply, the required counterpart of the LGU was sourced from a portion of the regular budget of the Public Employment Service Office (PESO) and the Microbiz Incubation Program of the City Administrator's Office under the General Fund. Details of the appropriation are presented in the table next page:

Particulars	Amount Considered as Counterpart for the Project*	Appropriation**	Obligations**
City Administrator's Office			
Public Employment Service Office			
Maintenance and Other Operating Expenses (MOOE)			
Training Expenses	P74,360.00	P243,160.00	P225,924.00
Office Supplies Expenses	5,000.00	45,000.00	39,989.10
Fuel, Oil and Lubricants Expenses	10,000.00	143,000.00	122,047.33
Other General Services	350,856.00	872,032.00	704,069.69
Locally Funded Projects			
Microbiz Incubation Program			
Training Expenses		35,000.00	34,666.00
Advertising Expenses	2,000.00	15,550.00	13,762.00
Printing and Publication Expenses	8,000.00	13,100.00	12,330.00
Total	**P450,216.00**	**P1,366,842.00**	**P1,152,788.12**

**Based on the approved PPA design*

***Based on Statement of Appropriations, Allotments, Obligations and Balances (SAAOB) as of November 30, 2024*

125. The non-transfer and non-recording of the LGU counterpart to the Trust Fund is contrary to Section 95 of New Government Accounting System (NGAS) Manual for Local Government Units (LGU) which provides that Equity of the LGU on projects under a trust agreement shall accrue to the Trust Fund. This deficiency affects the fair and accurate presentation of the balance of Due to NGAs account in the financial statements.

126. Moreover, since it is recorded under the General Fund, the unexpended balance of the listed budgetary items may have been declared as savings as at year-end despite that the project has not yet been fully implemented. As result, the funds for the specific project may have been depleted thus the committed amount of fund by the LGU under the MOA may have also not been met.

Recommendations:

127. We recommended and the Management agreed that the Public Employment Service Office (PESO) and the City Budget Office (CBO) determine the unspent balance of the LGU's counterpart for DOLE's project on the Livelihood Support to Registered Workers Associations.

128. We further recommended the City Accounting Office (CAO) to transfer the unspent balance of the LGU's counterpart, as certified by the CBO, from the General Fund to the Trust Fund.

Accounts Payable – Unadjusted errors and long outstanding claims

129. **Long outstanding claims amounting to P1,424,459.56 recorded under Accounts Payable were not adjusted as at December 31, 2024, thus casting doubts on the fair presentation of the reported balance of the Financial Liabilities as at year-end.**

130. Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

131. Upon review and examination of the Ageing Schedule of Accounts Payable and its subsidiary ledgers as at December 31, 2024, it was noted that claims amounting to P1,424,459.56 which have been outstanding for more than three (3) years remained unadjusted in the books of accounts of the Agency.

132. As shown in the table above, all of the long outstanding accounts payable are under the General Fund and have been outstanding for more than three (3) years. Details thereof are presented in the following table.

Name of Creditors	Balance as at December 31, 2024
J.E LORCA ENGINEERING & SURVEYING SERVICES (20101010-04-IDS-166-185-680-000)	P486,170.00
NATH'S GENERAL MERCHANDISE (20101010-01-IDS-933-071-323-000)	30,094.56
PCGEMPC (20101010-01-IDS_002-915-2690000)	488,749.00

Name of Creditors	Balance as at December 31, 2024
XYZ ENTERPRISES (20101010-01-IDS-943-785-638-00000)	419,446.00
TOTAL	**P1,424,459.56**

133. In the CY 2022 and CY 2023 Annual Audit Reports, dormant liabilities have been previously identified and communicated to the Management. Although the reversals of several accounts were accomplished, the condition still exists in the current year, hence this reiteration. A breakdown of the amounts presented in the Ageing Schedule was already requested to the Management. However, as of writing, the said report was not yet submitted to the Audit Team.

134. The CAO explained that due to the unavailability of records and documents for prior years' transactions, the process of correcting and reversing the balances has been slowed down. Further, no records have been presented to show that claimants or payee's are still demanding payment to these long outstanding payables. This condition, in addition to non-availability of records and documents, cast doubts on the validity and existence of the recognized obligations thereby affecting the fair presentation of the reported balance of the Financial Liabilities as at year-end.

135. Finally, the obligated funds of these long outstanding payables is a potential source of fund to finance the programs, projects and activities of the City. Therefore, management should exert extra effort to facilitate the immediate reconciliation and enforce reversal to unappropriated surplus if warranted.

Recommendations:

136. We restated the prior years' recommendations that the City Accounting Office:
    a. Determine whether or not the City Government has obligation to pay the creditors of long outstanding accounts recorded under the long outstanding Accounts Payable;

    b. For accounts with established obligation to pay, communicate the matter with the concerned offices and set a deadline to process its settlement;

    c. Revert the balances of accounts payable with no established obligation to pay including those unsettled after the earlier fixed deadline to the unappropriated surplus; and,

d. Draw adjusting entries to correct errors in the recording and the reversion of long outstanding accounts payable.

Management's Comments:

137. The City Accountant explained that the involved supplier are still active; thus, the reversion of long outstanding accounts was not done since payments may be claimed anytime.

Auditor's Rejoinder:

138. The Audit Team emphasized that a deadline should be given to suppliers for processing of the payment for the long outstanding accounts. Reversion thereof to unappropriated surplus shall not extinguished the government debt. The creditor can still file claims against the government through the Commission on Audit. This recourse is done for economic efficiency ensuring that government funds are not idle for a long period.

Delayed submission of financial reports and its supporting documents

139. **Delay in the submission of Bank Reconciliation Statement (BRS), Reports of Collections and Deposits (RCD), Liquidation Reports (LRs), and Disbursement Vouchers (DVs) including the supporting documents ranging from 21 to 104 days prevented the timely review and evaluation of the validity, propriety and regularity of the transactions and the completion of audit reports.**

140. Section 347 of RA No. 7160 requires the rendition of accounts by the local officials, in particular:

> Local treasurers, accountants and other local accountable officers shall render their accounts within such time, in such form, style, and content and under such as the Commission on Audit may prescribe…xxx…

A. Delay in the preparation and submission of Bank Reconciliation Statement (BRS)

141. Items 3.0 of COA Circular No. 96-011 dated October 11, 1996 provided the General/Policy Guidelines in the preparation of Bank Reconciliation Statements. In particular, it provided the deadlines of the submission thereof to concerned offices, to wit:

> 3.1 The depository/servicing banks shall furnish the Local Accountant with the Bank Statements (BS) including debit/credit memos (DM/CM), paid checks, etc., within five (5) days after the end of each month which shall be the basis for the preparation of the monthly Bank Reconciliation Statements.
>
> 3.2 The Local Accountants shall within ten (10) days from receipt of the Bank Statements, reconcile the same (BS) with the General Ledgers (GL) and prepare the BRS in five (5) copies, distributed as follows:
>
> xxx
>
> Provincial/City/Municipal Auditor
>
> xxx

142. Applying the above rules and regulations, the City Accountant is required to submit the BRS on or before 15th day of the following month. We have checked the City's compliance to the aforementioned submission requirements and determined that delays ranging from **24 to 79 days** in the submission of BRS for the banks accounts have been incurred, to wit:

Table 14. List of submitted monthly BRS

Period Covered	Due date	Date Submitted to COA	No. of days delayed
January 2024	February 15, 2024	April 24, 2024	69 days
February 2024	March 15, 2024	April 26, 2024	42 days
March 2024	April 17, 2024	May 24, 2024	37 days
April 2024	May 15, 2024	June 18, 2024	34 days
May 2024	June 15, 2024	August 13, 2024	59 days
June 2024	July 17, 2024	October 4, 2024	79 days
July 2024	August 15, 2024	October 30, 2024	76 days
August 2024	September 15, 2024	November 5, 2024	51 days
September 2024	October 16, 2024	December 3, 2024	48 days

Period Covered	Due date	Date Submitted to COA	No. of days delayed
October 2024	November 15, 2024	December 11, 2024	26 days
November 2024	December 15, 2024	January 8, 2025	24 days
December 2024	January 15, 2025	March 3, 2025	47 days

B. Delay in the submission of Reports of Collections and Deposits (RCD), Liquidation Reports (LRs), and Disbursement Vouchers (DVs)

143. We have also examined the City's compliance to the submission of RCD, LRs and DVs for CY 2024 to the COA Office withinthe ten (10) days after the end of each month as prescribed under COA Circular 96-005. The results are shown in the following table:

Period Covered	Due date	Date Submitted to COA	No. of days delayed
Reports of Collections and Deposits (RCD)			
January 2024	February 10, 2024	April 16, 2024	66 days
February 2024	March 10, 2024	April 26, 2024	47 days
March 2024	April 10, 2024	May 17, 2024	37 days
April 2024	May 10, 2024	May 31, 2024	21 days
May 2024	June 13, 2024	August 16, 2024	64 days
June 2024	July 10, 2024	October 4, 2024	86 days
July 2024	August 10, 2024	October 18 2024	69 days
August 2024	September 11, 2024	October 19, 2024	38 days
September 2024	October 10, 2024	November 15, 2024	36 days
October 2024	November 10, 2024	December 6, 2024	26 days
November 2024	December 11, 2024	January 15, 2025	35 days
December 2024	January 10, 2025	February 4, 2025	25 days
Liquidation Report (LR)			
January 2024	February 10, 2024	April 2, 2024	52 days
February 2024	March 10, 2024	April 26, 2024	47 days
March 2024	April 10, 2024	May 17, 2024	37 days
April 2024	May 10, 2024	May 31, 2024	21 days
May 2024	June 13, 2024	August 16, 2024	64 days
June 2024	July 10, 2024	October 4, 2024	86 days
July 2024	August 10, 2024	October 18, 2024	69 days
August 2024	September 11, 2024	October 29, 2024	48 days
September 2024	October 10, 2024	January 22, 2025	104 days
October 2024	November 10, 2024	January 22, 2025	73 days
November 2024	December 11, 2024	January 22, 2025	42 days
December 2024	January 10, 2025	February 14, 2025	35 days

Period Covered	Due date	Date Submitted to COA	No. of days delayed
Disbursement Vouchers (DV)			
January 2024	February 10, 2024	April 16, 2024	66 days
February 2024	March 10, 2024	April 26, 2024	47 days
March 2024	April 10, 2024	May 17, 2024	37 days
April 2024	May 10, 2024	May 31, 2024	21 days
May 2024	June 13, 2024	August 16, 2024	64 days
June 2024	July 10, 2024	October 4, 2024	86 days
July 2024	August 10, 2024	October 18 2024	69 days
August 2024	September 11, 2024	October 19, 2024	38 days
September 2024	October 10, 2024	November 15, 2024	36 days
October 2024	November 10, 2024	December 6, 2024	26 days
November 2024	December 11, 2024	January 15, 2025	35 days
December 2024	January 10, 2025	February 4, 2025	25 days

144. The delays incurred in the submission of the report and documents ranges from **21 to 104 days**. The City Accountant explained that the delay was due to the limited accounting personnel. The personnel complement of the City Accounting Office has difficulty of coping with the increasing volume of the City's transactions in the recent years. As a result, other recording and reporting activities have been delayed. Nonetheless, she assured that the preparation and recording of the reports and documents are nearly complete and will be submitted as soon as possible.

145. The delayed and non-submission of the financial reports and documents prevented the timely examination and verification of the transactions pertaining to the accountabilities of the Mr. Kirk B. Samillano, City Treasurer and Mr. Alan A. Nacario, Liquidating Officer. As a result, the completion of the Cash Examination Reports of Mr. Samillano and Mr. Nacario has been delayed.

146. The delay in the submissiom the financial reports including its supporting documents resulting to delayed verification of disbursements, liquidations, collections and deposits, non-cash transactions and adjusting entries increases the risk of non-detection of misstatements in the accounts thereby casting doubts in fair presentation of the financial statements at year-end.

147. This deficiency is a restatement of the similar audit observation in CYs 2020, 2021, 2022 and 2023 Annual Audit Reports.

Recommendation:

148. We restated our prior year's recommendation that the City Mayor address the limited human resource of the City Accounting Office by hiring/assigning personnel with accounting background to fast track the preparation and submission of City's financial reports and its supporting documents.

Management's Comments:

149. The management has yet to submit their written reply to this audit observation and recommendation. Nonetheless, during the exit conference, the management did not raise any contention on any of the matters as discussed above.

Auditor's Rejoinder:

150. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Non-submission of supporting documents to record claims under Accounts Payable

151. **Non-submission of supporting documents to record transactions under the Accounts Payable account amounting to P16,863,620.65 prevented the evaluation thereof and is not inaccordance with P.D. 1445 and Manual on the New Government Accounting System.**

152. Section 4 of Presidential Decree (P.D.) No. 1445 states that, *"Claims against government funds shall be supported with completed documentation."*

153. Pertinent provisions of the Manual on the New Government Accounting System for Local Government Units are as follows:

> Section 72, Volume I provides that Post-closing Trial balances shall be submitted not later than the fourteenth day of February after the end of the calendar year and shall be supported with the Subsidiary Schedule of General Ledger account balances.
>
> Section 31, Chapter 2, Volume II provides that Journal Entry Voucher (JEV) (Annex 23) shall be used for all transactions of the government, whether cash receipts, cash/check disbursements or non-cash transactions. It shall be prepared by the Accounting Unit

based on transaction documents presented. Accounting journal entries shall be reflected therein and it shall serve as the basis for recording the transactions in the appropriate journals.

154. Annex B of COA Circular No. 2015-009 dated December 1, 2015, prescribing the revised chart of accounts for Local Government Unit, provides the following description of Accounts Payable, to wit:

Account Title:	Accounts Payable
Account Number:	2-01-01-010
Normal Balance:	Credit
Description:	This account is used to record receipt of goods or services on account in the normal course of trade and business operation. Debit this account for payment or settlement of liabilities.

155. Moreover, under the accrual basis of accounting, as defined in Section 7 of IPSAS 1, "*transactions and other events are recognized when they occur and not only when cash or its equivalent is received or paid. Therefore, the transactions and events are recorded in the accounting records and recognized in the financial statements of the periods to which they relate."*

156. Under this principle, the City Government recognizes financial liabilities and records it under the Accounts Payable for the unpaid goods received and services accepted as at year-end. The concerned offices will forward relevant supporting documents to the CAO as basis for the recognition. It has been the practice of the CAO that after recognition of the obligations incurred, the said documents will be returned to the respective concerned offices for completion of the requirements for the processing of payments.

157. In the prior years, the Audit Team communicated to the Management that a copy of the journal entry vouchers for the recording of the unpaid obligations under the Accounts Payable as at year-end, together with the relevant supporting documents such as purchase orders/contracts, obligations requests, delivery receipts, inspections and acceptance reports, among others, shall be submitted to Commission on Audit for verification of the validity of claims.

158. Item 1, Section 39 of PD 1445 states that:

> The Commission shall have the power, for purposes of inspection, to require the submission of the original of any order, deed,

contract, or other document under which any collection of, or payment from, government funds may be made, together with any certificate, receipt, or other evidence in connection therewith. If an authenticated copy is needed for record purposes, the copy shall upon demand be furnished.

159. In the CY 2022 and CY 2023 Annual Audit Reports, audit observations were presented pertaining to the recognition of Accounts Payable which were either unsupported and/or with deficient documentation.

160. In the previous and current year's audit, the Audit Team had once again emphasized the submission of required reports including the relevant documents for the recording of Accounts Payable.

161. At year-end, based on the general ledger for Accounts Payable, the recognized financial liabilities for the month of December amounted to P109,221,555.94 composed of 973 journal entry vouchers. These obligations remained outstanding as at December 31, 2024. Details of which are as follows:

Fund	Total No. of JEVs	Total Amount	Submitted JEVs		Unsubmitted JEVs	
			No. of JEVs	Amount	No. of JEVs	Amount
General Fund	895	P97,974,652.13	853	P84,609,251.95	42	P13,365,400.18
Special Education Fund	21	2,943,428.16	16	2,632,905.44	5	310,522.72
Trust Fund	57	8,303,475.65	49	5,115,777.90	8	3,187,697.75
Total	**973**	**P109,221,555.94**	**918**	**P92,357,935.29**	**55**	**P16,863,620.65**

**Complete details on unsubmitted JEVs are shown in Annex J.*

162. Out of the 973 JEVs, 918 vouchers with supporting documents totaling P92,357,935.29 were submitted to the Audit Team. However, 55 JEVs totaling P16,863,620.65 remained unsubmitted as of writing.

163. As per inquiry with the City Accountant, due to the voluminous transactions pertaining the recognition of accounts payable, the submission of several JEVs and its corresponding supporting documents were inadvertently overlooked. Nevertheless, the City Accountant expressed commitment that all journal entry

vouchers, whether cash or non-cash transactions, and its corresponding supporting documents shall be regularly submitted to the Office of the Auditor.

164. In view of the foregoing, the non-submission of pertinent documents to substantiate the recorded amount of P16,863,620.65 precluded the Audit Team from verifying whether the criteria for the recognition of financial liabilities were met.

Recommendation:

165. We recommended and the Management agreed that the City Accountant immediately submit to the Office of the Audit Team the relevant documents to substantiate the recorded transactions amounting to P16,863,620.65 under the Accounts Payable.

Due to NGAs account - Unused and unreturned fund balances

166. **Due to NGAs account still contained balances which have been dormant for up to fifteen (15) years amounting to P757,797.14, thereby, depriving the donor agencies of additional resources to fund other priority projects.**

167. This observation has been noted in the CY 2022 and CY 2023 audit. Notably, Management has immediately acted on some of the dormant fund transfers significantly decreasing the said amount from P3,251,430.38 in CY 2022 to P1,217,601.03 in CY 2023 and finally to P757,797.14 in CY2024. Details of the remaining P757,797.14 are shown in the following table.

Source Agency	Name of Project	Earliest Transaction per Subsidiary Ledger	Total	No. of years dormant
DILG	Aid to Moral Recovery Program	01/08/2009	P30,000.00	15
DILG	SDG-FACES Projects	11/03/2017	16,115.00	7
DIDP	FMR - Malativas to San Roque	12/09/2010	31,523.14	14
For Recon	Kilos Asenso Program SARO # ROCS-09-03641 dtd 05-28-09	10/30/2009	680,159.00	15
TOTAL			**P757,797.14**	

168. These accounts remained recorded in the Trust Fund books of the City which have been dormant for seven (7) years to fifteen (15) years. Therefore, it is safe to assume that the purposes of these funds have already been completed.

169. COA Circular No. 94-013 issued on December 13, 1994 provides the rules and regulations in the grant, utilization and liquidation of transferred funds. Section 6 of the Circular provides the duties and responsibilities of the implementing agencies. Among others, it states that the implementing agencies should:

> 6.7 return to the SA (source agency) any unused balance and refund of disallowance upon completion of the project

170. In addition, Executive Order (EO) No. 431 dated May 30, 2005 directed the reversion of all dormant accounts, unnecessary special and trust funds to the general fund and for other purpose. Pursuant to the said EO, Joint Circular No. 4-2012 of the Permanent Committee of the Department of Finance, Department of Budget and Management, and the Commission on Audit defines "unnecessary special and trust fund" as:

> …authorized special and trust funds maintained by government agencies with AGDBs but which are no longer necessary for the attainment of the purposes for which said funds were established i.e. specific projects/programs, the implementation of which have been completed or abandoned.

171. Thus, in accordance with the above cited rules and regulations, it is proper to return the funds to the source agencies or the Bureau of the Treasury where ever applicable.

Recommendations:

172. We reiterated the prior years' recommendation and the Management agreed that the City Accounting Office and the City Treasurer's Office return immediately the remaining unused balances of fund transfers received to its source agencies, and if the source agencies could no longer be identified, the fund should be returned to the Bureau of the Treasury (BTr).

Unestablished validity of transactions – Prior Period Adjustment account

173. **Non-submission of journal entry vouchers (JEV) and its supporting documents to substantiate transactions recorded under Prior Period Adjustment account amounting to P157,156,406.10 is not in accordance with**

P.D. 1445 and Manual on the New Government Accounting System and prevented the evaluation thereof.

174. Section 111 of Presidential Decree (PD) No. 1445 otherwise known as the *"Government Auditing Code of the Philippines"* provides:

> **Section 111. Keeping of accounts.**
>
> (1) The accounts of an agency shall be kept in such detail as is necessary to meet the needs of the agency and at the same time be adequate to furnish the information needed by fiscal or control agencies of the government.

175. Moreover, pertinent provisions of the Manual on the New Government Accounting System for Local Government Units are as follows:

> Section 72, Volume I provides that Post-closing Trial balances shall be submitted not later than the fourteenth day of February after the end of the calendar year and shall be supported with the Subsidiary Schedule of General Ledger account balances.
>
> Section 31, Chapter 2, Volume II provides that Journal Entry Voucher (JEV) (Annex 23) shall be used for all transactions of the government, whether cash receipts, cash/check disbursements or non-cash transactions. It shall be prepared by the Accounting Unit based on transaction documents presented. Accounting journal entries shall be reflected therein and it shall serve as the basis for recording the transactions in the appropriate journals.

176. Furthermore, Annex B of COA Circular No. 2015-009 dated December 1, 2015, prescribing the revised chart of accounts for Local Government Unit, provides the following description of Prior Period Adjustment, to wit:

Account Title:	Prior Period Adjustment
Account Number:	3-02-01-010
Normal Balance:	Credit
Description:	This account is used to record prior period adjustments due to effect of changes in accounting policy and adjustments due to errors. This account is closed to the government equity account.

177. In Calendar Year (CY) 2024, Prior Period Adjustment account showed a total balance of P166,258,513.47. Balances of the account per fund are as follows:

	No. of JEVs	Debit	Credit	Net Amount	Absolute Amount
General Fund	663	P205,124,220.98	P39,768,001.61	P165,356,219.37	P244,892,222.59
Special Education Fund (SEF)	36	6,676,892.09	2,373,676.46	4,303,215.63	9,050,568.55
Trust Fund	96	24,145,152.98	27,546,074.51	(3,400,921.53)	51,691,227.49
Total	**795**	**P235,946,266.05**	**P69,687,752.58**	**P166,258,513.47**	**P305,634,018.63**

178. Summary of the nature of adjustments recorded under the said account are shown hereunder *(details of which are presented in Annexes K-1 to K-3)*:

Nature of Adjustment	General Fund	SEF	Trust Fund
Issuance of Inventory	P61,201,704.93	P4,325,399.13	P575,587.00
Transfer of PPE without cost	44,395,084.10	874,309.68	0.00
Depreciation of Donated Infrastructures from Department of Public Works and Highways DDN DEO	16,554,686.46	0.00	0.00
Adjustments re: Bank Reconciliation Statements (various book reconciling items)	3,370,052.01	629,946.01	5,379,173.03
Reversal of Operating Lease Receivable balances	19,356,903.87	0.00	0.00
Payment of prior year payables	19,810,874.05	0.00	15,982,061.05
Adjustment on depreciation of various PPE	697,339.00	0.00	37,664.11
Closing of the subsidiary ledger of "For reconciliation/Reclass" and those with long outstanding balances	10,060,704.05	1,522,305.14	329,095.64
Payment of various prior year expenses	20,075,665.45	453,291.31	1,578,630.00
Reversal of PPE items with value below PPE threshold	738,714.79	0.00	0.00
Liquidation of prior year's cash advances	1,227,544.08	1,000,000.00	6,000.00
Adjustments on trust liabilities (re: LDRRMF)	8,682,884.90	0.00	1,993,738.07
Adjustments due to erroneous entries	5,484,762.26	34,624.00	2,748,215.16
Audit disallowance that became final and executory	4,440,640.00	0.00	0.00
Expired portion of various prepayments	7,849,702.06	0.00	0.00
Adjustments on transfer of balances from/to other funds and/or subsidiary ledgers	13,557,567.92	0.00	18,809,212.10
Reversal of various accounts due to utilization,	309,160.50	0.00	4,017,462.70

Nature of Adjustment	General Fund	SEF	Trust Fund
including recognition of income from such reversal			
Release of funds from BFP representing the 20% LGU share from Fire Code Revenues	4,005,465.72	0.00	0.00
Adjustments pertaining to special accounts (Due to/from Special Accounts)	1,561,915.00	0.00	0.00
Other adjustments	1,510,851.44	210,693.28	234,388.63
Total	**P244,892,222.59**	**P9,050,568.55**	**P51,691,227.49**
Less: Supported with Complete Documentation (JEVs and other relevant documents)	P129,067,836.74	P6,616,961.86	P12,792,813.93
Incomplete/Without Documentation	**P115,824,385.85**	**P2,433,606.69**	**P38,898,413.56**

**Amounts presented are shown in absolute value*

179. Moreover, the affected accounts for the above-noted adjustments are as follows *(details of which are also presented in Annexes K-1 to K-3)*:

Account Affected	Account Code	General Fund	SEF	Trust Fund
Cash Local Treasury	10101010	P156,595.54	P0.00	P0.00
Cash in Bank - Local Currency, Current Account	10102010	10,445,723.46	1,243,635.97	280,500.00
Guaranty Deposits	10205020	6,198.63	0.00	0.00
Accounts Receivable	10301010	356,393.98	0.00	0.00
Loans Receivable - Others	10301990	971,274.74	0.00	349,396.09
Operating Lease Receivable	10302010	19,356,903.87	0.00	0.00
Due from National Government Agencies	10303010	2,219,914.65	34.73	122,333.36
Due from Local Government Units	10303030	150,000.00	0.00	0.00
Due from Other Funds	10304050	405,401.98	0.00	149,656.11
Due from Special Accounts	10304060	868,580.50	0.00	0.00
Due to Local Economic Enterprises	10304070	251,410.66	0.00	0.00
Advances for Operating Expenses	10305010	585,376.03	0.00	0.00
Advances for Payroll	10305020	400,851.82	0.00	0.00
Advances to Officers and Employees	10305040	130,745.00	0.00	0.00
Receivables - Disallowances/Charges	10306010	4,447,571.40	0.00	0.00
Due from Officers and Employees	10306020	32,135.01	0.00	0.00
Other Receivables	10306990	1,057,318.29	0.00	36,001.66
Food Supplies for Distribution	10402010	2,012,770.00	0.00	0.00
Drugs and Medicines for Distribution	10402030	1,123,913.00	0.00	0.00
Medical, Dental and Laboratory Supplies for Distribution	10402040	5.40	0.00	0.00
Agricultural and Marine Supplies for Distribution	10402050	603,926.25	0.00	0.00
Agricultural Produce for Distribution	10402060	292,320.00	0.00	0.00
Construction Materials for Distribution	10402080	286,439.00	0.00	0.00
Other Supplies and Materials for	10402990	2,336,598.22		0.00

Account Affected	Account Code	General Fund	SEF	Trust Fund
Distribution			35,250.00	
Office Supplies Inventory	10404010	249,380.58	243,129.96	0.00
Accountable Forms, Plates and Stickers Inventory	10404020	5,828,859.63	0.00	0.00
Non-Accountable Forms Inventory	10404030	410,205.20	0.00	0.00
Food Supplies Inventory	10404050	643,900.00	0.00	0.00
Drugs and Medicines Inventory	10404060	677,901.71	0.00	0.00
Medical, Dental and Laboratory Supplies Inventory	10404070	1,249,890.08	0.00	67,936.00
Fuel, Oil and Lubricants Inventory	10404080	351,435.00	0.00	0.00
Agricultural and Marine Supplies Inventory	10404090	320,388.00	0.00	0.00
Textbooks and Instructional Materials Inventory	10404100	71,330.00	0.00	0.00
Construction Materials Inventory	10404130	4,853,143.96	0.00	0.00
Other Supplies and Materials Inventory	10404990	8,215,472.62	855.98	0.00
Semi-Expendable Other Machinery and Equipment	10405990	99,800.00	0.00	0.00
Advances to Contractors	10501010	1,209,698.39	0.00	13,500.01
Prepaid Registration	10501030	175,237.30	0.00	0.00
Prepaid Insurance	10501050	237,357.78	0.00	0.00
Other Land Improvements	10702990	0.00	824,623.52	0.00
Accumulated Depreciation - Other Land Improvements	10702991	10,323.93	0.00	0.00
Accumulated Depreciation - Water Supply Systems	10703041	112,981.60	0.00	0.00
School Buildings	10704020	0.00	49,686.16	0.00
Other Structures	10704990	461,003.80	0.00	0.00
Accumulated Depreciation - Other Structures	10704991	230,069.43	0.00	0.00
Office Equipment	10705020	54,184.80	0.00	0.00
Information and Communication Technology Equipment	10705030	176,306.65	0.00	0.00
Accumulated Depreciation - Information and Communication Technology Equipment	10705031	142,005.41	0.00	0.00
Agricultural and Forestry Equipment	10705040	7,700.00	0.00	0.00
Communication Equipment	10705070	18,844.46	0.00	0.00
Technical and Scientific Equipment	10705140	63,747.62	0.00	0.00
Accumulated Depreciation - Technical and Scientific Equipment	10705141	538.33	0.00	0.00
Motor Vehicles	10706010	9,588,606.62	0.00	0.00
Accumulated Depreciation - Motor Vehicles	10706011	245,043.02	0.00	0.00
Furniture and Fixtures	10707010	163,272.86	0.00	0.00
Accumulated Depreciation - Furniture and Fixtures	10707011	593.75	0.00	0.00
Construction in Progress - Infrastructure	10710020	606,206.08	0.00	713,750.04

Account Affected	Account Code	General Fund	SEF	Trust Fund
Assets				
Construction in Progress - Buildings and Other Structures	10710030	0.00	0.00	6,874.86
Accumulated Depreciation - Other Property, Plant and Equipment	10799991	6,472.50	0.00	0.00
Accumulated Amortization - Computer Software	10901021	1,378,725.83	0.00	0.00
Accounts Payable	20101010	4,639,433.68	0.00	9,095,973.50
Due to Officers and Employees	20101020	812,326.74	0.00	23,667,697.70
Loans Payable - Domestic	20102040	749,494.39	0.00	0.00
Due to BIR	20201010	695,287.14	16,267.11	279,654.50
Due to GSIS	20201020	2,001,164.90	0.00	0.00
Due to Pag-Ibig	20201030	31,655.97	0.00	0.00
Due to PhilHealth	20201040	12,527.93	0.00	0.00
Due to NGAs	20201050	352,681.06	0.00	73,936.60
Due to LGUs	20201070	721,490.52	0.00	0.00
Due to Other Funds	20301010	91.04	0.00	0.00
Due to Special Accounts	20301020	693,334.50	0.00	0.00
Trust Liabilities	20401010	9,053,356.09	0.00	1,967,865.10
Guaranty/Security Deposits Payable	20401040	838,488.02	19,862.62	1,566,608.03
Other Payables	29999990	1,307,940.37	0.00	412,275.00
Prior Period Adjustment	30101020	57,777.28	260.64	0.00
Grants and Donations in Cash	40402010	196,580.00	0.00	33,480.00
Miscellaneous Income	40601010	31.50	0.00	0.00
Salaries and Wages – Regular	50101010	2,250.00	0.00	0.00
Other Bonuses and Allowances	50102990	9,868.25	0.00	0.00
Office Supplies Expenses	50203010	25,620.00	0.00	0.00
Agricultural and Marine Supplies Expenses	50203100	108,000.00	0.00	0.00
Repairs and Maintenance - Machinery and Equipment	50213050	31,900.00	0.00	0.00
Repairs and Maintenance - Transportation Equipment	50213060	4,620.00	0.00	0.00
Cannot be determined*		7,119,472.10	0.00	60,975.00
Subtotal per fund		115,824,385.85	2,433,606.69	38,898,413.56
Grand Total (All Funds)**				157,156,406.10
Cash Local Treasury	10101010	156,595.54	0.00	0.00
Cash in Bank - Local Currency, Current Account	10102010	10,445,723.46	1,243,635.97	280,500.00
Guaranty Deposits	10205020	6,198.63	0.00	0.00
Accounts Receivable	10301010	356,393.98	0.00	0.00
Loans Receivable - Others	10301990	971,274.74	0.00	349,396.09
Operating Lease Receivable	10302010	19,356,903.87	0.00	0.00
Due from National Government Agencies	10303010	2,219,914.65	34.73	122,333.36
Due from Local Government Units	10303030	150,000.00	0.00	0.00

**Exact amount attributable to a specific account title cannot be determined due to lack of information in the JEVs (per e-NGAS). However, the affected accounts are shown in Annex L.*
***Amounts presented are shown in absolute value*

180. Due to the significant amount involved and numerous accounts affected by prior period adjustments, it is imperative that transactions related thereto be reviewed and verified. However, the non-submission of pertinent documents to substantiate the validity of transactions amounting to P157,156,406.10 is not in accordance with P.D. 1445 and Manual on the New Government Accounting System and prevented the evaluation thereof.

Recommendation:

181. We recommended and the Management agreed that the City Accounting Office immediately submit to the Office of the Audit Team the journal entry vouchers and relevant documents to support the recorded transactions under the Prior Period Adjustment account amounting to P157,156,406.10.

Unliquidated Cash Advance and Fund Transfers to NGOs/POs and other LGUs

182. **Cash advances for Official Travels and fund transfers to NGOs/POs and other LGUs amounting to P9,239,301.23 remained unliquidated as of December 31, 2024 due to non-adherence to the rules and regulations for the liquidation, while liquidations for Cash Advances for Operating Expenses amounting to P1,345,575.07 were not verified due to non-submission thereof within the period prescribed casting doubts on the propriety of its disbursements.**

183. Section 89 of Presidential Decree (PD) No. 1445 provides the limitations on cash advances, to wit:

> No cash advance shall be given unless for a legally authorized specific purpose. A cash advance shall be reported on and liquidated as soon as the purpose for which it was given has been served. No additional cash advance shall be allowed to any official or employee unless the previous cash advance given to him is first settled or a proper accounting thereof is made.

184. The review made on the accounts of the City Government of Panabo pertaining to unliquidated cash advances and fund transfers disclosed a total balance of

P9,239,301.23 as at December 31, 2024 as summarized in the following table (see *Annex M* for details).

Table 24. Unliquidated Cash Advances/Fund Transfers

Account	Unliquidated Amount as of 12/31/24
Advances to Officers and Employees	P220,232.24
Other Receivables	1,044,951.98
Due from NGOs/POs	1,728,023.75
Due from LGUs	6,246,093.26
Total	**P9,239,301.23**

185. These accounts were granted for official travels, as well as fund transfers to various NGOs/POs and other LGUs. Aging of the aforementioned unliquidated balances are shown below:

Table 25. Aging per Total Unliquidated CA/Fund Transfer:

Age	Amount (in Peso)	Percentage (%) from Total
More than 10 years	P2,400,007.48	25.98%
5 to 10 years	6,049,477.70	65.48%
Less than 5 years	789,816.05	8.55%
Total	**P9,239,301.23**	**100.00%**

186. While liquidation reports and its supporting documents for Cash Advances granted for operating expenses amounting to P1,345,575.07 has not been submitted within the prescribed period.

A. Unliquidated Cash Advances for Official Travel

187. Item No. 4.1.3 of Commission on Audit (COA) Circular No. 97-002 dated February 10, 1997 (Re: Restatement with amendments of the rules and regulations on the granting, utilization and liquidation of cash advances provided for under COA Circular No. 90-331 dated May 3, 1990) provides:

> 4.1.3 A cash advance shall be reported on as soon as the purpose for which it was given has been served.

188. Also stated under the same Circular are the following periods to be observed in the liquidation of cash advances for Official Travel:

- Official Travel – within sixty (60) days after return to the Philippines in the case of foreign travel or **within thirty (30) days after return to his permanent official station in the case of local travel**.

- **All cash advances shall be fully liquidated at the end of the year.**

189. The above condition indicates lapses in the observance of the rules and regulations in the enforcement to settle and liquidate the cash advances of the officials/employees particularly those granted for official travels which resulted to an outstanding balance of P1,265,184.22 as at December 31, 2024. Further details of which are shown in the following table.

Age	As at December 31, 2024			
	Advances to Officers and Employees	**Other Receivables**	**Total (in Peso)**	**Percentage (%) from Total**
More than 10 years	P0.00	P 871,983.73	**P871,983.73**	68.92%
5 to 10 years	0.00	172,968.25	**172,968.25**	13.67%
Less than 5 years	220,232.24	0.00	**220,232.24**	17.41%
Total	**P220,232.24**	**P1,044,951.98**	**P1,265,184.22**	**100.00%**

190. Detailed review of the two accounts showed that out of the P220,232.24 balance of Advances to Officers and Employees pertains to unliquidated travelling allowance as at December 31, 2024. The delays incurred in the liquidations ranges from 2 to 1,069 days, to wit:

Date Granted	Check No.	Name of Accountable Officer	Date of Travel	Outstanding Balance	Due date for Liquidation	No. of Days delayed
Due and demandable as at December 31, 2024						
03-Jun-24	1667904	Adlawan, Eric R.	June 12-16, 2024	P666.00	16-Jul-24	168
24-May-23	1626559	Bangoy, Sherlou F.	June 6-10, 2023	300.00	10-Jul-23	540
08-Feb-24	1664992	Bautista, John Ray A.	February 2024	0.24	25-Mar-24	281
04-Jun-24	1667921	Bendijo, Sofia D.	June 5,8, 2024	9,200.00	16-Jul-24	168
04-Nov-24	1715065	Bulfango, Lester John B.	November 5-7, 2024	2,400.00	07-Dec-24	24
08-Oct-24	1714524	Burasca, Clifford C.	October 10, 2024	1,000.00	09-Nov-24	52
11-Jun-24	1563729	Domen, Hanna Dominique L.	June 7-11,2024	2,930.00	11-Jul-24	173

Date Granted	Check No.	Name of Accountable Officer	Date of Travel	Outstanding Balance	Due date for Liquidation	No. of Days delayed
03-Jul-24	1668449	Encarnacion, Analyn F.	July 4-5, 2024	17,600.00	04-Aug-24	149
15-Sep-23	1653221	Gencianos, Allan Roy H.	October 3-7, 2023	30,810.00	06-Nov-23	421
08-Feb-23	1623754	Madjos, Ronald O.	February 10-11, 2023	40.00	13-Mar-23	659
06-Nov-24	1715081	Maloloy-On, Roxanne Guia U.	November 27-29, 2024	6,459.00	29-Dec-24	2
06-Nov-24	1715082	Maquilan, Karen Ann R.	November 27-29, 2024	7,467.00	29-Dec-24	2
02-May-24	1667145	Matutino, Conrad Theodore A.	May 30 – June 1, 2024	31,320.00	01-Jul-24	183
16-Jun-23	1650430	Mejias, Danilo Jr. D.	June 6-10, 2023	5,346.00	10-Jul-23	540
30-Apr-23		Padayao, Dizza C.		-650.00		
20-Dec-21	1540470	Pega, Aldin P.	December 27-28, 2021	2,712.00	27-Jan-22	1,069
03-Jul-24	1668448	Perez, Jerlie S.	July 4-5, 2024	17,600.00	04-Aug-24	149
21-May-24	1667561	Ranain, Omar P.	May 30 – June 1, 2024	28,939.00	01-Jul-24	183
		Regis, Libertad V.		-2.00		
06-Nov-24	1715080	Sumabal, Joseph Raymund A.	November 27-29, 2024	1,043.00	29-Dec-24	2
15-Nov-24	1722459	Sumabal, Joseph Raymund A.	November 19-21, 2024	451.00	21-Dec-24	10
02-Dec-24	1715688	Angala, Maria Lita T.	December 4-6, 2024	7,440.00	31-Dec-24	
16-Dec-24		Bangoy, Sherlou F.	December 18-19, 2024	8,000.00	31-Dec-24	
16-Dec-24	1716121	Castro O. Mara Jr.	December 18-19, 2024	4,000.00	31-Dec-24	
05-Dec-24	1715859	Cher M. Bastida	December 8-9, 2024	2,000.00	31-Dec-24	
10-Dec-24	1716006	Enad, Wendel M.	December 18-19, 2024	8,000.00	31-Dec-24	
18-Dec-24	1716185	Macla, Jamail Lunar G.	December 18-19, 2024	8,000.00	31-Dec-24	
29-Nov-24	1715557	Misoles, Pedrito A.	December 2-3, 2024	911.00	31-Dec-24	
03-Dec-24	1715767	Namuag, Dizon P.	December 18-19, 2024	8,000.00	31-Dec-24	
10-Dec-24	1716008	Naungayan, Ricardo A.	December 18-19, 2024	4,000.00	31-Dec-24	
16-Dec-24	1716122	Sagot, Florabelle Cagay	December 18-19, 2024	4,000.00	31-Dec-24	

Date Granted	Check No.	Name of Accountable Officer	Date of Travel	Outstanding Balance	Due date for Liquidation	No. of Days delayed
03-Dec-24	1715774	Sepe, Joven M.	December 4-6, 2024	250.00	31-Dec-24	
			TOTAL	**P220,232.24**		

191. On the other hand, the P1,044,951.98 (*Annex M*) balance of Other Receivables pertains to Unliquidated Cash Advances for Official Travels that were reclassified because the accountable officers were no longer connected with the City Government.

192. Item No. 8 of the COA Circular No. 90-331 provides that *"It shall be the responsibility of the Head of the Agency to ensure the proper granting, utilization and liquidation of all cash advances in accordance with these rules and regulations."* The existence of long outstanding cash advances indicates the City Government's leniency in the enforcement of the rules and regulations in the granting and liquidation of cash advances.

B. Unliquidated Fund Transfers to NGOs/POs and Other LGUs

193. Item 5.4 of COA Circular 2007-001 dated October 25, 2007 which prescribes the revised guidelines in the granting, utilization, accounting and auditing of the funds released to Non-Governmental Organizations/People's Organizations (NGOs/POs) state that:

> 5.4 Within sixty (60) days after the completion of the project, the NGO/PO shall submit the final Fund Utilization Report certified by its Accountant and approved by its President/Chairman to the GO, together with the inspection report and certificate of project completion rendered/issued by the GO authorized representative, list of beneficiaries with their acceptance/acknowledgement of the project/funds/goods/services received. The validity of these documents shall be verified by the internal auditor or equivalent official of the GO and shall be the basis of the GO in recording the fund utilization in its books of accounts. These documents shall support the liquidation of funds granted to the NGO/PO.

194. While Item 4.6 of COA Circular No. 94-013 dated December 13, 1994 on Rules and Regulations in the Grant, Utilization and Liquidation of Funds Transferred to Implementing Agencies provides that:

Within ten (10) days after the end of each month/end of the agreed period for the Project, the IA shall submit the Report of Checks Issued (RCI) and the Report of Disbursement (RD) to report the utilization of the funds. Only actual project expenses shall be reported. The reports shall be approved by the Head of the IA.

195. As at December 31, 2024, the outstanding balance of Due from NGOs/POs amounted to P1,728,023.75 which is composed of the following:

With age less than 5 years

- Fund Transfer to Philippine Red Cross Davao del Norte Chapter in 2020 as the City's support to operation/blood service, P200,000.00

With more than 10 years

- Fund transfers to several NGOs/POs in 2012 to 2014 as City's counterpart for various MRDP CFAD projects, P1,528,023.75

196. While Due from Other LGUs amounted to P6,246,093.26 which is composed of the following:

With age less than five years

- Fund transfer to various Barangays of Panabo City as Support to BADAC Anti-Illegal Drug Activities in CY2021 and CY2024, P360,000.00; and,
- Fund transfer to Province of Davao del Norte – Regional Rehabilitation Center for Youth and Bahay Pag-asa, P9,583.81.

With age 5 to 10 years

- Fund Transfer to Provincial Government of Davao del Norte from 2014 to 2017 for city's counterpart in the Rehabilitation of Brgy. Datu Abdul Dadia Farm-to-Market Road (FMR) amounting to P4,000,000.00, Labor Cost of Additional Deep-well at Brgy. Sta. Cruz costing P97,849.75, and Brgy. Little Panay-Katipunan-Kasilak FMR under the PRDP Project amounting to P378,659.70
- Fund Transfer to Davao del Norte Hospital – Carmen Zone in 2017 as City's counterpart for intended indigent clients, P200,000.00
- Fund Transfers to Brgys. Manay, J.P. Laurel, and San Pedro in 2016 and 2017 for City's counterpart for the purchase of one (1) unit dump truck for each barangay at P400,000.00, P300,000.00 and P500,000.00, respectively, totaling to P1,200,000.00

197. The Management has also requested for a write-off on some of the dormant accounts enumerated above but was returned by the Audit Team without prejudice of re-filing due to lacking documentary requirements. However, as at year-end, the request for writing-off has not yet been re-filed.

198. The presence of long-outstanding and dormant fund transfers to NGOs/POs as well as other LGUs may create doubt as to whether the funds were properly used by the recipient NGOs/POs and LGUs, and whether the intended projects/activities related to the funds received were indeed implemented/completed.

C. Non-submission of the liquidation reports for Cash advances for Operating Expenses within the prescribed period

199. COA Circular No. 97-002 provides the following period to be observed in the liquidation of cash advances for operating expenses:

> Petty Operating Expenses and Field Operating Expenses - within 20 days after the end of the year; subject to replenishment during the year.

200. In addition, Item 5.3 thereof provides the period in which liquidation reports and its supporting documents should be submitted to the Auditor, viz:

> 5.3 Within ten (10) days after receipt of the report and supporting documents from the AO, the Accountant shall verify the report, record it in the books and submit the same with all the vouchers/payrolls and supporting documents to the Auditor. The cash advance shall be considered liquidated upon the recording thereof by the Accountant in the books of accounts although not yet audited by the COA auditor.

201. As at December 31, 2024, the Advances for Operating Expenses has an outstanding balance of P1,345,575.07 which composed of the following:

Accountable Officer	Purpose of Cash Advance	Date Granted	Check No.	Amount
Bautista, Nasuha T.	Grant of Cash Advance for Donations	21-Oct-24	1714800	P1,000.00
Bernadas, Maritess C.	Cash Advances for Donations - Limited	06-Dec-24		250,000.00

Accountable Officer	Purpose of Cash Advance	Date Granted	Check No.	Amount
	Financial Assistance			
Lacuin, Chareina Joy G.	Cash advance for operating expenses	14-Sep-23		60.00
	Grant of cash advance (Limited Financial Assistance)	21-Oct-24		94,515.07
Relampagos, Jose E.	Cash Advances for Confidential Funds for the 4th Quarter CY 2024	03-Oct-24		1,000,000.00
TOTAL				**P1,345,575.07**

202. By application the rules and regulations, liquidations reports and its supporting documents of cash advances for operating expenses granted in CY2024 should be submitted to the Auditor on January 30, 2025. However, the reports and documents were not submitted within the prescribed period thereby precluding the Audit Team to verify propriety the use of the cash advances. As of the date of writing this AOM, liquidation for the abovementioned transactions have not yet been submitted.

203. In this light, due to the failure to strictly comply with the established guidelines on the liquidation of cash advances and fund transfers, the agency undermines critical control procedures in safeguarding government funds and thereby exposes it to the risk of possible loss and misuse. It is therefore important to emphasize the responsibility of the City Government to ensure that these unliquidated accounts should not be left dormant. Regular monitoring and evaluation of ongoing projects, coupled with the constant demand for a full liquidation of cash advances granted and transferred funds should be made.

204. Finally, we bring the Management's attention to COA Circular No. 2023-008 dated August 17, 2023 which prescribes the Guidelines on the Proper Disposition of Dormant Accounts of National Government Agencies (NGAs) and Instrumentalities, Local Government Units (LGUs) and Government Corporations (GCs), amending COA Circular No. 2016-005 dated December 19, 2016 re: Guidelines and procedures on the write-off of dormant receivable accounts, unliquidated cash advances and fund transfers of National Government Agencies (NGAs).

205. The Management may refer to the above-stated COA Circular in the re-filing of their Request for Write-off of the Dormant Accounts. This Circular has revised the procedures to fast track the cleansing of dormant accounts of government agencies for the fair presentation of accounts in the financial statements. This remedy can only be availed in one-time-basis, thus the City Accountant should ensure that all dormant accounts are included when the City Government request for its write-off.

206. This audit observation serves as a reiteration of our prior year audit observation on unliquidated cash advances and fund transfers. The recommendations remained not implemented as of December 31, 2024 thus, this reiteration.

Recommendations:

207. We recommended the Management:

a. To immediately require the officers and employees with cash advances for official travel that are already due and the City Accounting Office (CAO) to submit report of the status thereof to the Audit Team on or before March 31, 2025, otherwise, demand letters will be issued to the accountable officers;

b. For unliquidated fund transfers to the Barangays of Panabo City, the CAO to review the books of the Barangays if disbursements have been made for the purpose of the fund transfer and use the documents thereof as support to the recording of the liquidation of the fund transfer;

c. For unliquidated fund transfers to Provincial Government of Davao del Norte, the CAO to coordinate with Provincial Accounting Office for the immediate liquidation thereof;

d. For fund transfer to Philippine National Red Cross Davao del Norte Chapter, the CAO to issue demand letter to the said Office for the immediate liquidation;

e. For accounts that passed the criteria of dormancy, submit request for its writing-off in the books of the City Government in accordance with COA Circular No. 2023-008 dated August 17, 2023;

f. The CAO submit immediately to the Audit Team the liquidation reports including the supporting documents for all Cash Advances granted for Operating Expenses in CY2024 on or before March 31, 2025, otherwise, demand letters will be issued; and,

g. The City Legal Office (CLO) to impose legal remedies in cases of non-liquidation by the accountable officers with outstanding cash advances despite receipt of demand letter.

Management's Comments:

208. The CAO has provided the updated status on the Unliquidated Cash Advances for Official Travels. Out of the P220,232.24, P90,105.00 remained unrefunded/ unliquidated. Nonetheless, notice for immediate liquidation have already been sent to the following accountable officials and employees:

Date Granted	Check No.	Name of Accountable Officer	Date of Travel	Outstanding Balance	Due date for Liquidation	No. of Days delayed
Due and demandable as at December 31, 2024						
24-May-23	1626559	Bangoy, Sherlou F.	June 6-10, 2023	P300.00	10-Jul-23	540
15-Sep-23	1653221	Gencianos, Allan Roy H.	October 3-7, 2023	30,810.00	06-Nov-23	421
16-Jun-23	1650430	Mejias, Danilo Jr. D.	June 6-10, 2023	5,346.00	10-Jul-23	540
20-Dec-21	1540470	Pega, Aldin P.	December 27-28, 2021	2,712.00	27-Jan-22	1,069
21-May-24	1667561	Ranain, Omar P.	May 30 – June 1, 2024	28,939.00	01-Jul-24	183
16-Dec-24		Bangoy, Sherlou F.	December 18-19, 2024	8,000.00	31-Dec-24	
05-Dec-24	1715859	Cher M. Bastida	December 8-9, 2024	2,000.00	31-Dec-24	
10-Dec-24	1716006	Enad, Wendel M.	December 18-19, 2024	8,000.00	31-Dec-24	
10-Dec-24	1716008	Naungayan, Ricardo A.	December 18-19, 2024	4,000.00	31-Dec-24	
			TOTAL	**P90,107.00**		

209. The added that notices regarding unliquidated fund transfers to the barangays of Panabo City have also been issued, with copies furnished to the Commission on Audit (COA). The utilization of long-outstanding fund transfers has already been verified against the barangays' financial records. Liquidation will be recorded accordingly, based on the documented disbursement of funds. Copies of the Journal Entry Vouchers (JEVs) will be submitted to COA by April 2025.

210. Furthermore, liquidation reports for funds transfers to the Provincial Government of Davao del Norte have already been received and the corresponding adjusting entries shall be effected and documents thereof will be submitted to COA in April 2025.

211. Liquidation reports for fund transfer to the Philippine Red Cross was returned by CAO due to lacking documents. Accordingly, notice of demand will be issued for its immediate liquidation and a copy thereof shall be furnished to COA.

212. Finally, the CAO committed to prioritize the request for a write-off in accordance with CAO Circular No. 2023-008 and continue monitoring these accounts. The continued non-compliance to Notices of immediate liquidation will prompt them to submit the same to CLO for its proper action.

213. The CLO committed assistance to the City Accounting Office in taking legal action against accountable officer who did not adhere with the established rules and regulations governing the liquidation process. In accordance with applicable laws, these measures may include, but not limited to, the filing of an appropriate administrative action, the suspension of salaries and other appropriate and available legal matters. The CLO pledged for the preservation of integrity of public service and ensure proper accountability for public funds.

Auditor's Rejoinder:

214. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Deficiencies on the grant, consumption and utilization of fuel

215. **Weakness of internal control in the process and reporting of fuel grant, consumption and utilization as well as in the preparation and approval of trip tickets resulted to several deficiencies which renders the reasonableness of fuel consumption amounting to P47,328,146.68 and the use government vehicles doubtful and uncertain.**

216. Sections 123 and 124 of Presidential Decree No. 1445 known as Government Auditing Code of the Philippines provides that:

Section 123. Definition of internal control. Internal control is the plan of organization and all the coordinate methods and measures adopted within an organization or agency to safeguard its assets, check the accuracy and reliability of its accounting data, and encourage adherence to prescribed managerial policies.

Section 124. Installation. It shall be the direct responsibility of the agency head to install, implement, and monitor a sound system of internal control."

217. Moreover, COA Circular No. 77-61 dated September 26, 1977 prescribes the use of the "Manual of Audit for Fuel Consumption of Government Motor Vehicles", which includes the forms, records, and reports required to support the fuel consumption of government vehicles. The Manual provides the following specific rules and regulations:

> Item 2 - Use of government vehicles shall be properly controlled and regulated.
>
> - The use of government motor vehicles should be controlled through properly accomplished and duly approved Driver's Trip Tickets which should be serially numbered, a summary of which shall be made at the end of the month in a Monthly Report of Official Travels (Appendix F), for audit purposes…xxx…"
>
> xxx
>
> Item 4 - Monthly Report of Fuel Consumption of government motor transportation (Appendix G) shall be submitted to the Auditor for verification purposes to determine the reasonableness of fuel consumed during the period.
>
> - In the determination of the quantity of gasoline required for each motor vehicle for each trip, all personnel concerned shall be guided by the average minimum and maximum gasoline and oil consumption of the different types of motor vehicles. An allowance of 10% may be tolerated."

218. This observation is a restatement of the previous year's observation pertaining to the deficiencies noted on fuel consumption, submission of required monthly reports and use of government-owned vehicles.

219. The fuel, oil and lubricants expenses account of the City Government of Panabo showed a balance of P47,328,146.68 as at December 31, 2024. Verification on the process and reporting of fuel grant, consumption and utilization as well as the preparation and approval of trip tickets showed the following lapses/deficiencies:

A. Wanting of a written policy providing for the guidelines in the process and reporting of fuel allocation, grant, withdrawal and consumption, use of government vehicles and submission of required monthly reports

220. The City Government has yet to submit the written policy or internal rules and regulations detailing the process of fuel allocation, grant, withdrawal and consumption, use of government vehicles and submission of required monthly reports. Relative thereto, the Audit Team has issued Audit Observation Memorandum (AOM) No. 24-001 dated January 30, 2024. The Legislative Department attached a copy of its internal policies on decentralization of fuel withdrawal and trip tickets in reply to the said AOM. The Executive Department, in its reply to the said AOM received by this Office on March 18, 2024, informed the Audit Team that the only written policy available was the implementation of the E-trip ticket system wherein the withdrawal, consumption and utilization of fuel was covered. For the use of government vehicles and submission of the required monthly reports, including sanctions for non-compliance thereof, the City General Services Office (CGSO) shall collaborate with the City Legal Office to assist them in the drafting of the same. However, as of the date of writing this AOM, no further updates or issuances were furnished to the Audit Team.

221. The presence of an identical written policy, both in Executive and Legislative Departments, in the preparation of trip tickets, fuel grant and consumption, use of government vehicles and the preparation of monthly reports could have helped the City Government ensure transparency and uniformity as well as guarantee that the protocols and procedures detailed in the policy is strictly followed by all the concerned departments/offices which could eventually lead to efficient and effective use of fuel by the City Government.

B. Lapses noted in CY2023 in the preparation and approval of trip tickets were not yet completely corrected in CY2024

222. During the CY2023 audit various deficiencies were noted in the City's e-Trip Ticket System and the audit team recommended updating the system in order to correct noted lapse.

223. The Management, in its reply to Audit Query Memorandum (AQM) No. 25-12 (FA-2024) dated January 16, 2025, apprised the Audit Team that updates to the e-Trip Ticket System have already been made. However, these updates are currently in the period of testing to ensure their effectiveness and compliance with existing regulations. The Information Technology Section of the Office of the Administrator is in constant coordination with the CGSO to finalize and validate these changes before its implementation.

224. Management also committed to conduct a re-orientation to drivers and other concerned personnel on the laws and regulations on the use of vehicles and fuel consumption, as stated in its reply to AOM No. 2024-001. However, as of December 31, 2024, no updates were provided to the Audit Team on the conduct of the same.

225. Although the e-Trip Ticket System has expedited the processing of the trip tickets due to automation in the preparation and approval, however, it failed to ensure control and regulation in the use of government vehicle and fuel consumption based on the above noted deficiencies. It has merely become an encoding tool when the intended design of the system as an internal control for fuel consumption was supposedly promising.

C. Vehicles which are not owned by the City Government were still given fuel allocation

226. During CY 2023, the Audit Team noted that a total of 259 motor vehicles and heavy equipment, which are not owned by the City Government, has been given fuel allocation as detailed in AOM No. 24-001 (*see Annex N for details*). Such vehicles were considered as not owned by the City Government since they were not included in the initial list of vehicles provided by the CGSO to the Audit Team. Correspondingly, the CGSO responded that the vehicles enumerated thereat are either owned by the City Government and/or by other National Government Agencies (NGAs) or Local Government Units (LGUs) and some have already been transferred without cost to different barangays and other NGAs (*remarks of the CGSO has also been incorporated in the attached Annex N*). Verification of the replies from different department/offices revealed that as of December 31, 2024, there are still twenty-four (24) vehicles/heavy equipment which have uncertain ownership, to wit:

No.	Plate Numbers	Dept/Office Issuing Fuel	Type of Vehicle	Remarks from CGSO
1	OV-1192	CAGRO	Pick up	

No.	Plate Numbers	Dept/Office Issuing Fuel	Type of Vehicle	Remarks from CGSO
2	SKN 305	CAGRO/ CMO	*Not indicated in the Trip Ticket*	No data found on record
3	RACALS	CEEMDO	*Not indicated in the Trip Ticket*	No update from concerned office
4	1101-108449	CEEMDO/ CMO/GSO	*Not indicated in the Trip Ticket*	
5	UO H542	CENRO	*Not indicated in the Trip Ticket*	
6	GO I580	CENRO	*Not indicated in the Trip Ticket*	
7	SKC 893	CEO	*Not indicated in the Trip Ticket*	No data found on record
8	D3A241	CEO	*Not indicated in the Trip Ticket*	No data found on record
9	SKG 807	CEO	*Not indicated in the Trip Ticket*	No data found on record
10	GB6443	CHO	*Not indicated in the Trip Ticket*	No data found on record
11	AMBULANCE (FORD)	CHO	Ambulance	No data found on record
12	PCP-0063	CHO	*Not indicated in the Trip Ticket*	No data found on record
13	1017-81410957	CMO/GSO	Dump Truck	
14	1103RD	CMO	*Not indicated in the Trip Ticket*	
15	XCMG	GSO	*Not indicated in the Trip Ticket*	
16	PRIMER TRUCK	GSO	Truck	
17	11010516651	SP	Ford Ranger	
18	SHACMAN	GSO	Dump Truck	
19	HAOJUE	CEEMDO	Motorcycle	No record found per CEEMDO
20	SS L002	PNP	Toyota Hilux	
21	GC 0579	PNP	Foton	
22	1501085738	CENRO	Dump Truck	
23	JOH 543	GSO	*Not indicated in the Trip Ticket*	
24	1101-92564	CMO	*Not indicated in the Trip Ticket*	

227. Moreover, the Audit Team has previously recommended the creation of a policy providing guidelines on the provision of fuel to vehicles/heavy equipment not owned by the City Government to ensure consistency and regularity in its issuance. As of the date of writing this AOM, no policy/guidelines have been provided to the Audit Team.

D. Vehicles with expired Land Transportation Office (LTO) registration were still given fuel allocation and are still continuously in use

228. In the previously issued AOM, a total of 41 vehicles which have expired LTO registration based on the report submitted by the CGSO were still given fuel allocation and are still used continuously. As of December 31, 2024, the CGSO still have not updated the Audit Team on the status of LTO registration for the following vehicles:

No.	Plate Number/ MV File	Dept. Issuing Fuel	Type of Vehicle	Status
1	1101-275928	CADO/CMO	Tata Multicab	For repair
2	SF 2706	CAGRO	Motorcycle	On-going process of registration
3	SL 8591	CAGRO	Motorcycle	On-going process of registration
4	SGL 385	CASSO	Ford Ranger	For disposal
5	SL 8590	CBO	*Not indicated in the trip ticket*	No update from Office concerned
6	1101-347874	CEEMDO	Motorcycle	On-going process of registration
7	1101-930192	CEO	Motorcycle	On-going process of registration
8	RJL 228	CEO	Boom Truck	On-going process of registration
9	131210	CEO	*Not indicated in the trip ticket*	
10	SGL 328	CEO	Isuzu Crosswind	Motorpool Yard
11	SF 1774	CEO	Motorcycle	Motorpool Yard
12	SJW 989	CEO/CGSO	Dump Truck	On-going process of registration
13	SGL 988	CEO	Nissan Dump Truck	On-going process of registration
14	SJX 200	CEO/CMO/CGSO	Isuzu Dump Truck	On-going process of registration
15	SAA 1991	CMO/CGSO	Daewoo Dump Truck	On-going process of registration
16	SJK 623	CGSO	Fuso Self-Loading	On-going process of registration
17	0301-658312	CMO/CGSO	Fuso Self-Loading	On-going process of registration
18	1101-677477	CMO	Motorcycle	On-going process of registration
19	SHE 714	CMO/CGSO	Mitsubishi L300 Van	On-going process of registration
20	1101-963413	CMO	*Not indicated in the trip ticket*	No deed of donation
21	1101-306849	CMO	*Not indicated in the trip ticket*	No update from Office concerned
22	1101-677486	CMO	Motorcycle	On-going process of registration

No.	Plate Number/ MV File	Dept. Issuing Fuel	Type of Vehicle	Status
23	SE 2019	CMO	Motorcycle	On-going process of registration
24	SGL 907	CGSO	Isuzu Crosswind	On-going process of registration
25	1101-384705	CEEMDO	Motorcycle	On-going process of registration

229. The continuous use of vehicles with expired LTO registrations poses a great risk on the City Government in case of accidents and exposes the government of unnecessary fines and penalties which could have been avoided had the renewal of registration for these vehicles been made. It also questions the propriety of the approval of the trip tickets as well as the grant of fuel for the said vehicles.

E. Delayed and incomplete submission by departments/offices of Monthly Report of Official Travels (MROT) to the CGSO

230. Verification of the submitted Monthly Report of Fuel Consumption (MRFC) by the CGSO showed that departments/offices have incompletely submitted and/or have been delayed in the submission of MROT, to wit (*details shown in Annex O*):

Department/Office	No. of Months Delayed based on submitted MROT	Unsubmitted MROT
CMO - TOURISM	1 to 6 months	Jan to Dec 2024
SP	1 to 6 months	-
SPO-Hon. Jumamil	1 month	Jan to Dec 2024
SPO-Hon. Dujali	1 to 4 months	Jan to Dec 2024
SPO-Hon. Gentiles	3 to 6 months	Oct 2023 to Dec 2024
SPO-Hon. Bangoy	1 to 12 months	Jan to Dec 2024
SPO-Hon. Catalan	1 to 5 months	Feb 2024, Sept to Dec 2024
SPO-Hon. Macla	1 to 6 months	Jan to Dec 2024
SPO-Hon. Enad	1 to 12 months	Jan to Dec 2024
SPO-Hon. Ranain	1 to 2 months	Feb to Dec 2024
SPO-Hon. Namuag	1 to 9 months	Jan to Dec 2024
SPO-Hon. Ang	1 to 5 months	Feb to Dec 2024
SPO-Hon. Catalan	1 to 5 months	Feb 2024, Sept to Dec 2024
ABC - Liga Office	-	Jan to Dec 2024
IPMR	1 to 2 months	Nov to Dec 2024
CLO	1 to 2 months	Dec 2024
CASSO	1 to 6 months	Mar to May 2024
CMO	1 to 2 months	-

Department/Office	No. of Months Delayed based on submitted MROT	Unsubmitted MROT
CMO - CIO	1 to 7 months	-
CSU	1 month	Sept to Nov 2024
CMO-VET	1 to 3 months	-
CMO - TMU	1 to 2 months	Jan to Feb 2024, Apr to Dec 2024
CADAC	1 to 12 months	-
CDRRMC	1 to 5 months	Jan to Dec 2024
PDEA	1 to 5 months	Jan to Dec 2024
CBO	1 to 2 months	-
GSO-MOTORPOOL	1 to 3 months	-
CCRO	1 to 5 months	May 2024
CPDO	1 to 2 months	Dec 2024
CENRO	1 to 4 months	-
CEO	1 to 6 months	-
CAGRO	1 to 3 months	-
CADO	1 month	-
CADO-PESO	1 to 2 months	August 2024
LICENSING	1 to 7 months	Jan to Dec 2024
CEEMDO	1 to 5 months	-
CHO	1 to 3 months	-
BJMP	1 to 12 months	-
CHRMO	1 to 3 months	June 2024
CAO	1 to 4 months	Sept to Dec 2024
CTO	1 month	Jan and Mar 2024
CMO - HOUSING	1 month	Mar to Dec 2024
CMO - 27TH IB	-	Apr to Dec 2024
CHO-NUTRITION	-	Jan to Feb and Apr to Dec 2024
CMO - POSS	1 to 2 months	Jan - Mar and Dec 2024

231. As shown in the table above, delays of the submission of MROT range from one (1) to twelve (12) months and there are even Offices/Departments not submitting the said report for the entire CY 2024. The deficiency subsequently affects the timely preparation and submission of the MRFC. It also resulted to non-updated data being reported therein.

232. Further examination of the submitted MROT showed that the official travels reported are only those trips with fuel withdrawal and does include all official travels with approve trip tickets rendering the report incomplete. The MROT

should have been prepared by the driver concerned summarizing in chronological order ALL their trips for the month.

233. The timely and complete submission of the required Monthly Reports serves as control procedures and to ensure regulations in fuel consumption.

234. The above deficiencies show weakness of sound internal control and impedes the verification and evaluation on the reasonableness of the fuel allocation, withdrawals and consumption of the City Government as well as the use of government motor vehicles thereby rendering the reasonableness of fuel grant and consumption doubtful. It is also imperative that the City Government be able to establish and maintain an effective internal control system to promote proper transparency and accountability.

Recommendations:

235. We recommended the City Mayor the following courses of action:

a. City General Services Office (CGSO) establish a uniform written policy, in accordance with applicable laws, rules and regulations, for all the departments/offices of the City Government that provides guidelines for:
   - fuel allocation, grant, withdrawal and consumption of City-owned vehicles
   - fuel allocation/grant of non-City-owned vehicles or vehicles transferred without cost to other LGUs/NGAs/NGO/POs
   - the deadlines of the submission of the required Monthly Reports including sanctions for non-compliance thereof

b. CGSO provide updates to the Office of the Audit Team regarding the identified vehicles and heavy equipment with uncertain ownership as well as those with pending LTO registration.

c. Information Technology Section under the City Administrator's Office, in coordination with CGSO, promptly implement updates in the e-Trip Ticket System to address the several deficiencies noted in the prior year's audit observation.

d. All concerned Departments and Offices with delayed/non-submission of MROT as enumerated in Section E of this AOM submit a written justification on the delayed/non-submission of the same and ensure that all

approved official travels be reported in the MROT, even in the absence of fuel withdrawal.

e. CGSO, in coordination with the City Human Resource and Management Office (CHRMO), conduct a re-orientation to drivers and other concerned personnel on the laws, rules and regulations in the use of government vehicles and fuel consumption.

Management's Comments:

236. The City Human Resource and Management Office stated in their reply letter that a re-orientation for drivers and other concerned personnel on the the laws, rules and regulations in the use of government vehicles and fuel consumption particularly on the proper use and process of the e-Trip Ticket System, in partnership with City General Services Office and City Accounting Office, will be conducted in CY 2025 to ensure the City Government's continued compliance thereof. The Office further assured pro-active cooperation and improvement of the City Government's policies on this matter henceforth.

237. The City Budget Office informed that an issued motorcycle with plate no. SL 8590 that was included in the audit observation on unregistered vehicles was already renewed with the LTO in August 30, 2024. A copy of the said registration was attached to CBO's reply.

238. The CADO also verified the ownership by the City Government of Ford Ranger assigned to SP with Plate No. 11010516651 as evidence by the submitted memorandum receipt.

239. The Management also submitted justification on the delayed/non-submission of MROT as follows:
    - CEEMO – transition from a manual reporting form to a system-generated reporting which required familiarization with the system, addressing technical issues and additional steps to ensure accurate and complete reporting. Considering the volume of drivers and operators under the CEEMO, the encoding process has taken longer than anticipated, thus contributing to the delayed submission.
    - CPDO – non-renewal of personnel assigned in MROT compliance causing the non-submission thereof
    - CTO – exchange of work assignments between employees may have caused delayed/non-submission of MROT

- CADO – the official driver had been attending to equally important tasks that required immediate attention which unfortunately led to the delayed submission of MROT
- CBO – the office was amenable of the delayed submission and assured for the timely and complete submission in the ensuing periods

240. The Management also assured compliance as to the reporting of all official travels in the MROT even without fuel consumption.

241. Moreover, the Management expressed commitment to the compliance of the reporting requirements and is actively working in addressing the delays and streamlining the reporting process. Further, measures are being taken to enhance efficiency and ensure reasonableness of the fuel withdrawal and consumption.

Auditor's Rejoinder:

242. The Audit Team maintains its stand that the City Government particularly the Executive and Legislative Departments should maintain a uniform internal policy in the preparation of trip tickets, fuel grant and consumption, and the use of government vehicle for efficiency. The submitted documents will be subjected for verification by the Audit Team.

B. OTHER FINANCIAL RELATED ISSUES

Deficiencies on the storage facilities for inventories

243. Inadequate capacity, insufficient maintenance, and weak security control of storage facilities for inventories increases the risk to unauthorized access and robbery/ theft and resulted to material deterioration, loss, and wastage of government assets.

244. Section 2 of Presidential Decree 1445 provides that:

> All resources of the government shall be managed, expended or utilized in accordance with law or regulation and safeguarded against loss or wastage through illegal or improper disposition, with view of ensuring economy, efficiency and effectiveness in the operation of the government.

245. Moreover, Section 104 and 1057 of PD 1445 provides about exercising the due diligence of a good father of a family and the liability of accountable officer in handling government properties, to wit:

> Section 104. The head of any agency or instrumentality of the national government or any government-owned or controlled corporation and other self-governing board or commission of the government shall exercise the diligence of a good father of a family in supervising accountable officers under his control to prevent the incurrence of loss of government funds or property, otherwise, he shall be jointly and solidarity liable with the person primarily accountable therefore. The treasurer of the local government unit shall likewise exercise the same degree of supervision over accountable officers under his supervision; otherwise, he shall be jointly and solidarity liable with them for the loss of government funds or property under their control.
>
> Section 1057. Every officer accountable for government property shall be liable for its money value in case of improper or unauthorized use or misapplication thereof, by himself or any person for whose acts he may be responsible. He shall likewise be liable for all losses, damages, or deterioration occasioned by negligence in the keeping or use of the property, whether or not it be at the time in his actual custody.

A. Space limitation in storage facilities has been observed causing higher risk of material damage.

246. The Audit Team conducted an ocular inspection on various LGU storage facilities for various inventory items and observed significant space limitations in three key storage locations situated in **Brgy. Datu Abdul, Panabo City, Davao del Norte**. These limitations may lead to inefficiencies in storage management, increased risks of material deterioration, and potential delays in project implementation. Below are images of the storage conditions, along with the corresponding average monthly procurement data:

247. The warehouse allocated for construction materials, as identified by the City General Services Office (CGSO), has a total area of **200 square meters**. However, the space was observed to be inadequate to accommodate the volume of materials procured each month that averages to **P2,992,148.98.**

Image 1. Warehouse used for storing construction materials



248. The limited capacity has resulted in congestion, inefficient organization, and poor maintenance. The storage area lacks proper ventilation and cleanliness, further exacerbating the risk of material deterioration. Additionally, hazardous and flammable materials such as thinner and paints are not stored separately, posing safety concerns. The presence of unserviceable properties within the warehouse further limits usable space, while some materials are covered in dust, indicating prolonged storage and potential obsolescence (see *Image 2* in the next page).

249. The Stock Room allocated for storing Other Supplies and Materials with a total area of **225 square meters** is facing significant space constraints, as well, similar to the warehouse for construction materials (see *Image 3* in the next page).

Image 2. Stored Unserviceable properties and hazardous materials



Image 3. Stock Room used for storing Other Supplies and Materials



250. Despite having a designated storage area, the increasing monthly receipt of inventories *(thru procurement and donations)*, averaging by **P12,738,914.23**, has exceeded the available capacity, resulting in congestion and inefficient organization. As a result, various inventory items are now being stored in the lobby. *Image 4* illustrates the current condition of the lobby, highlighting the urgent need for expanded storage capacity.

Image 4. Other Supplies and Materials stored at the Lobby

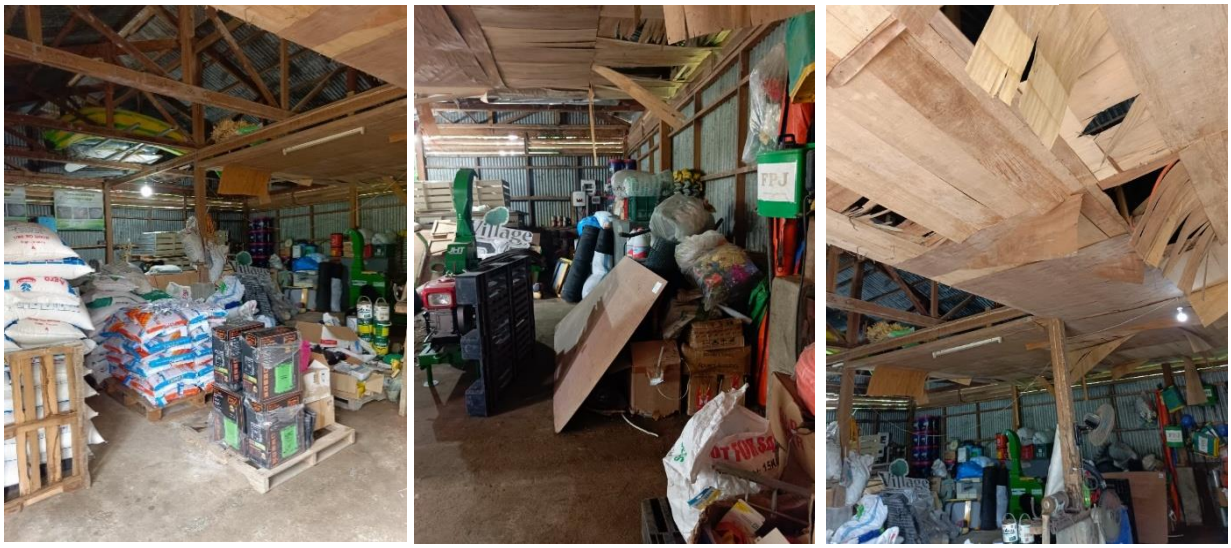


251. Additionally, the CGSO personnel disclosed that in 2023, a proposed budget of P10 million was allocated for the construction of a new warehouse within the same area. This new facility was planned to accommodate all inventories including Office Supplies and Construction Materials. It will also introduce a systematic

storage process, such as categorized shelving and proper labeling. However, the budget was realigned to another project, leaving the storage issue unresolved.

252. On the other hand, the warehouse designated for storing agricultural supplies, such as fertilizers and seeds, with a total area of **119 square meters**, is also experiencing significant space constraints, similar to the conditions mentioned above.

Image 5. Warehouse used for storing Agricultural Supplies



253. *Image 5* illustrates the current state of the warehouse designated for agricultural supplies, such as fertilizers and seeds. Notably, the ceiling is in poor condition, with visible damage that may result in leaks during heavy rainfall. This poses a significant risk of water exposure, potentially compromising the quality of stored agricultural supplies.

254. Furthermore, the available storage space is insufficient given the increasing monthly procurement volume averaging to **P930,288.99**. According to the warehouse personnel, while the responsible department is promptly notified upon delivery, generally, the release of agricultural supplies typically takes **2–3 days**. This delay, combined with limited storage capacity, results in excess inventories being placed outside the designated storage area. As a consequence, these materials are exposed to external factors such as heavy rain and direct sunlight, accelerating deterioration and increasing the risk of theft. These conditions highlight the urgent need for enhanced storage infrastructure and improved inventory management to ensure the proper safekeeping of agricultural supplies

B. Various construction materials were stored in an open area without proper roofing, exposing them to a higher risk of significant deterioration, which may compromise the quality and durability of the LGU's infrastructure projects.

255. During the ocular inspection, the audit team observed that many stored materials have deteriorated due to exposure to outdoor conditions and improper storage management. The roofing sheets and ceiling panels exhibit significant rust and corrosion, indicating prolonged exposure to harsh environmental conditions such as moisture and direct sunlight. Vegetation growth around and underneath the metal sheets suggests long-term exposure, which may further accelerated the deterioration process. The presence of discolored, warped, and deteriorated panels raises concerns about the materials quality, making them unfit for use in critical infrastructure projects.

Image 6. Metals and Ceiling Panels stored in an open area



256. Wooden planks and construction lumber stored in open areas have warped, decayed, and developed fungal growth due to moisture exposure. Additionally, the lumber storage rack (or wooden pallet storage) has collapsed, further exposing the materials to damage.

Image 7. Storage of Wooden Materials



257. Some asphalt barrels were found leaking, likely due to rust from long exposure to sun and rain. These leaks cause material waste and may harm the environment if not addressed. Furthermore, the issue of overgrown vegetation is particularly concerning around the asphalt storage barrels, where thick grass has overtaken the area. *Image 8* (see next page) illustrates these conditions during the ocular inspection.

258. As shown in *Image 9* (see next page), cement bags and adhesive materials have hardened and become contaminated due to improper storage. Being kept in an open space, they were exposed to moisture from strong winds and rain, rendering them unusable for future projects. Additionally, their placement in an unsecured area makes them highly susceptible to theft and to unauthorized access.

C. The insufficiency of proper facility maintenance and security measures has led to damage and rusting of inventories and increased the risk of government property loss due to accelerated deterioration and potential robbery/theft.

259. During the inspection of various storage facilities, the audit team observed the insufficiency of security measures, such as, installation of CCTV cameras and on-duty security personnel. Improper maintenance of the facility is also evidence based on the observed structural issues, such as, damaged ceilings and the prolonged storage of unused equipment, resulting in rust and deterioration, were noted.

260. The CSWDO Storage Facility (shown in *Image 10*) is located at the Evacuation Center in Brgy. Cacao, Panabo City, Davao del Norte, about 12 kilometers from its main office. During inspection, the audit team found it to be completely isolated, with no nearby houses or establishments, posing a serious security risk. Any break-ins or disturbances would likely go unnoticed. Additionally, no security personnel were present, and no regular guard assigned. The perimeter walls, only about six (6) feet high, offer minimal protection, and the absence of CCTV cameras further increases vulnerability. With these conditions, the facility is an easy target for robbery or theft.

Image 8. Overgrown Grass and Leaks on Asphalt Storage Barrels



Image 9. Hardened, wasted Cement and Adhesives



261. Beyond security concerns, we also observed issues with storage conditions. The area for storing sacks of rice was not properly maintained, which could affect the quality and safety of the goods. Additionally, the storage room for evacuation kits was inaccessible during our inspection because collapsed shelves had blocked the door from the inside. These conditions exhibit improper handling of inventory items which could cause potential damage to the kits and affect the efficiency of the delivery of supplies during emergency cases.

262. During our inspection of the City Health Office (see *Image 11* next page), City Veterinary Office (see *Image 12* next page), and Infirmary Hospital (see *Image 13* next page), the audit team also found no installed CCTV cameras in areas where medicines and vaccines are stored. It has also been observed that the ceiling of the City Veterinary Office is in poor condition, with visible damage that poses risks such as water leakage, contamination of stored vaccines and medicines, and potential structural hazards. Given the critical nature of these supplies, immediate repairs are needed to prevent further damage.

Image 10. City Social Welfare and Development Office (CSWDO)



Image 11. City Health Office Storage Facility



Image 12. City Veterinary Office Storage Facility



Image 13. Infirmary Hospital



263. Finally, we observed that several medical inventories stored in the Infirmary Hospital located at Brgy. Little Panay had remained unused since its purchase a year ago, shortly after the facility's completion. Due to prolonged storage, dust and rust have accumulated on the items, raising concerns about potential deterioration and reduced functionality. Personnel disclosed that these medical assets have never been utilized, leading to inefficient resource allocation and an increased risk of obsolescence.

264. The inadequate capacity, insufficient maintenance, and weak security controls of storage facilities underscores the need for immediate assessment and intervention and to ensure better security, stricter inventory control and management, and improved storage facilities to prevent further loss and wastage of government assets.

Recommendations:

265. We recommended the City Mayor the following courses of action:

    a. Construct an additional storage facility and improve the existing storage facilities to increase its capacity in order to accommodate all inventories of the City.

    b. To enhance security and surveillance, install CCTV cameras across all storage facilities and deploy security personnel for 24/7 monitoring to prevent unauthorized access and deter potential robbery or theft.

266. We further recommended the City General Services Office to:

    a. Conduct inspection and assessment of all storage facilities to determine the conditions and implement immediate repair or replacement of damaged sections, especially, the roofing and ceilings of all storage facilities.

    b. Relocate all construction materials to a designated covered storage area to protect them from weather exposure that can cause rust, corrosion, and degradation; if immediate relocation is not feasible, implement protective measures such as weather-resistant tarpaulins, metal roofing, or waterproof coverings to shield materials from rain, direct sunlight, and moisture, ensuring their durability and quality.

267. Finally, we recommended that City Health Office conduct an assessment of all unused medical equipment and items stored at the Infirmary Hospital located in Brgy. Little Panay to determine whether they are still functional and still needed for operations in the facility; if no longer needed, consider transferring the medical equipment and items to other healthcare facilities of the City where it can be utilized.

Management's Comments:

268. The CGSO requested for additional time to submit their written response as the office is still in the process of discussing issues raised in the audit observation memorandum and to compile pertinent supporting documents therefor. Nonetheless, during the exit conference, the management did not raise any contention on any of the matters as discussed above.

Auditor's Rejoinder:

269. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Deficiencies on the inventory and storage of drugs, medicines, medical, dental, and laboratory supplies

270. **The inventory management and storage of drugs, medicines, medical, dental, and laboratory supplies held under the Office of the City Mayor are not in compliance with the minimum standards set by the Department of Health as prescribed under the Warehouse Operations Manual, 2nd Edition 2022.**

271. Section 2 of Presidential Decree 1445 provides that:

> All resources of the government shall be managed, expended or utilized in accordance with law or regulation and safeguarded against loss or wastage through illegal or improper disposition, with view of ensuring economy, efficiency and effectiveness in the operation of the government.

272. Department of Health (DOH) Warehouse Operation Manual, 2nd edition defines warehouse management as follows:

> Item 2.2 Warehouse Management – is part of the supply chain management that optimizes and controls the day-to-day operations in the warehouse to ensure that products are stored and accounted for properly from the receiving up to releasing processes. This manual focuses on warehouse management operations as an important part of supply management of health commodities procured by and donated to the government. The following are the recommended minimum standard processes in managing warehouses for storing health commodities.

273. Moreover, the Department of Health (DOH) – Supply Chain Management Service (SCMS) – Warehouse Operation Manual (WOM) – Standard Operating Procedure – 04 Item 1 provides a set of guidelines to ensure that health commodities are stored and protected in a manner that conforms to Good Storage Practices and Manufacturer's/Supplier's recommendation, to wit:

> Item 4.3.1 Monitoring of Space – Ensure that there is a designated area and ample space for the following: (1) Receiving (2) Quarantine (3) Storage (4) Staging (5) Releasing and (6) Rejected/Damaged/Pharmaceutical Waste.
>
> Item 4.3.2 Segregation of Commodities – Ensure that items are efficiently segregated based on its proper area, considering that First-Expiry-First Out (FEFO) and First-In-First-Out (FIFO) Principles are respected at all times.
>
> - Transfer batch/lot of items which are first expiring/received in front or threshold of other batches with later expiry or later receiving date to promote ease on workflow and dispatch.
> - Update location map whenever movement of items occur.
>
> Item 4.3.3 Stacking of Commodities – Ensure that products are consistently stacked as performed and stated during Put-Away process:
>
> - Stack cartons on pallets at least 10 cm (4 inches) off the floor with no more than 2.5 meters (8 feet) high;
> - Place liquid products on lower shelves or bottom of stacks. Fragile items shall be stacked with no more than 1.5 meters (5 feet) high;
> - Stack of cartoons per pallet should fit in to the standard height of rack beams;

- Ensure that there is no reversed stacking of carton per pallet;
- Place cling wrap/ plastic wrap on top of the stack to maintain stability during storage and transport.

Item 4.3.4 Product Quality Monitoring – Observe product quality by visually and randomly inspecting for:

- Broken/ripped packages;
- Missing or incomplete quantity items;
- Unreadable/ripped Inventory label form;
- For liquid and sterile products: Moisture inside the packaging, leakages, discoloration, cloudiness, and sediments;
- For tablets and capsules: stickiness, disintegration, discoloration, stain and unusual smell;
- For tubes: stickiness, leaking contents and holes;
- For blister packs and foil packs: perforations.

4.3.5 Ventilation – Ensure ventilation and cooling by opening windows or air vents of the storage areas to allow air circulation and promote dehumidification if relative humidity exceeds acceptable limits inside the warehouse/storeroom.

4.3.6 Temperature and relative humidity monitoring – Ensure that thermo hydrometer units are placed throughout the storage area for balanced monitoring.

4.3.7 Temperature Requirement – Store products based on its Temperature Requirement:

- Normal storage conditions – dry, well-ventilated premises at temperature 15 up to 30 Degrees Celsius. Excluding extraneous matter, contamination and intense light;
- Defined storage conditions – drugs products that must be stored under defined condition require appropriate storage instructions

4.3.8 Protection from Sunlight – Ensure that commodities are protected from direct sunlight:

- Shade the windows and use curtains if commodities are likely to be exposed to sunlight;
- Keep products sealed carton;
- Do not store or pack products in sunlight;

- Use opaque plastic or dark glass bottles for products that require them

4.3.9 Product Identification – Ensure all products per pallet are properly identified with readable, accurate and complete Bin Card or Product Identification Label at all times.

274. During the year, the City Mayor's Office procured several Drugs and Medicines for their *Oplan Kalinga Program (OKP)* amounting to **P4,610,238.50.** Details of the Obligations are as follows:

Table 15. Drugs and Medicines Expenses-Medical (50203070-001)

DATE	PARTICULARS	OBR NO.	AMOUNT
15-Mar-24	MMJS PHARMACY AND MEDICAL SUPPLIES/DRUGS AND MEDICINES EXPENSES	2024-03-2349	P292,500.00
04-Apr-24	MMJS PHARMACY AND MEDICAL SUPPLIES/MEDS-1ST QTR	2024-04-3004	196,620.00
05-Aug-24	MMJS PHARMACY AND MEDICAL SUPPLIES/RABIES VACCINE	2024-08-7369	398,000.00
28-Aug-24	MMJS PHARMACY AND MEDICAL SUPPLIES/RABIES VACCINE	2024-08-8351	299,850.00
21-Oct-24	MMJS PHARMACY AND MEDICAL SUPPLIES/MEDS-3RD QTR	2024-10-0611	298,334.00
21-Oct-24	MMJS PHARMACY AND MEDICAL SUPPLIES/RABIES VACCINE	2024-10-0612	495,000.00
27-Dec-24	MMJS PHARMACY AND MEDICAL SUPPLIES/RABIES VACCINE	2024-12-4138	497,500.00
27-Dec-24	MMJS PHARMACY AND MEDICAL SUPPLIES/RABIES VACCINE	2024-12-4139	497,500.00
27-Dec-24	MMJS PHARMACY AND MEDICAL SUPPLIES/AMLODIPINE, ASCORBIC ACID, CELECOXIB, ETC.	2024-12-4174	495,480.00
		TOTAL	**P3,470,784.00**

Table 16. Drugs and Medicines Expenses-Dental (50207030-002)

DATE	PARTICULARS	OBR NO.	AMOUNT
23-Sep-24	MMJS PHARMACY AND MEDICAL SUPPLIES/MEDS	2024-09-9339	P172,040.00
27-Dec-24	MMJS PHARMACY AND MEDICAL SUPPLIES /CEFALEXINE, CELECOXIB, CETERIZINE, ETC. (4TH QTR)	2024-12-4172	524,089.50
		TOTAL	**P696,129.50**

Table 17. Medical, Dental and Laboratory Supplies Expenses (50203080)

DATE	PARTICULARS	OBR NO.	AMOUNT
04-Apr-24	MMJS PHARMACY AND MEDICAL SUPPLIES/DENTAL SUPPL.-1ST QTR	2024-04-2984	P74,250.00
27-Sep-24	MMJS PHARMACY AND MEDICAL SUPPLIES/ALCOHOL, COTTON BALLS, DISINFECTANT, DISPOSABLE DENTAL NEEDLE, ETC	2024-09-9624	123,400.00
02-Dec-24	MMJS PHARMACY AND MEDICAL SUPPLIES/ALCOHOL, CIDEX DISINFECTANT, ETC	2024-12-3457	245,675.00
		TOTAL	**P443,325.00**

Image 14. Drugs and Medicines stock room in the Office of the City Mayor



275. During our ocular inspection, it was found that the procured medicines were stored at the City Mayor's Office. Based on our observation, the room is not equipped to monitor the proper humidity or ventilation essential for preserving the quality and effectiveness of pharmaceuticals. The medicines remained in their original boxes without proper labeling and were not systematically arranged. Moreover, the personnel in-charge was not able to present proper monitoring system for the tracking of the quantity of medicines received, distributed, and remaining stock

balances. There was also no established system for monitoring expiration dates. These conditions are clearly not in accordance with the minimum standards of the DOH's Warehouse Operation Manual on warehouse management operations particularly on the supply management of health commodities procured by and donated to the government.

276. Finally, **it is emphasized that a licensed pharmacist should be overseeing the handling, inspection, and dispensing of the drugs and medicines.** Based on the inspection reports, it cannot be determined whether or not the delivered and accepted drugs and medicines were inspected by a licensed pharmacist. This procedure is in accordance with Section 31 of the Republic Act No. 10918, the Philippine Pharmacy Act, which requires that the dispensing of pharmaceutical products be performed only by licensed pharmacist. In addition, Section 41 thereof states that establishments handling pharmaceuticals must have a licensed pharmacist overseeing the operations. The management, however, assured that they only dispense the drugs and medicines during official activities under the Oplan Kalinga Program and do not dispense without a doctor's prescription and the assistance of City Health Office personnel.

277. The observed existing conditions in the handling, monitoring, and inventory management of drugs and medicines stored in the City Mayor's Office are not in compliance with the minimum standards set by the DOH and requirements of the law. This deficiency raises concerns on the assurance of proper storage of the drugs and medicines and the prevention of unauthorized dispensing of restricted medicines, such as antibiotics, to individuals without proper medical prescriptions. Also, it poses higher risk of improper handling of the drugs and medicine which could undermine its efficacy, safety, and quality.

278. Thus, it is crucial that the management, inventory, and distribution of drugs and medicines be handled by the City Health Office since it is mandated to oversee and implement public health programs, ensure healthcare services are accessible, and enforce health regulations within the city.

Recommendations:

279. We recommended the immediate transfer of the drugs and medicines stored at the City Mayor's Mayor to the City Health Office and for the latter to ensure compliance with minimum standard processes in storing health commodities as prescribed by the DOH and applicable laws, rules and regulations.

280. We further recommended that all pharmaceutical products received by the City be inspected by a licensed pharmacist.

Management's Comments:

281. The City Health Office was amenable of the observed deficiencies and committed to the adherence of the audit recommendations. The City Mayor's Office, on the other hand, have yet to submit their written reply to the above discussed audit observation and recommendations. Nonetheless, during the exit conference, the management did not raise any contention on any of the matters discussed above.

Auditor's Rejoinder:

282. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Utilization of LDRRM Funds

283. **Out of P165.216 million of LDRRM Fund available funds from 70% mitigation fund and prior years' unexpended balances, P76.010 million or 46.01 percent were not utilized caused by the delay and non-implementation of LDDRM PPAs programmed for CY2024 undermining the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.**

284. Section 21 of R.A. No. 10121 further states:

> The present Local Calamity Fund shall henceforth be known as the Local Disaster Risk Reduction and Management Fund (LDRRMF). Not less than five percent (5%) of the estimated revenue from regular sources shall be set aside as the LDRRMF to support disaster risk management activities such as, but not limited to, pre-disaster preparedness programs, including training, purchasing life-saving rescue equipment, supplies and medicines, for post-disaster activities, for the payment of premiums on calamity insurance.. **The LDRRMC shall monitor and evaluate the use and disbursement of the LDRRMF based on the LDRRMP as incorporated in the local development plans, annual work and financial plan.** (Emphasis ours)

285. Based on the CY 2024 Annual and Supplemental Budgets, CY 2024 Disaster Risk Reduction and Management Plan as incorporated in the Annual Investment Program, and Report on the Receipt and Utilization of City Disaster Risk Reduction and Management Fund as of December 31, 2024, the total funds available and its corresponding utilization for CY 2024 is presented below:

Table 18. LDRRMF-Current Appropriation CY 2024

Particulars	Appropriation	Utilization CY 2023	Transferred to STF	Balance as of 12/31/2024	% of Non-Utilization
Current Appropriation CY 2024					
Disaster Prevention and Mitigation	P 16,204,999.87	P6,104,107.00	P50,265.04	P10,050,627.83	62.02%
Disaster Preparedness	24,200,000.00	1,733,473.00	252,427.00	22,214,100.00	91.79%
Disaster Response	7,320,300.00	6,205,692.30	1,114,607.70	0.00	0.00%
Disaster Rehabilitation and Recovery	5,000,000.00	4,999,455.51	0.00	544.49	0.01%
Total 70% Component	***52,725,299.87***	***19,042,727.81***	***1,417,299.74***	***32,265,272.32***	***61.20%***
Quick Response Fund	22,596,557.08	16,750,459.10	5,846,097.98	0.00	0.00%
Total 30% Component	***22,596,557.08***	***16,750,459.10***	***5,846,097.98***	***0.00***	***0.00%***
TOTAL-Current	**P75,321,856.95**	**P35,793,186.91**	**P7,263,397.72**	**P32,265,272.32**	42.84%

Table 19. LDRRMF-Continuing Appropriations

Calendar Year	Appropriation	Utilization CY 2024	Declared as Savings	Balance as of 12/31/2024	% of Non-Utilization
Continuing Appropriation					
CY 2023	P32,595,002.56	P30,914,317.97	P1,354,006.56	P326,678.03	1.00%
CY 2022	7,606,585.42	3,093,524.83	1,206,584.42	3,306,476.17	43.47%
CY 2021	2,360,345.26	696,954.00	59,000.00	1,604,391.26	67.97%
CY 2018	46,120.00	0.00	46,120.00	0.00	0.00%
TOTAL-Continuing	**P42,608,053.24**	**P34,704,796.80**	**P2,665,710.98**	**P5,237,545.46**	**12.29%**

286. It was observed that P32,265,272.32 and P5,237,545.46 or 42.84% and 12.29% of the current and continuing appropriations under the LDRRM Fund, respectively, was not utilized during the year.

287. Furthermore, unexpended QRF and DRRMF-MOOE from previous years (2019-2023) which were transferred to the Special Trust Fund remains available for utilization by the City as follows:

Table 20. Special Trust Fund CY 2020-2024.

Particulars/ Year	**Amount Programmed** (includes re-appropriation from STF of various years)	**Utilization** (Prior Years) (includes re-appropriation & declaration of savings)	**Utilization** (CY 2024)	**Declared as Savings & Re-appropriated/ Reverted in STF** (CY 2024)	**Unutilized Balance as of 12/31/2024**
STF 2024 (Calamity Fund 2023)	P30,098,441.16	P0.00	P12,817,460.00	P0.00	17,280,981.16
STF 2023 (Calamity Fund 2022)	26,589,435.13	24,703,270.77	556,609.99	0.00	1,329,554.37
STF 2022 (Calamity Fund 2021)	40,957,299.95	3,678,811.35	1,093,160.00	17,903,530.79	18,281,797.81
STF 2021 (Calamity Fund 2020)	15,942,716.71	15,772,628.62	0.00	0.00	170,088.09
STF 2020 (Calamity Fund 2019)	36,956,174.11	36,506,455.41	421,900.00	0.00	27,818.70
TOTAL-STF	**P150,544,067.06**	**P80,661,166.15**	**P14,889,129.99**	**P17,903,530.79**	**P37,090,240.13**

288. As shown in the table above, P37,090,240.13 of the appropriations under the Special Trust Fund remained unutilized as at December 31, 2024. Details of which are presented in *Annex P*, meanwhile, a summary of the data is shown below:

Table 21. Percentage of Utilization-LDRRMF.

Particulars	**Appropriation**		**Utilization**		**Declared as Savings**		**Unutilized Balance as of 12/31/2022**	
	PPAs	**Amount**	**PPAs**	**Amount**	**PPAs**	**Amount**	**PPAs**	**Amount**
CY 2024 Current Appropriation								
70% DRRMF Component	18	P52,725,299.87	13	P19,042,727.81	-	P0.00	5	33,682,572.06
Percentage (%)		100.00%		36.12%		0.00%		63.88%
Continuing Appropriation								
CY 2018-2023	35	42,608,053.24	15	34,704,796.80	15	2,665,710.98	5	5,237,545.46
Percentage (%)		100.00%		81.45%		6.26%		12.29%
Appropriated Special Trust Fund (CY 2024 Beginning Balance)								
CY 2019-2023	54	69,882,900.91	34	14,889,129.99	3	17,903,530.79	17	37,090,240.13
Percentage (%)		100.00%		21.31%		25.62%		53.07%
Total Appropriation	**107**	**P165,216,254.02**	**62**	**P68,636,654.60**	**18**	**P20,569,241.77**	**27**	**P76,010,357.65**
Percentage		**100.00%**		**41.54%**		**12.45%**		**46.01%**

289. Out of the total funds allocated and available for the Programs, Projects, Activities under the LDRRM Fund for CY 2024, composed of current, continuing, and Special Trust Fund appropriations, amounting to P165,216,254.02, only P68,636,654.60 or 41.54% was utilized, while P20,569,241.77 or 12.45% were

declared as savings, thus, leaving a balance of P76,010,357.65 or 46.01% intended for twenty-seven (27) PPAs which remained unimplemented as at year-end. The detailed breakdown of the unutilized LDDRM Fund per PPA is shown in *Annex P*.

290. This observation has been also noted in CY2022 and CY2023 Annual Audit Report. Actions were taken by the Management to address the deficiencies noted, particularly, the declaration of savings for the unexpended balances of prior year completed projects and for the idle funds of several unimplemented projects. However, the low utilization of the LDRRM Fund is still prevalent in CY2024, thus this restatement. Notable, the rate of the unutilized fund only decreased by 0.78% as shown in the table below.

LDRRM Funds	**CY 2023**	**CY 2024**
Current Appropriations (70% Component)	P58,192,010.00	P52,725,299.87
Continuing Appropriations	44,225,991.33	42,608,053.24
Appropriated Special Trust Fund	55,199,382.07	69,882,900.91
Total Funds	**157,617,383.40**	**165,216,254.02**
Less: Amount Utilized and/or Declared as Savings	(83,866,940.17)	(89,205,896.37)
Unutilized Balance	**P73,750,443.23**	**P76,010,357.65**
% of Non-Utilization	***46.79%***	***46.01%***

291. The LDRRM Office explained that low utilization of the LDRRM Fund was due to the delay in the implementation and non-implementation of LDRRM PPAs by the respective implementing offices of the City. He added that based on the consultation with them during the CDRRM Council's meetings, several PPAs remained unimplemented as at year-end due to the following factors:

- insufficient approved budget costs
- difficulty in finding qualified suppliers for the procurement of supplies and equipment
- unfinished preparation of Program of Works for infrastructure projects
- failure in meeting the deadline for the processing of the Obligation Request

292. The causes of delay enumerated above (except for failure in meeting the deadline for the processing of the Obligation Request) connote lapses in the planning and identification of the LDRRM PPAs to be prioritized for implementation in CY2024. As per requirement, Program of Works for Infrastructure Projects should have been completed prior to its inclusion in the priority projects for LDRRM in a given period. Likewise, during planning stage, detailed engineering and through

research should have been done in order to ensure that the Approved Budget Cost is competitive with the current market prices. The difficulty to find qualified suppliers can also associated with the poor estimation of the budget approved for certain LDDRM PPAs.

293. The non-optimal utilization of the 5% LDRRMF contravenes the purpose of R.A. No. 10121 which provides that the LDRRMF shall be holistically utilized for disaster risk reduction, preparedness and mitigation as well as disaster response and recovery. The delay in the implementation and completion of the projects adversely affected the timely delivery of services to the intended beneficiaries. This condition may affect the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.

294. Finally, cost estimates of the projects are based on of prevailing prices in the market during the year it was identified as priority for implementation. Thus, the projects should be implemented as soon as cash becomes available due to price escalation in the later years; otherwise, the estimated budget set for each project may not be enough resulting to the reluctance of suppliers/contractors to bid which in turns delay the procurement process. As result, the optimal value of the government fund was not enjoyed due the decrease in the value of money as time passes.

Recommendations:

295. We restated our prior year's recommendations and the Management agreed as follows:

a. The CDRRM Council and CDRRM Office to conduct an evaluation and reassessment of the delayed and unimplemented LDDRM PPAs and formulate an action plan/ strategies on how to fast track its completion and to avoid its recurrence; and,

b. The CDRRM Office, City Planning and Development Office and the Proponent/Implementing Offices to meticulously plan and propose LDRRM PPAs that are attainable and implementation ready within the budget year to prevent delays in the implementation and achieve optimal utilization of the fund.

Unaccounted distribution of welfare goods

296. **Distribution of welfare goods amounting to P15,758,000.00 could not be accounted for due to absence of sufficient documentation to substantiate its proper distribution, thereby casting doubt on the completeness of the goods delivered to its intended recipients.**

297. Sections 2 of Presidential Decree (PD) No. 1445 otherwise known as the *"Government Auditing Code of the Philippines"* provides:

> **Section 2. Declaration of Policy.** It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguard,ed against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of the government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

298. Furthermore, Section 4 (6) of PD No. 1445 mandates that *claims against government funds shall be supported with complete documentation.*

299. Section 2(p) of Republic Act No. 10121 also provides that it shall be the policy of the State to:

> Provide maximum care, assistance and services to individuals and families affected by disaster, implement emergency rehabilitation projects to lessen the impact of disaster, and facilitate resumption of normal social and economic services.

300. During the Calendar Year 2024, under the local declaration of State of Calamity due to persistent rainfall and severe flooding brought about by the Shear Line as per SP Resolution No. 57, series of 2024 approved on January 30, 2025, the 30% Quick Response Fund under the Local Disaster Risk Reduction and Management Fund (LDRRMF) was utilized by the City for the procurement of 5,000 sacks of rice and other food supplies totaling to P15,758,000.00 intended for distribution to households who were affected by the flooding incidents. Details are shown in the following table:

Particulars	Reference	Supplier	Amount
Purchase of 5,000 sacks of rice for relief goods/stockpiling	Ck#1665876 03/07/2024	Herlyn's Store	P13,750,000.00
Purchase of food supplies for relief goods - 50,000 pcs. canned sardines 50,000 pcs. noodles 300 packs of large cellophane (100s)	Ck#1665875 03/07/2024	MMJS Pharmacy & Medical Supplies	2,008,000.00
Total			**P15,758,000.00**

301. The documents attached to the Disbursement Vouchers are as follows:
    a. Status report of all barangays affected by flood as of January 31, 2024;
    b. List of affected families and individuals catered inside the evacuation center as of February 2, 2024; and,
    c. Undated photos taken during distribution.

302. However, no relief distribution sheets or any form of acknowledgement containing the: (1) names and other basic information of recipients with corresponding signature; (2) quantity and item of food supplies received; and (3) date and venue of distribution was attached to the disbursement voucher to show that the intended recipients had indeed received the afore-cited welfare goods.

303. The relief distribution sheets or any form of acknowledgment would have served as evidence that the intended recipients rightfully received the assistance thereby establishing that the government funds were used for the authorized purpose. Such documents would have also served as a quality control to avoid double issuance of the relief goods to same beneficiary. It also improves efficiency in the delivery of services to ensure smooth and proper distribution of assistance. Finally, it can also be used during monitoring and evaluation to determine if the estimated quantities of the relief goods are enough for all affected individuals.

304. As a result, the accuracy and completeness of the goods delivered to recipients cannot be fully verified, increasing the risk of loss or misuse of relief items.

305. Section 39 (1) of Presidential Decree No. 1445, also known as the "Government Auditing Code of the Philippines", the Commission has the power, for purposes of inspection, to require the submission of other documents under which any payment from government funds may be made, together with other evidence in connection therewith.

Recommendation:

306. We recommended that the City Disaster Risk Reduction and Management Office (CDRRMO) and other concerned implementing offices to submit immediately the relief distribution sheet or any form of acknowledgement from the recipients detailing the specific items and the quantity received, as well as, the date and venue of distribution of such assistance.

Management's Comments:

307. During the exit conference, the CDRRM Officer explained that the distribution of the relief goods is primarily undertaken by the City Mayor's Office and City Social Welfare and Development Office in accordance with the DRRM approach of the NDRRM Response Cluster System adopted by the city as indicated in the local contingency plans. Thus, they are not the competent office to exlain the noted observation. On the other hand, the City Mayor's Office requested for additional time to submit their written reply as the office is still preparing the necessary supporting documents to ensure a thorough and accurate response. Nonetheless, during the exit conference, the management did not raise any contention on any of the matters discussed above.

Auditor's Rejoinder:

308. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Undocumented receipt and utilization/distribution of cash, in-kind donations and procured goods for DRRM

309. **Receipt and utilization/distribution of cash (P500,000.00) and in-kind donations (P375,000.00) as well as procurement of supplies, materials, equipment and relief goods (P26,392,540.90) for Disaster Risk Reduction and Management were not properly documented with the required forms, registries and reports as prescribed under COA Circular No. 2014-002.**

310. COA Circular No. 2014-002 dated April 15, 2014 promulgates the accounting and reporting guidelines in the receipt and utilization of National Disaster Risk Reduction and Management Fund (NDRRMF), disaster relief aid/donations in cash and in-kind and the funds allocated from the agency regular budget for DRRM program.

311. Specifically, for in-kind donations from local and foreign sources, Item IV-C of the same COA Circular states that:

> 1. **Acknowledgement Receipt for In-Kind Donations for DRRM** (Annex D) shall be issued by the Head of the Agency or his/her authorized representative for the receipt of in-kind donations.
>
> 2. Issuance of donated relief goods for distribution to intended beneficiaries/end-users shall be supported with **Issuance Form for In-Kind Donations – DRRM** (Annex E).
>
> xxx
>
> 7. In-kind donations other than PPE shall not be recognized in the books of accounts but shall be recorded in the **Registry of Donated Relief Goods for DRRM** to be prepared and maintained by the Property and Supply Unit for each kind of relief goods using the prescribed format shown in Annex G.
>
> 8. Donated relief goods shall be sorted, inventoried/counted and recorded upon receipt and before repacking. The distribution shall be made immediately, especially the perishable goods/items.

312. Additionally, Item V-B thereof also provides for In-Kind Donations that:

> The Donee-Agency shall prepare **monthly reports on the receipt and distribution/utilization/issuance of in-kind donations**. Separate reports (Annexes N and O) shall be prepared for relief goods and PPE based on the Registry of Donated Relief Goods for DRRM and Property Cards, respectively. The reports shall be submitted to the OCD, copy furnished the COA Auditor, on or before the 10th day of the ensuing month until all donations are fully consumed/utilized.

313. Item VI also mandates the inventory and monitoring of procured and donated supplies, materials, equipment and relief goods, viz:

> 1. The head of the agency shall be primarily responsible for the safeguarding of all procured and donated supplies, materials, equipment and relief goods against loss and wastage through illegal

or improper disposition, in accordance with Section, Presidential Decree No. 1445.

2. The Property Officer shall **prepare and maintain an inventory list of all procured and donated items** (Annexes P, P-1 and P-2) based on the updated Stock Cards and Property Cards prescribed under Sections 41 and 42, Volume II of MNGAS.
3. For PPE, issuances shall be covered by Acknowledgement Receipt for Equipment (ARE), while for small items mentioned in para. IV.A.7, by Inventory Custodian Slip (ICS).

4. Periodic reconciliation of accounting and property records shall be made and discrepancy(ies), if any, shall be immediately verified and adjusted." (Emphasis ours)

314. Finally, Item V-A provides the accounting and reporting guidelines for the receipt and utilization of cash donations from local and foreign sources, towit:

> 1. The national and local government agencies with DRRMF allocation from the GAA and/or cash donations received from local and/or foreign sources shall prepare and submit to NDRRMC through the Office of the Civil Defense (OCD), on the 5th day following the end of each month, the Report on the Receipt and Utilization of the DRRMF sourced from GAA (Annex H) and **Report on the Receipt and Utilization of Cash Donations** (Annex I). The reports shall be furnished the respective COA Auditor." (Emphasis ours)

315. We have examined the City's compliance with the pertinent provisions of COA Circular No. 2014-002 and noted the following deficiencies:

A. There were no acknowledgement receipt and issuance form accomplished upon the receipt and distribution of the 300 sacks of rice from the OCD Region XI

316. On August 20, 2024, as confirmed from the OCD Region XI (see attached *Annex Q*), 300 sacks of rice amounting to P500,000.00 was received by the City which were intended for distribution to the flood affected households. The Audit Team has the submission of supporting documents, as required by COA Circular 2014-

002, to substantiate the receipt and distribution of the said relief goods but management was unable to furnish to COA the following reports:

a. Acknowledgement Receipt for In-Kind Donations for DRRM
b. Issuance Form for In-Kind donations for DRRM
c. Registry of Donated Relief Goods for DRRM
d. Report on the Receipt and Distribution/Issuance of Donated Relief Goods
e. Inventory List of Donated Items for DRRM
f. Relief Distribution Sheet

317. As per CGSO's reply, the receipt of the said relief goods from the OCD was not coursed through their office, thus, the documents requested cannot be provided. As per CDRRMO's reply, the distribution of the relief goods is primarily undertaken by the City Mayor's Office and City Social Welfare and Development Office since the local DRRM approach follows the NDRRM Response Cluster System as indicated in the local contingency plans. However, the CSWDO stated that their Office is not aware of the said donated goods. The City Mayor's Office have yet to submit their written reply.

318. Finally, relief distribution sheets containing details on the name of recipients, quantity and acknowledgement of goods received as well as the date, venue, manner and photo documentation of actual distribution were also not received by the Audit Team.

319. Due to the non-submission of the pertinent documents mentioned above, the Audit Team is precluded from verifying whether the donated relief goods were properly received and distributed to its intended beneficiaries. Moreover, the lack of proper documentation hinders the establishment of transparency, accountability and efficiency in the monitoring and management of donated relief goods.

B. There were no report on the receipt and utilization of cash donation from the City Government of Davao amounting to P500,000.00

320. On April 30, 2024, the City received P500,000.00 cash donation from the City Government of Davao intended for those affected by the persistent rainfall brought about by shearline in the 1st quarter of the year as recorded via JEV-2024-04-003193.

321. Although the cash donation was properly acknowledged with OR#237609 and recorded in the books of the agency under the Trust Liabilities account (SL Code

20401010-05-032), the following reports required in the same COA Circular were not submitted, viz:

a. Registry of Cash Donations and Utilizations
b. Report on the Receipt and Utilization of Cash Donations

322. Although the City Accountant informed that the said cash donation was not yet utilized, the non-submission of the aforementioned reports signifies non-compliance with the accounting and reporting guidelines set forth in COA Circular No. 2012-004 and undermines the purpose of providing quality and readily available financial reports aimed to enhance transparency and accountability in the use of disaster relief aid and donations.

C. Inventory list of all procured supplies, materials, equipment and relief goods were not maintained

323. In CY 2024, supplies, materials, equipment and relief goods totaling P26,392,540.90 were procured under the LDRRM Funds, viz:

Fund	Amount of Supplies, Materials, Equipment and Relief Goods Procured
70% LDRRMF	P9,642,081.80
30% Quick Response Fund	16,750,459.10
Total	**P26,392,540.90**

324. As shown in the above table, procured supplies, materials, equipment and relief goods totaled to P26,392,540.90, consisting of P9,642,081.80 and P16,750,459.10 funded under 70% LDDRMF and the 30% QRF, respectively. The details of procured supplies, materials, equipment and relief goods charged under the 70% LDDRM Fund are as follows:

Table 22. Procured Supplies, Materials, Equipment and Relief Goods – 70% LDRRMF

PPA	Implement-ing Office	Appro-priation	Utilization	Unutilized Balance	Status of Implement-ation
70% Preparedness Component					
Purchase of Rescue Supplies	CDRRMO	P400,000.00	P399,665.00	P335.00	100% completed
Purchase of Rescue Equipment	CDRRMO	300,000.00	295,000.00	5,000.00	100% completed
Purchase of Ambulance	CDRRMO	2,500,000.00	2,490,000.00	10,000.00	100%

PPA	Implement-ing Office	Appro-priation	Utilization	Unutilized Balance	Status of Implement-ation
					completed
Rescue Vehicle	CDRRMO	1,800,000.00	1,689,000.00	111,000.00	100% completed
Purchase of Generator Set	CDRRMO	250,000.00	249,000.00	1,000.00	100% completed
70% Prevention and Mitigation Component					
Upland and Urban Greening Program					
Agricultural and Marine Supplies Expense	CENRO	500,000.00	467,400.00	32,600.00	94.33% On-going
Other Supplies & Materials Expenses		350,000.00	251,258.00	98,742.00	
Agriculture Support Program					
Drugs and Medicines Expenses	CAGRO	100,000.00	98,200.00	1,800.00	100% completed
Agricultural and Marine Supplies Expenses		200,000.00	199,895.00	105.00	
1 unit Underwater Camera		100,000.00	95,000.00	5,000.00	
1 unit Mini Hand Cultivator		200,000.00	145,000.00	55,000.00	
1 unit Incubator Thermoelectric Cooling Fridge		50,000.00	48,200.00	1,800.00	
1 unit Mist Blower (Rechargable Backpack type with 2 Mix Engine)		50,000.00	48,200.00	1,800.00	
1 unit Micro Bead Sterilizer w/ Glass Beads		50,000.00	49,500.00	500.00	
70% Response Component					
Stockpiling of Basic Emergency Supplies (Food and Non-food items)	CSWDO	1,000,000.00	978,520.00	21,480.00	100% completed
Emergency Kits	CSWDO	1,000,000.00	994,750.00	5,250.00	100% completed
ASF Eradication					
Food Supplies Expenses	City Veterinary Section	187,200.00	187,200.00	-	100% completed
Drugs and Medicines Expensess		28,200.00	28,000.00	200.00	
Medical, Dental & Laboratory Supplies Expense		33,100.00	30,335.00	2,765.00	
Agricultural and Marine Supplies Expenses		759,300.00	743,840.00	15,460.00	
Other Supplies & Materials Expenses		158,500.00	154,118.80	4,381.20	
TOTAL		**P10,016,300.00**	**P9,642,081.80**	**P374,218.20**	

325. Furthermore, the supplies, materials and relief goods for distribution procured out of the 30% Quick Response Fund are as follows:

Table 23. Procured Supplies, Materials, Equipment and Relief Goods – 30% QRF

Date	Check No.	Supplier	Particulars	Gross Amount
07-Mar-24	1665876	Herlyn's Store	Payment of Rice for Relief goods/stockpiling (5,000 sacks of rice)	P13,750,000.00
07-Mar-24	1665875	MMJ'S Pharmacy & Medical Supplies	Payment of food supplies for relief goods - 50,000 canned sardines 155g 300 pack cellophane large 100s 50,000 noodles	2,008,000.00
29-Aug-24	1669627	Cor-Sat Consumer Goods Trading	Payment of starter feeds et. al. - 10 sacks hog starter feeds 15 piglets, 20kl 45 days 20 chicken, ready to lay, 8mos	109,850.00
04-Sep-24	1669825	Cor-Sat Consumer Goods Trading	Payment of Chicken Ready to Lay et.al 30 Chickens, ready to lay, 8mos 30 piglets, 20kls 45days 10 sacks hog starter feeds	189,800.00
04-Sep-24	1669815	Cor-Sat Consumer Goods Trading	Payment of B-Complex at. al (medicines for animals/livestock)	48,990.00
11-Sep-24	1669983	Cor-Sat Consumer Goods Trading	Payment of Ammusol et.al (fertilizer, seedlings etc)	45,241.00
11-Sep-24	1669934	Cor-Sat Consumer Goods Trading	Payment of Feed Finisher et.al	110,046.00
11-Sep-24	1669869	Cor-Sat Consumer Goods Trading	Payment of Complete Fertilizer (22 bags)	47,740.00
16-Sep-24	1670092	Tres Marias Catfish Hatchery	Payment of Fingerling et.al 8,000 pcs fingerling-hito 31,660 pcs fingerling-tilapia	39,513.40
24-Sep-24	1714153	Cor-Sat Consumer Goods Trading	Payment of Urea et. al	100,610.00
29-Oct-24	1714850	S.A.E. Agrivet Trading	Payment of Complete Fertilizer et.al	49,590.00
22-Oct-24	1714711	Cor-Sat Consumer Goods Trading	Payment of Fertilizer Applicator et.al	98,650.00
04-Dec-24	1715618	Cor-Sat Consumer Goods Trading	Payment of Digital Weighing Scale et.al	98,386.50
04-Dec-24	1715619	Cor-Sat Consumer Goods Trading	Payment of Burnt Lime	54,042.20
TOTAL				**P16,750,459.10**

326. However, the Inventory List of All Procured Items for DRRM, as required in the same COA Circular, was not submitted for verification by the Audit Team. As per CDRRMO, their office follows the inventory form prescribed by the CGSO which

is analog to the forms required in COA Circular No. 2014-002. Further, inventory management is primarily undertaken by the CGSO. On the other hand, as of date, the CGSO has yet to submit the required inventory reports for the procured items under the LDRRM Funds.

327. In view of the foregoing, the non-submission and non-preparation of the required inventory reports and registries as prescribed under COA Circular No. 2014-002 depicts weakness in the internal control of the agency pertaining to the safeguarding of all procured and donated supplies, materials, equipment and relief goods against loss and wastage though illegal or improper disposition.

Recommendations:

328. We recommended and the Management agreed to the following courses of action:

a. Starting CY 2025, the CDRRMO, CGSO and all concerned implementing offices to establish the proper receipt, distribution and inventory monitoring of all in-kinds donations received from foreign and local sources as by preparation and submission of the following required reports/ documents as prescribed under COA Circular No. 2014-002:
    - Acknowledgement Receipt for In-Kind Donations for DRRM
    - Issuance Form for In-Kind donations for DRRM
    - Registry of Donated Relief Goods for DRRM
    - Report on the Receipt and Distribution/Issuance of Donated Relief Goods
    - Inventory List of Donated Items for DRRM
    - Relief Distribution Sheet containing details on the name of recipients, quantity and acknowledgement of goods received as well as the date, venue, manner and photo documentation of actual distribution

b. CDRRMO and CAO to prepare and submit the required reports pertaining the receipt and utilization of cash donation of P500,000.00 from City Government of Davao:
    - Registry of Cash Donations and Utilizations
    - Report on the Receipt and Utilization of Cash Donations

c. CDRRMO and CGSO to conduct proper inventory and monitoring of all procured supplies, materials and equipment and relief goods for DRRM starting in CY 2025 through the submission of the Inventory List of All Procured Items for DRRM

Unimplemented PPAs for 20% Development Fund and Locally Funded Projects

329. **Nine (9) projects, programs and activities (PPAs) under the 20%Development Fund and sixty-three (63) Locally Funded Projects programmed from the Calendar Year (CY) 2018 to 2024 with total appropriation and allotment of P146,373,480.00 and P184,966,659.02, respectively, were neither started and/or completed as at December 31, 2024 contrary to the provisions of Presidential Decree No. 1445 and other pertinent laws, rules and regulations.**

330. This audit observation has also been noted in the audit of CY2023 and prior years. However, evaluation of the implementation of the audit recommendations pertaining thereto remained unimplemented in CY2024, thus this restatement.

331. The Department of Budget and Management (DBM), Department of Finance (DOF), and Department of Interior and Local Government (DILG), issued Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020, to revise the guidelines and policies on the utilization of the 20% Development Fund (DF) to enable the Local Government Units (LGUs) to better address the constantly evolving development needs of their respective constituents. Among the policies and guidelines in the appropriation and utilization of the 20% DF, importance was required on the following provision:

> 3.2.3 The LGUs shall ensure that the development projects to be funded out of the 20% DF are **well-planned and procurement-and-implementation-ready**. (Emphasis supplied)

332. Section 2 of Presidential Decree (PD) No. 1445, also known as the "Government Auditing Code of the Philippines" provides:

> It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

333. As of December 31, 2024, nine (9) projects, programs and activities (PPAs) funded under the 20% Development with total appropriation and allotment of

P146,373,480.00 were either not started or started but not completed in CY2024 despite its appropriation and allotment in CY2023 and prior years. The details of these projects are presented in the following tables.

	Projects under 20% Development Fund	Budget Year	As of December 31, 2024		
			Appropriation	Allotment	Obligations
	City Mayor's Office				
1	Land Banking-Citywide	CY 2024	P7,300,000.00	P7,300,000.00	-P0.00-
2	Land Banking-Citywide	CY 2023	19,382,046.00	19,382,046.00	-0.00-
		Sub-total	*26,682,046.00*	*26,682,046.00*	*-0.00-*
	City Engineering Office				
3	Construction Of Public Market Building-New Pandan	CY 2024	102,131,434.00	102,131,434.00	-0.00-
4	Construction Of Drainage At Baghdad, Barangay San Vicente-san Vicente	CY 2024	3,060,000.00	3,060,000.00	-0.00-
5	Site Development for Resettlement Area-Katipunan	CY 2023	4,000,000.00	4,000,000.00	-0.00-
6	Construction Of Sewer/Septage Treatment Facility-New Malitbog	CY 2023	3,000,000.00	3,000,000.00	-0.00-
7	Construction Of Multi-Purpose Hall-Upper Licanan	CY 2023	1,500,000.00	1,500,000.00	-0.00-
8	Improvement of Multi-purpose Building-New Malitbog	CY 2022	3,000,000.00	3,000,000.00	-0.00-
9	Construction of Drainage at Panabo Public Park-Phase 2-New Pandan	CY 2019	3,000,000.00	3,000,000.00	-0.00-
		Sub-total	*119,691,434.00*	*119,691,434.00*	*-0.00-*
		TOTAL	**P146,373,480.00**	**P146,373,480.00**	**-P0.00-**

334. Likewise, sixty-three (63) locally funded projects with total appropriation and allotment of P146,373,480.00 were either not started or started but not completed in CY2024 despite its appropriation and allotment in CY2023 and prior years. The summary is presented in the following table while the details are presented in *Annex R*.

Implementing Offices	No. of PPAs	As of December 31, 2024		
		Appropriation	Allotment	Obligations
City Mayor's Office	3	P15,000,000.00	P15,000,000.00	P168,276.00
City Engineering Office	34	105,266,659.02	105,266,659.02	-0.00-
CEEMDO-Cemetery Operations	5	10,000,000.00	10,000,000.00	-0.00-
CEEMDO-Market Operations	13	47,000,000.00	47,000,000.00	-0.00-

Implementing Offices	No. of PPAs	As of December 31, 2024		
		Appropriation	Allotment	Obligations
CEEMDO-Slaughterhouse Operations	2	1,700,000.00	1,700,000.00	-0.00-
CEEMDO-Terminal Operations	6	6,000,000.00	6,000,000.00	-0.00-
TOTAL	**63**	**P184,966,659.02**	**P184,966,659.02**	**P168,276.00**

335. The City Engineering Office (CEO) cited similar reasons in the non-implementation of these projects:

- Delays in the preparation of Program of Works
- Rebidding of projects due to deficiencies in the bidding documents submitted by the contractor causing the failure of the original bidding process
- Various problems encountered in the site warranting design changes to suit the actual field condition
- Appropriated amount for several project is not enough to defray the total estimated project cost, thus, additional appropriation is needed

336. Based on the above premise, there is a need to strengthening the preliminary engineering activities particularly the detailed engineering activities, facilitation of the field survey and inspection and the preparation of program of works and design plans.

337. The non-utilization of the fund and non-implementation of the project within its intended period of completion is in contravention of the fund's objective for optimum utilization affecting the achievement of the desired socio-economic development and environmental outcomes essential to the promotion of the general welfare of the people. Thus, the funds expected timeliness and responsiveness to the needs of the people has been diminished, because the targeted beneficiaries did not enjoy the intended benefits and/or services that they could have derived therefrom.

338. It should be emphasized that cost estimates of the projects are based on the current prevailing prices in the market. Thus, projects identified for implementation in the current budget year should be implemented in the same year due to possible price escalations in the later years that could affect the budget set for the project. Otherwise, economy in the utilization of the government funds is not met.

Recommendations:

339. We restated our prior years' recommendations to the Management for:

    a. The strengthening of the preliminary engineering activities through capacity development of its technical personnel undertaking the detailed engineering activities, facilitating the field survey and inspection and preparing the program of works and design plans to ensure that the infrastructure projects are well-planned and procurement-and-implementation ready;

    b. The implementing offices to fast track the completion of all on-going projects under 20% Development Fund and Locally Funded Projects as at December 31, 2024 and impose liquidating damages against contractors with incurred significant delays; and,

    c. The implementing offices to conduct evaluation on the unimplemented projects, especially those programmed in prior years, to determine whether it is still favorable on the part of the city government to continue the projects, otherwise, consider immediate realignment or reversion to the unappropriated surplus for re-appropriation to other priority projects subject to budgetary rules and regulations.

Management's Comments:

340. The City Engineering Office, in their reply letter, acknowledged the audit recommendations and committed to take the necessary steps to strengthen the preliminary engineering activities by prioritizing the conduct of capacity development programs for its technical personnel to enhance their expertise in detailed engineering activities. Additionally, to improve coordination in conducting field surveys, inspections and the preparation of program of work and design plans to ensure that infrastructure projects are well-planned, efficiently procured and implementation-ready, aligning with the standards set for quality and accountability.

341. The CEO has also initiated measures to expedite project completion, including close monitoring of project progress, coordination with contractors, and addressing any implementation bottlenecks. Furthermore, the CEO stated that they are conducting a thorough review of contracts with significant delays and will impose liquidated damages where applicable, in accordance with contract provisions and relevant regulations.

342. Moreover, the CEO informed that a thorough review process and evaluation of projects was conducted, especially those that were programmed in prior years. As part of their assessment process, the CEO stated that they are currently: (1) identifying the specific projects that remain unimplemented and determining the reasons for the delays thereof; (2) evaluating the feasibility of continuing these projects, considering factors such as current relevance, budget constraints and alignment with the city's development priorities; (3) consulting with relevant stakeholders, including the CPDO and CBO, to explore possible realignment or reversion of funds, if necessary, in accordance with relevant budgetary laws, rules and regulations.

343. Lastly, the CEO explained that due to the substantial number of projects being undertaken by the City, some projects may have been inadevertently overlooked or placed in queue for implementation. This is primarily due to the volume of projects requiring simultaneous execution, limited number of technical personnel available, complexity of certain projects, unforeseen challenges in the execution and prioritization based on urgency and available funding. Nevertheless, the CEO expressed commitment in determining the viability of projects and optimal utilization of available resources for the benefit of the City's constituents.

Auditor's rejoider:

344. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verifications of the documents to be submitted.

Incomplete supporting documents for Extension/Suspension Orders of various Infrastructure Projects

345. **Extension orders for the Upgrading of Local Access Road-Barangay Upper Licanan to Waterfall-Upper Licanan with contract cost of P64,988,109.77 charged under 20% Development Fund were rendered doubtful due to insufficient documentary requirements to support the validity and reasonableness of its approval as provided under Annex "E" of the Revised IRR of RA No. 9184 of 2016.**

346. Annex "E" of the 2016 Revised IRR of RA No. 9184 provides the Contract Implementation Guidelines for the Procurement of Infrastructure Projects. Item 10 thereof specifically provides when Extension of Contract Time maybe granted to the Contractor, to wit:

a. There are additional work or other special circumstances that would entitle the contractor to an extension of its contract;

   Some special circumstances to be considered for contract time extension:
   - Major calamities such as exceptionally destructive typhoons, floods and earthquakes, and epidemics;
   - Non-delivery on time of materials, working drawings, or written information to be furnished by the procuring entity;
   - Non-acquisition of permit to enter private properties within the right-of-way resulting in complete paralysis of construction activities;
   - Region-wide or nationwide shortage of construction materials, as certified by the DTI Secretary;
   - Region-wide or nationwide general labor strikes, as certified by the DOLE Secretary; and 6. Serious peace and order problems as certified by the DILG, or AFP Provincial Commander and approved by the DND Secretary.

b. The affected activities fall within the critical path of the PERT/CPM network; and,

c. The contractor shall have notified the Procuring Entity that the amount of additional work or the occurrence of the special circumstance merits the extension of its contract, and that it had done so before the expiration of the contract and within thirty (30) calendar days after the start of the additional work or of the special circumstance has arisen. If the contractor fails to notify the Procuring Entity within the time period provided for, it waives any claims to contract extension.

   Upon receipt of full and detailed particulars, the Procuring Entity shall examine the facts and extent of the delay and shall extend the contract time completing the contract works when, in the Procuring Entity's opinion, the findings of fact justify an extension.

347. We have examined the grant of the extension orders for the completed infrastructure project on Upgrading of Local Access Road-Barangay Upper Licanan to Waterfall-Upper Licanan charged to 20% Development Fund with relevant details as follows:

Project Name:	Upgrading of Local Access Road-Barangay Upper Licanan to Waterfall-Upper Licanan

Location:	Brgy. Upper Licanan, Panabo City
Contractor:	O.G. Santos Construction/ Mitz Construction and Supply (Joint Venture)
Contract Cost:	P64,988,109.77
Project Date Started:	October 25, 2022
Original Target Completion Date:	June 22, 2023
Revised Target Completion Date:	March 13, 2024
Date Completed:	April 30, 2024
Original Project Duration:	240 Calendar Days
Revised Project Duration:	505 Calendar Days
Total Days Extended:	265 Calendar Days

348. As shown in the information above, from the original project duration of 240 calendar days it has been revised to 505 calendar days with time extension of 265 calendar days. The revised contract duration was more than doubled the original contract duration. The total extended time was approved under Five (5) Extension Orders as presented in the following table:

Issuances	Date Issued	Special Circumstance Cited	No. of Days	Revised Target Date of Completion
Extension Order No. 1	06/15/2023	Unworkable due to Unfavorable weather conditions	104	10/04/2023
Extension Order No. 2	10/05/2023	Unworkable due to Unfavorable weather conditions	76	12/19/2023
Extension Order no. 3	12/21/2023	Unworkable due to Unfavorable weather conditions	44	02/01/2024
Extension Order No. 4	02/02/2023	Unworkable due to Unfavorable weather conditions	27	02/28/2024
Extension Order No. 5	03/01/2024	Unworkable due to Unfavorable weather conditions	14	03/13/2024

349. Our examination revealed the following deficiencies noted in the documents supporting the approval of time suspension/extension and its effects:

Order Reference	Deficiencies Noted and its Effects
Extension Order No. 1	The notice from the contractor has no proof of receipt by City Government; hence, it is not sufficient to determine whether or not notification to Procuring Entity was done within thirty (30) calendar days after the start of the additional work or of the special circumstance cited.

Order Reference	Deficiencies Noted and its Effects
	Merits and basis of the approval of the extension order is rendered doubtful due to the following: • PAG-ASA's Certification of the Weather forecast was dated July 03, 2023 while Contractor's notification was dated June 13, 2023 while the extension order was issued on June 15, 2023, thus, the approval was made prior to the release of PAG-ASA's Certification • Weather Charts were not attached
Extension Order No. 2	Weather Charts were not attached
Extension Order no. 3	Weather Charts were not attached
Extension Order No. 4	Weather Charts were not attached
Extension Order No. 5	The request for extension form the contractor, PAG-ASA's Certification of the Weather forecast, and Weather Charts were not attached; thus, their no documentary evidence to show that notification to Procuring Entity was done within thirty (30) calendar days after the start of the additional work or of the special circumstance cited.

350. Based on the supporting documents attached to the final payment paid to the contractor, the project was completed only on April 30, 2024. Thus, liquidating damages amounting to Php126,438.23 was imposed to the contractor for the delay incurred from March 14, 2024 to April 30, 2024.

351. Since the only cited special circumstances by the contractor is the unfavorable weather condition, the management is reminded of the following provisions under Item 10 of Annex "E" of the 2016 Revised IRR of RA 9184, to wit:

> **No extension of contract time shall be granted the contractor due to (a) ordinary unfavorable weather conditions** and (b) inexcusable failure or negligence of contractor to provide the required equipment, supplies or materials.
>
> **Extension of contract time shall be granted** for rainy/unworkable days considered unfavorable for the prosecution of the works at the site, based on the actual conditions obtained at the site, **in excess of the number of rainy/unworkable days pre-determined by the government in relation to the original contract time during the conduct of detailed engineering**…xxx… (Emphasis ours)

352. This is in connection with the provisions under Annex "A" of the 2016 Revised IRR of RA 9184 prescribing the guidelines on Detailed Engineering for the Procurement of Infrastructure Projects, to wit:

> Contract Time of Duration – In the preparation of the Bidding Documents, the agency shall make an estimate of the actual number of working days required to complete the project through PERT/CPM analysis of the project activities and corrected for holidays and weekends. Likewise, **the agency shall make an estimate of the number of rainy/unworkable days considered unfavorable for the prosecution of the works at the site**, based on the records of the Philippine Atmospheric, Geophysical and Astronomical Services Administration (PAGASA), and incorporate the same in the corrected actual number of working days determined above, which shall be made the basis of the total contract time. **The estimated number of rainy/unworkable days considered unfavorable for the prosecution of the works at the site shall be made known before the date of bidding through the Instructions to Bidders** for the purpose of guiding the contractor in preparing his bid and as reference to both the GOP and winning contractors taking action on the requests for time extensions…xxx… (Emphasis and underscoring supplied)

353. Given the deficiencies noted in the approval of the Extension Orders, the supporting documents is insufficient to prove that the granted extensions on the contract duration due to unfavorable weather conditions was based on the actual conditions obtained at the site and in excess of the number of rainy/unworkable days pre-determined by the government in relation to the original contract time during the conduct of detailed engineering.

354. Finally, an ocular inspection was also conducted on March 5, 2025 to check on the conditions of the completed infrastructure project, which is more than 11 months after its completion, and observe the following damages:

    a. A portion of the concrete road was found to have significant visible cracking. The cracks are irregular and extend longitudinally along the roadway, with some sections branching into a web-like pattern. The cracks vary in width, with some appearing wider and possibly indicating deeper structural issues. The cracks are prominent and appear to have been patched

or filled in some sections, but they remain visible. The cracks suggest possible water infiltration, which can further weaken the road structure.



b. Portion of drainage is observed to have been partially damaged.



c. One road sign observed to have been knocked-off and lying on the ground while the others were seen to be leaning.



d. Erosions on the portion of shoulder of the concrete pavement and those around the culvert box were also observed.



355. These conditions need rectification to prevent further damage / scouring.

Recommendations:

356. We recommended that the City Engineering Office submit the necessary documents to prove that the granted extensions on the contract duration due to unfavorable weather conditions was based on the actual conditions obtained at the site and in excess of the number of rainy/unworkable days pre-determined by the government in relation to the original contract time during the conduct of detailed engineering.

357. We further recommended that the City Engineering Office assess the observed damages on the project and require the contractor the necessary rectifications.

Management's Comments:

358. The City Engineering Office acknowledged the audit observations and recommendations. In response to the observed damages, the CEO has been directed to conduct a thorough assessment to determine the extent and possible causes of the defects. Based on the assessment, appropriate rectification measures will be required from the contractor in accordance with the project's warranty provisions and applicable standards.

359. The CEO further committed to closely coordinate with the contractor to ensure that all necessary repairs and corrective actions are completed within a reasonable timeframe to prevent further deterioration and to maintain road safety and functionality.

Auditor's Rejoinder:

360. The Audit Team's audit decision shall be finalized after the evaluation of the action taken by the management and the verification of the documents to be submitted.

Delayed implementation and unused infrastructure projects under the DBM Local Government Support Fund (LGSF)

361. **Infrastructure projects funded by Department of Budget and Management (DBM) under Local Government Support Fund (LGSF) Support to Barangay Development Program (SBDP) and Assistance to Cities (AC) amounting to P202,133,482.31 were either defective/ unused after its completion or delayed, thereby the effectiveness and efficiency on the use of government resources**

was not attained, inconsistent with Section 2 of Presidential Decree (PD) No. 1445.

362. Section 2 of Presidential Decree (PD) No. 1445 otherwise known as the *"Government Auditing Code of the Philippines"* provides:

> **Section 2. Declaration of Policy.** It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of the government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

363. During Calendar Years 2021 and 2022, the City Government of Panabo has been a recipient of several fund transfers from DBM for its programs under LSGF-SBDP of the National Task Force to End Local Communist Armed Conflict (NTF-ELCAC) and LGSF-AC totaling P429,071,659.00 with the following details:

Fund Transfer	Reference	Project	Original Amount Received	Remaining Balance as at 12/31/24*
LGSF-SBDP (NTF-ELCAC)	ADA No: ADA-2021-RO11-0018 Date: 13 March 2021	42 projects in 20 barangays within the City	P400,000,000.00	P0.00
LGSF-SBDP (NTF-ELCAC)	ADA No: ADA-2022-RO11-0072 Date: 30 September 2022	2 projects in 2 barangays within the City	8,000,000.00	3,519.29
LGSF-AC	ADA No: ADA-2020-RO11-0043 Date: 19 July 2021	Panabo Mangrove Forest Park at Barangay J.P. Laurel	21,071,659.00	7,170,228.33
Total			**P429,071,659.00**	**P7,173,747.62**

**based on Statement of Receipts and Disbursement (SORD) as of 12/31/24*

364. Verification through ocular inspection and interview of recipients revealed that out of the total amount of P429,071,659.00 intended to fund various infrastructure

projects amounting to P202,133,482.31 were either not utilized upon completion or has delayed implementation, to wit:

Fund Source	Project Name	Total Disbursements
	Electrification	
	Electrification at Brgy. Kasilak	P2,000,000.00
	Electrification at Brgy. Kauswagan	1,100,000.00
	Electrification at Brgy. Malativas	1,000,000.00
	Electrification at Brgy. Tagpore	2,000,000.00
	Subtotal	**6,100,000.00**
	Water System	
	Construction of Level III Water System at Brgy. Buenavista	9,984,948.81
	Water System at Brgy. Cacao	2,997,934.63
	Improvement/Expansion of Water System at Brgy. Katipunan	3,986,731.79
	Improvement of Water System at Brgy. Katualan	4,957,105.98
	Construction of Level III Potable Water Supply System at Brgy. Maduao	2,465,145.26
	Rehabilitation/Upgrading of Level III Water System at Brgy. Malativas	14,996,861.36
LGSF-SBDP (NTF-ELCAC)	Rehabilitation/Improvement of Level III Water System at Brgy. Manay	19,943,123.52
	Improvement of Water System from Level II to Level III at Brgy. New Malitbog	14,996,838.50
	Expansion of Level III Water System (Construction of Water System) at Brgy. San Nicolas	4,982,998.53
	Water System at Brgy. Sta. Cruz	4,977,498.22
	Improvement/Expansion of Water System at Brgy. Tagpore	17,996,660.89
	Improvement/Expansion of Water System at Brgy. Tibungol	5,998,000.00
	Expansion of Level III Water System at Brgy Upper Licanan	9,998,499.45
	Expansion of Level III Water System at Brgy. Waterfall	9,989,542.36
	Subtotal	**128,271,889.30**
	Local Access Roads	
	Upgrading of Local Access Road Purok B at Brgy. Kauswagan	16,292,792.42
	Upgrading of Local Access Road at Brgy. Kiotoy	19,979,695.81
	Upgrading of Local Access Road in Sitio Tagactac, San Nicolas	14,989,782.08
	Subtotal	**51,262,270.31**
	Barangay Health Station	

Fund Source	Project Name	Total Disbursements
	Rehabilitation/Improvement of Barangay Health Station with Safe Birthing Facility at Brgy. Kauswagan	2,597,892.03
	Subtotal	**2,597,892.03**
LGSF-AC	Panabo Mangrove Park Project at Brgy. JP Laurel	13,901,430.67
	Subtotal	**13,901,430.67**
	Grand Total	**P202,133,482.31**

365. Initially, the Audit Team has issued Audit Query Memorandum (AQM) No. 25-19 dated February 14, 2025 and AQM No. 25-21 (FA-2024) dated February 17, 2025 on the noted deficiencies for the above-mentioned projects of which the Management has submitted their replies.

366. Detailed discussion of the deficiencies are as follows:

A. Completed electrification projects in various barangays with contract cost amounting to P6,100,000.00 have no electrical connections

Project Name	Contractor	Total Disbursements (Guaranty Deposits)	Project Status Based on Ocular Inspection and Interview
Electrification at Brgy. Kasilak	Davao Light and Power Company	P2,000,000.00	No complete electrical connection as of 02/07/2025
Electrification at Brgy. Kauswagan		1,100,000.00	
Electrification at Brgy. Malativas		1,000,000.00	
Electrification at Brgy. Tagpore		2,000,000.00	
Total		**P6,100,000.00**	

367. The contracted party for the implementation of the project is the Davao Light and Power Company (DLPC), being the sole provider of electricity in the city. On the acknowledgement letter issued by the DLPC regarding the application for extension of line and electrical facilities of the City, it is stated that upon payment of guaranty deposits, the scheduling of work shall commence. Further, the payment shall be refunded to the City at the rate equivalent to 75% of the gross distribution revenue for the calendar year derived from all customers connected to the facilities, until such amount is fully refunded. The City issued the corresponding checks on June 14, 2022 and an Acknowledgement Receipt was issued by DLPC on July 5, 2022. This observation has already been included in CY 2022 Annual Audit Report, however, the said projects remained unimplemented as of February 7, 2025.

368. In its reply to AQM No. 25-21 (FA-2024), Management cited that the cause of delay is mostly due to road-right-of-way concerns. However, it should be emphasized that actions to resolve the road-right-of-way concerns should have already been made since the electrification projects commenced in CY 2022 and a significant amount of time has elapsed, yet the project remained uncompleted as of year-end.

B. Completed water system projects in several barangays with contract cost amounting to P128,271,889.30 were either defective or unused due to issues on water quality and supply

369. Based on the results of ocular inspection and interview with recepients, the following several issues have been noted in the completed water system projects:

Project Name	Contractor	Project Status Based on Ocular Inspection and Interview	Final Billing
Construction of Level III Water System at Brgy. Buenavista	Joan Construction	• Water is muddy; • Insufficient water supply (only operates 4x a week); • Numerous defects - the barangay has already replaced major parts several times after project completion.	December 2022
Water System at Brgy. Cacao	Joan Construction	• Only used for less than one month; • Water is salty causing itchiness to the constituents.	August 2022
Improvement/Expansion of Water System at Brgy. Katipunan	NJG Construction Inc.	• Never been used since project completion; • Water is muddy; • Insufficient water supply.	August 2023
Improvement of Water System at Brgy. Katualan	A.B. Aponesto Construction Parts and Supply, Inc.	• Only used thrice, in a span of less than one month; the water system did not function thereafter; • Several requests have been made by the Barangay Council but no action from the City Government.	December 2022

Project Name	Contractor	Project Status Based on Ocular Inspection and Interview	Final Billing
Construction of Level III Potable Water Supply System at Brgy. Maduao	Hero Builders	• Major re-work is being done currently since water pipes have burst and are leaking; • Water will seep through inside the water meters causing the dial to become unclear and faded.	May 2024
Rehabilitation/Upgrading of Level III Water System at Brgy. Malativas	Joan Construction	• Water goes muddy after several hours of usage.	October 2023
Rehabilitation/Improvement od Level III Water System at Brgy. Manay	Joan Construction	• Water turns yellowish sometimes and particles are found floating in the water.	October 2023
Improvement of Water System from Level II to Level III at Brgy. New Malitbog	Rosbill Construction and Supply	• Water is muddy and has foul odor; • Constituents have only started using the project in November 2024.	September 2023
Expansion of Level III Water System (Construction of Water System) at Brgy. San Nicolas	NJG Construction Inc.	• Water is muddy; • No electrical connection yet.	October 2023
Water System at Brgy. Sta. Cruz	NJG Construction Inc.	• No power supply yet due to land ownership issues; • Water is muddy and sometimes particles are found floating; • Started operating only on November 2024.	October 2023
Improvement/Expansion of Water System at Brgy. Tagpore	Joan Construction	• Water system is not functional; • Water tank takes a long time to be filled; • Several pipe connectors have burst.	October 2023
Improvement/Expansion of Water System at Brgy. Tibungol	NJG Construction Inc.	• Project was only used starting December 2024.	October 2023
Expansion of Level III Water System at Brgy Upper Licanan	R. Fabale Construction Corp.	• Never been used since project completion; • Water is muddy; • Insufficient water supply (no water after 1 hour of usage).	August 2023

Project Name	Contractor	Project Status Based on Ocular Inspection and Interview	Final Billing
Expansion of Level III Water System at Brgy. Waterfall	Joan Construction	• There are instances of water overflowing from the tank.	October 2023

370. The Philippine National Standards for Drinking Water of 2017 issued by the Department of Health (DOH) set specific guidelines on the standards of drinking water quality. One of the criteria include:

> Drinking-water must be clear and does not have objectionable taste, odor and color. It must be pleasant to drink and free from all harmful organisms, chemical substances and radionuclides in amounts which could constitute a hazard to the health of the consumer.

371. Moreover, the Department of Interior and Local Government (DILG) issued Policy Guidelines and Procedures in the Implementation of the FY 2020 LGSF – Provision of Potable Water Supply (LGSF-SALINTUBIG) Program through Memorandum Circular No. 2020-089. The said issuance provides a description on the levels of service for a water supply system, to wit:

> **Level II (Communal Faucet System or Stand Posts)**
> Is a system that would distribute water from the source to the beneficiaries through a tapstand which serves four to six households within a 25-meter radius. It is generally suited for rural and urban fringe areas where houses are clustered in sufficient density to justify a simple piped system. The consumers still go to the tapstand to fetch water. The transmission line and distribution line can be designed to allow future upgrading to Level III Water Supply System.
>
> **Level III (Waterworks System or Individual House Connections)**
> Is a system that would distribute water from the source directly to the household beneficiaries. It is generally suited for densely populated urban areas where the population can afford individual connections.
>
> A functional Level II and III Potable Water Supply System should have the following components:
>
> - **WATER SOURCE DEVELOPMENT**
>   Construction or development of the following:

- xxx
- For a deep well water source, a construction and development of deep well **with the desired yield and quality**." (emphasis ours)

372. In addition, the same Memorandum Circular set the minimum standards on the engineering design such as the conduct of geo-resistivity test (for new construction of deep well), pumping test (24 to 72 hours) and potability test to ensure that enough supply and the desired quality will be achieved.

373. In its reply to AQM No. 25-21 (FA-2024), CEO provided justification on the issues noted for each of the water system projects. The CEO also explained that the proposed location of the water system projects was identied bytheir Office, together with the assistance of Japan International Cooperation Agency – Davao Integrated Development Program (JICA-DIDP) and Provincial Engineer's Office (PEO). The CEO also submitted results of geo-resistivity surveys conducted on the projects, which were done way back in CY 2008 to 2016. However, other tests (i.e. pumping test, potability test, etc.) to check the quality of water and the viability of adequate water source were not provided.

374. The defects in the projects, the poor quality of the water source, and the insufficient water source have resulted to the non-usage of the affected water systems; thus, the ultimate goal to provide potable water with enough supply was not fully attained and could lead to wastage of government funds.

C. Defects noted in local access road projects in various barangays amounting to P51,262,270.31

Project Name	Contractor	Total Disbursements	Project Status Based on Ocular Inspection and Interview
Upgrading of Local Access Road Purok B at Brgy. Kauswagan	JLACE Builders Corporation	P16,292,792.42	• Numerous blocks are found to have concrete scaling; uneven road surface
Upgrading of Local Access Road at Brgy. Kiotoy	A.B. Aponesto Construction Parts and Supply, Inc.	19,979,695.81	• Numerous blocks are found to have concrete scaling; wood debris and large stones are found in the hardened concrete; several cracks are also noted • No shouldering in some areas.

Project Name	Contractor	Total Disbursements	Project Status Based on Ocular Inspection and Interview
Upgrading of Local Access Road in Sitio Tagactac, San Nicolas	Newcon Builders Construction and Supply Inc.	14,989,782.08	• Several cracks are noted; • There seemed to be patching done in some areas, however, the patched material has peeled off.
	Total	**P51,262,270.31**	

375. The noted defects, such as concrete scaling, uneven surface, cracks, wood debris and large stones in the hardened concrete and no shouldering have also been complained about by the personnel of the concerned barangays in which these road projects are located.

376. The CEO has also submitted their explanation on the noted issues in their reply to AQM No. 25-21 (FA-2024) and also informed the Audit Team that it is still subject for inspection and verification. However, the CEO highlighted that the defects liability period of one year may have already lapsed.

D. Non-utilization of Barangay Health Station at Brgy. Kauswagan amounting to P2,597,892.03

377. Rehabilitation/Improvement of Barangay Health Station with Safe Birthing Facility was implemented at Brgy. Kauswagan wherein the final billing was already paid to the contractor on December 29, 2022. However, upon ocular inspection and interview with Barangay personnel on February 4, 2025, the following deficiencies are noted:

- The building has never been utilized as Health Station and Safe Birthing Facility since its completion.
- The building already has some cracks, the door has become defective and the toilet is already soiled.
- Weeds have grown outside the premises.
- Part of the building is currently used as Barangay Senior Citizen's Office. Some part is also just used as a storage area.
- According to Barangay personnel, the project was not utilized since it could not pass the requirements prescribed by the Department of Health (DOH) for a safe birthing facility.

378. The CEO stated in its reply to AQM No. 25-21 (FA-2024) that the project was satisfactorily completed in accordance to plans and specifications and was already turned-over to the Barangay. The vegetation control, housekeeping and other maintenance are all entrusted to the end-user after the turn-over. Further, the CEO added that the usage of the project is under the control of the City Health Office.

E. Delay in the completion of Panabo Mangrove Park Project at Brgy. J.P. Laurel with total disbursements of P13,901,430.67 as of December 31, 2024

379. The construction of Panabo Mangrove Park Project at Brgy. J.P. Laurel commenced on March 4, 2022 for a total contract cost of P21,054,321.05, with Micah Construction & Supply as the contractor. However, as of December 31, 2024, the project still remained uncompleted with a total disbursement of P13,901,430.67.

380. Other relevant details pertaining to the project includes:

Date Started:	March 4, 2022
Original Target Completion Date:	March 18, 2023
Revised Target Completion Date:	July 6, 2024
Original Project Duration:	380 Calendar Days
Revised Project Duration:	856 Calendar Days
Total Days Extended:	476 Calendar Days
Status as of February 14, 2025:	On-going

381. As shown in the information above, the original project duration of 380 calendar days has been revised to 856 calendar days, with a total time extension of 476 calendar days. This total extended time is an accumulation of One (1) Suspension Order and Two (2) Extension Orders as presented in the following table:

Order Reference	Date Issued	Reason for Issuance	No. of Days	Revised Target Date of Completion
Extension Order No. 1	12/12/2022	Unfavorable weather condition	185	09/20/2023
Suspension Order No. 1	12/16/2022	Shooting incident, harassment and threatening of workers	98	12/27/2023
Extension Order No. 2	12/26/2023	Unfavorable weather condition	193	07/06/2024

382. Conversely, discrepancies pertaining to the issuance of Suspension and Extension Orders were noted. As exhibited in the table above, Suspension Order No. 1 was issued on December 16, 2022 and received by the contractor on December 19, 2022. However, the contractor requested for such suspension only on December 20, 2022, which was also received by the City Engineer's Office (CEO) on the same date.

383. On the other hand, there are two (2) copies of Extension Order No. 2 provided to the Audit Team with varying details, both of which are received by the contractor, to wit:

Details	1st Copy	2nd Copy*
Date furnished to the Audit Team	February 15, 2024	February 20, 2025
Duration of Extension	88 days	193 days
Revised Date of Completion	March 24, 2024	July 6, 2024
Date of Issuance of the Extension Order	October 4, 2023	December 26, 2023
Date of Receipt by the Contractor	October 6, 2023	December 26, 2023

**This was the Extension Order attached in the Disbursement Voucher for Second and Partial Billing*

384. Such discrepancies raise doubts on the credibility and authenticity on the issuance of such Suspension and Extension Orders. Furthermore, the CEO also submitted to the Audit Team the Statement of Work Accomplished (SWA) as of July 6, 2024 & February 6, 2024, Report of Inspection as of July 6, 2024, and Statement of Time Elapsed & Percentage of Work Accomplished as of July 6, 2024. However, all documents were not signed by the required signatories creating uncertainty on the information provided therein.

385. Moreover, perusal of the disbursement voucher and its supporting documents pertaining to the payment of second and partial billing amounting to P5,188,578.25 (net of mobilization, retention and taxes) with check no. 8132024 dated August 13, 2024 revealed that the Certification issued by the City Accountant in connection with the contractor's request for release of the second progress billing is for Vibranium Builders Corporation instead of Micah Construction & Supply, which is the contractor for the project.

386. In relation to the revised target date of completion, the project is already delayed by 223 calendar days as of February 14, 2025, the date of our ocular inspection. The observation on the delayed completion of the Panabo Mangrove Park Project

has already been noted in the audit of CY 2022 to 2023 yet it still remained uncompleted to date, hence, this restatement.

387. Based on the foregoing, the delayed implementation and non-utilization of completed projects deprived the intended recipients of the benefits that could have been derived therefrom, thereby the effectiveness and efficiency on the use of government resources was not achieved.

Recommendations:

388. We recommended to the City Mayor the following courses of action:

a. The City Engineering Office to –
- *For Electrification Projects*
  - Submit the action plan and its status, including the timeline of implementation, addressing the road-right-of-way concerns which caused the significant delay in the completion of the project

- *Water System Projects*
  - Submit the action plan, including the timeline of implementation, addressing the above noted deficiencies and to avoid wastage of government resources due to non-usage of the projects
  - Provide information and supporting documents on whether other testing, aside from geo-resistivity survey, has been performed prior/during the construction of the projects
- *Local Access Road Projects*
  - Submit the action plan, including the timeline of implementation, addressing the above noted deficiencies
- *Barangay Health Station with Safe Birthing Facility*
  - Provide written justification why the facility did not pass the DOH's minimum requirements
- *Panabo Mangrove Park Project*
  - Provide written explanation on:
    - the noted discrepancy in the date of issuance and receipt of contractor of Suspension Order No. 1 relative to the request of the contractor for the grant of the same
    - the issuance of two (2) versions of Extension Order No. 2 with varying details
    - the submission of SWA and Report of Inspection without the appropriate signatories

- Prepare and submit an action plan to address the delayed completion of the project
- Impose the appropriate liquidated damages to the contractor of Panabo Mangrove Park Project due to delayed completion and refer with City Legal Office for appropriate legal actions

b. The City Planning and Development Office to provide information and supporting documents on the following:
   - Role of the Office in the implementation of the aforementioned water system projects
   - Level of coordination done with the barangay and CEO with regards to the implementation of the water system projects

c. The City Health Office to –
   - Provide information and supporting documents evidencing actions already taken by the CHO on the non-utilization of the completed Barangay Health Station with Safe Birthing Facility, if any

Management's Comments:

389. During the exit conference, the City Engineering Office explained that verification of defects and deficiencies noted in above audit observation have been done and the justifications and the actions to be taken to address it have also been discussed. They further requested for additional time to submit their written response as the office is still preparing all the necessary documents required in the audit observation memorandum.

390. The City Planning and Development Office stated that their role in the in the project implementation is to provide support by: (1) helping to facilitate the requirements in the release and utilization of LGSF-SBDP; (2) checking that water system implemented is included in the Annual Investment Program and Local Development Investment Program; (3) preparation of project monitoring in coordination with recipient barangays, implementing office and other stakeholders; and (4) capacitate the barangays in crafting water ordinance for the operation of water system projects. The CPDO also maintains a moderate level of coordination with the barangays and CEO for documentation purposes and with other stakeholders such as the DILG & NEDA for the submission of reports, among others.

391. On the other hand, the City Health Office was amenable of the observed deficiencies pertaining the Barangay Health Station at Brgy. Kauswagan and committed to the adherence of the audit recommendations. During exit conference, they also stated that initial discussions have already been made on how to utilized the said facility and the Audit Team shall be informed upon its finalization.

Auditor's Rejoinder:

392. The audit team is on the process of evaluating on whether or not there was a wastage of government funds due to non-usage of the completed projects by the intended users. We are also determining whether or not liquidated damages should be imposed to the contractor based on the validity of the extension orders granted. Thus, the audit team are requiring additional documents and justification for us to make a decision on audit.

Unverified disbursement charged against the LGU counterpart for DOLE livelihood project

393. **The disbursements charged against the LGU counterpart for DOLE's Livelihood Support to Registered Workers' Associations project, amounting to P450,216.00, could not be verified as attributable to the intended purpose since obligations were lumped together with other budget items under current operating expenditures and other locally funded projects, raising concerns about the propriety and validity of the expenses incurred.**

394. Section 100 of New Government Accounting System (NGAS) Manual for Local Government Units (LGU) provide:

> **Sec. 100. Disbursements within Trust Agreement/Approved Budget.** – Disbursement from trust funds shall be in accordance with the specific purpose stated in the trust agreement/approved budget between the trustor and trustee (LGU… xxx...

395. Moreover, stipulated in the Memorandum of Agreement signed between the City Government of Panabo and DOLE Region XI on January 9, 2024 provides:

> B. The **PROPONENT** shall:
>
> xxx

3. Adhere to DO No. 239 series of 2023, the Revised DILEEP guidelines and other relevant government regulations;"

396. Correspondingly, Section 5, item (d) of the aforesaid DOLE Department Order No. 239 defines Equity as *"the proponent's counterpart which may be in the form of labor, land for the project site, facilities, equipment, micro-insurance, cleaning tools, training cost, monitoring expenses and the like, to be used in the project."*

397. Based on the approved Project/Program/Activity (PPA) Design, the following are the items and amounts included in the equity counterpart of the City Government of Panabo which was sourced from the appropriation of the City Administrator's Office – Public Employment Service Office (PESO) and Microbiz Incubation Program under the General Fund:

Items	Amount
Training Expenses Capacity Development (Basic Entrepreneurship and Financial Management Training	P74,360.00
Office Supplies	5,000.00
Fuel, Oil and Lubricants	10,000.00
Other General Services 3 Job Order x 443.00 x 22 days x 12 months (monitoring)	350,856.00
Advertising Expense	2,000.00
Printing and Publication	8,000.00
Total	**P450,216.00**

398. The Audit Team has obtained a copy of the Summary of Obligations made for the project. However, the charges could not be verified whether or not it is attributable to the implementation of the Livelihood Support to Registered Workers Associations project. Some of the items in the Summary of Obligations are as follows:

Office Supplies Expenses		
Payee	**Particular**	**Amount**
ABNN	Ink – 1st Qtr	P1,740.00
PhilCopy	Toner – 1st Qtr	7,410.00
Mystic Art and Ink Products	Office Supplies Expenses (Toner)	6,250.00
SACCKI Ent. & Catering Services	Consolidated Office Supplies (1st Qtr)	8,197.25
Prince Educational Supply	2nd Qtr Consolidated Office Supplies	7,823.50

Office Supplies Expenses		
Payee	**Particular**	**Amount**
Prince Educational Supply	3rd Qtr Consolidated Office Supplies	8,568.35
	Total	**P39,989.10**

Advertising Expenses		
Payee	**Particular**	**Amount**
XYZ Enterprises	Tarp (Microbiz Beneficiaries)	P3,000.00
XYZ Enterprises	Advertising Expenses	7,612.00
XYZ Enterprises	Tarp	3,150.00
	Total	**P13,762.00**

Printing and Publication Expenses		
Payee	**Particular**	**Amount**
NZ Prints	Loan Requirements Forms	P3,750.00
XYZ Enterprises	Printing and Publication Expenses	2,745.00
XYZ Enterprises	Printing of Loan Requirements	1,500.00
XYZ Enterprises	Flyers, brochures, and loan application	4,335.00
	Total	**P12,330.00**

399. As observed in the tables above, it cannot be easily determined whether the expenses incurred are related to the implementation of the Livelihood Support to Registered Workers Associations project since obligations thereto are lumped with other budget items under current operating expenditure and other locally funded projects.

400. Further verification showed that that around 78% of the equity counterpart was disbursed for the payment of the salary of Job Order personnel. We have reviewed the accomplishment reports (ARs) of the assigned personnel for Calendar Year (CY) 2024 and noted that the accomplishments do not reflect activities relevant to the supposed project. Accomplishments indicated in the ARs are as follows:

- Customer Service or technical assistance rendered (Phone-in/Walk In/Text/Queries/Request)
- Prepared/process LGU documents (to CADO, CMO, GSO, CLO, BAC, CAO, and CTO)
- Documents orderly filed and supplies inventory recorded
- JobStart Philippines Program (tags or updates made via JobStart Program portal, posts made via JobStart Panabo Facebook page, reports or forms

made/generated, queries entertained (via fb page, group chat, email, phone, etc.)

- Attended seminar/meeting/write-shop/training, emails replied, tags or updates made via PEIS portal, layouts made/designed job postings, certificates, tarpaulins, etc., reports or forms made/generated
- Microbiz Soft Loan (applicants oriented, assisted loan applicant with loan agreement and sworn declaration and other loan requirements, assisted Microbiz beneficiaries for loan released)
- Assisted client for TUPAD application, contacted DOLE to monitor documents of TUPAD, monitor TUPAD implementation in barangay
- Information Desk Records (PESLA, SPES, OJT/work immersion, overseas, OWWA, Provincial Scholar, Passporting, GIP)
- SPES orientation, training and evaluation conducted on SPES grantees, SPES requirements reviewed, SPES contract reviewed, SPES applicants' facilitation, SPES DTR and Accomplishment reviewed

401. Based on the foregoing, the propriety and validity of the charges made against the equity counterpart of the City Government for the Livelihood Support to Registered Workers Associations project is rendered doubtful.

Recommendation:

402. We recommended the Management that the Public Employment Service Office (PESO) and the City Budget Office (CBO) submit a detailed and verifiable list of expenditures charged against the LGU's counterpart for the Livelihood Support to Registered Workers Associations with proper referencing to the Obligation Request and the Disbursement Vouchers.

Management's Comments:

403. As per management reply letter, the City Public Employment Service Office (CPESO) informed that the audit recommendation is currently in process for compliance. Furthermore, CPESO have already requested the necessary obligation request and disbursement voucher numbers from the concerned offices. Once available, a detailed and verifiable list of expenditures with proper referencing will be submitted for validation. The management assured the audit team of their full commitment towards compliance and transparency of financial records.

Auditor's Rejoinder:

404. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Delayed implementation of DOLE's Livelihood Support to Registered Workers' Associations project

405. **The delayed implementation of DOLE's Livelihood Support to Registered Workers' Associations project, amounting to P1,657,770.00, is not in accordance with the provisions of Presidential Decree No. 1445 which impacts the City Government's efficiency in delivering timely and optimal benefits from the project.**

406. Section 2 of Presidential Decree (PD) No. 1445, also known as the "Government Auditing Code of the Philippines" provides:

> *"It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned."*

407. On March 25, 2024, the City Government has received an amount of P1,657,770.00 from DOLE for the implementation of its "Livelihood Support to Registered Workers Associations" project. The identified beneficiaries for the project are the following:

Project/Program Component	No. of Beneficiaries
Samahang Musikero ng Panabo	49
Southern Davao Differently-Abled Persons Association	125
Cagangohan & JP Laurel Fisherfolks Association	41
Panabo Plaza Nailcare and Massage Association	22
Total	**237**

408. Furthermore, the schedule of implementation of the said project indicated in the approved PPA Design is as follows:

Activities	Project Duration											
	J	**F**	**M**	**A**	**M**	**J**	**J**	**A**	**S**	**O**	**N**	**D**
Pre-Implementation of the Project												
Processing of Beneficiaries Insurance				✓	✓							
Implementation of the Project												
Processing and Procurement of materials and starter kits					✓	✓						
Capability Development Training for the beneficiaries - Gender Sensitivity Training - Basic Entrepreneurship and Financial Literacy - Solid Waste Management					✓	✓						
Launching and Turn-Over of Materials and Starter Kits						✓						
Post-Implementation of the Project												
Monitoring and Evaluation						✓	✓	✓	✓	✓	✓	✓

409. Review of the submitted Status Report and other documents revealed that delays have been incurred in the conduct of activities pertaining to the implementation of the project, viz:

- Processing of Beneficiaries Insurance – Based on Management's Reply to AQM No. 25-14 (FA-2024), this activity was not yet completed as of December 31, 2024 due to the complexities involved in its processing.

- Processing and Procurement of materials and starter kits – Based on initial interview, there have been delays in the procurement due to some issues encountered during the bidding process (i.e. incomplete items offered by the bidder, not enough bidders, etc.). However, the relevant Purchase Requests (PRs), Purchase Orders (POs) and other bidding documents were not provided to the Audit Team thus, verification of the same could not be done.

- Capability Development Training for the Beneficiaries (Gender Sensitivity Training, Basic Entrepreneurship and Financial Literacy, Solid Waste Management) – Only the photos for Basic Entrepreneurship Seminar were submitted (w/o date stamp), no other documents were provided to substantiate the conduct of the aforementioned seminars.

- Launching and Turn-Over of Materials and Starter Kits – Based on the turnover documents obtained, distribution was made in batches and beyond the timeline indicated in the PPA Design. The actual date of distribution is presented below:

Recipient	Date of Distribution		
	1st Batch	2nd Batch	3rd Batch
Samahang Musikero ng Panabo*	10/11/2024	01/30/2025	No date determined yet
Southern Davao Differently-Abled Persons Association	07/01/2024	08/01/2024	12/03/2024
Cagangohan & JP Laurel Fisherfolks Association	08/01/2024	12/13/2024	N/A (delivery completed)
Panabo Plaza Nailcare and Massage Association	08/01/2024	N/A (delivery completed)	N/A (delivery completed)

**Guitar amplifiers, keyboard amplifier and ceiling fans were not yet delivered*

- Monitoring and Evaluation – Based on interview with some members of the recipient associations, monitoring has been made once or twice since the receipt of materials. One association informed the Audit Team that there has never been a monitoring since their receipt of materials.

410. In view of the above, the delayed implementation of the project affects the delivery of timely and optimum benefits to the community/constituents.

Recommendations:

411. We recommended that the Public Employment Service Office fast tract the implementation of the project and to prepare revised Program Design indicating there in the new target accomplishment date and have it approved by the concerned city officials.

Management's Comments:

412. As per management reply letter, the City Public Employment Service Office (CPESO) informed that the audit recommendation is currently in process for compliance. Furthermore, the CPESO is actively working with all relevant offices to fast-track pending project activities. Additionally, the office is currently preparing a revised Program Design which will indicate updated timelines subject

for approval by the city officials. The management assured the audit team of their full commitment towards efficiency in the project implementation.

Auditor's Rejoinder:

413. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Insufficient documentation and various deficiencies in the supporting documents for the feeding program funded by DSWD

414. **Insufficient documentation and various deficiencies were noted in the supporting documents for the 13th Cycle Supplementary Feeding Program totaling P18,285,016.03 sourced from Department of Social Welfare and Development (DSWD) fund transfer, thus creating doubts on the regularity of the transactions.**

415. Republic Act No. 9184, otherwise known as "The Government Procurement Reform Act" was enacted to provide for the modernization, standardization and regulation of the procurement activities of the government. The government procurement law is governed by the principles of transparency, accountability, equity, efficiency and economy. In line with the government's commitment to promote good governance and to ensure adherence to said principles, the 2016 Revised Implementing Rules and Regulations (IRR) of RA 9184 was, thus, promulgated.

416. Section 10 of the IRR emphasized that *"all procurement shall be done through public bidding" and Section 12.2 of the same IRR provides in part "that the BAC shall be responsible for ensuring that the Procuring Entity abides by the standards set forth by the Act and this IRR."*

417. Moreover, Section 2 of Presidential Decree (PD) No. 1445 otherwise known as the *"Government Auditing Code of the Philippines"* provides:

> **Section 2. Declaration of Policy.** It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of the government. The responsibility

to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

418. Furthermore, Section 4(6) of Presidential Decree (PD) No. 1445 otherwise known as the "Government Auditing Code of the Philippines" requires that *"claims against government funds shall be supported with complete documentation."*

419. On October 2023, the City Government of Panabo has received a fund transfer from Department of Social Welfare and Development (DSWD) amounting to P18,373,320.00 for its 13th Cycle Supplementary Feeding Program (SFP). The SFP intends to provide food, in addition to the regular meals, to target children ages 2-5 years old enrolled in Child Development Centers (CDCs) and Supervised Neighborhood Plays (SNPs) as part of the DSWD's contribution to the early childhood care and development (ECCD) program of the government. Moreover, the target outcome indicator of SFP is 80% of malnourished children in CDCs and SNPs with improved nutritional status.

420. Relative thereto, it was detailed in the approved Project/Activity Proposal that the food supplementation will be in a form of hot meals and alternative meals which is easy to cook, easy to prepare food to be served during snack/meal time to the children, for a minimum of five (5) and maximum of seven (7) days a week for 120 days or to conduct twice-a-day feeding provision, if necessary.

421. The procurement process, disbursement and distribution occurred in Calendar Year (CY) 2024, with the following activities:

Activity	Supplier	Approved Budget for the Contract (ABC)	Contract Amount
Supply and Delivery of Food Supplies	Mars Agri Ventures and Commodities Inc.	P14,872,566.03	P14,872,566.03
Supply and Delivery of Rice, NSIC RC 160	D' Paragon AA Corp.	3,498,375.00	3,412,450.00
Total		**P18,370,941.03**	**P18,285,016.03**

422. Enumerated hereunder are the deficiencies noted in the procurement and distribution process:

A. Deficiency in the Procurement Process

423. Verification of the submitted contracts and other bidding documents of the abovementioned activities revealed various deficiencies due to deviations from certain provisions of Republic Act (RA) 9184 and its Implementing Rules and Regulations. The table below presents the noted deficiencies vis-à-vis the particular provision of RA No. 9184 of which the deficiency is based.

No.	Noted Deficiency	Specific Provision in the Revised IRR of RA 9184
Supply and Delivery of Food Supplies – P14,872,566.03		
1	Official Receipt for the purchase of Bidding Documents was not attached	*Section 17.4*
2	Discrepancies in the dates indicated in the approved Minutes of the Pre-Procurement Conference: - The date set for Pre-Bid Conference is on March 1, 2024 but the actual Pre-Bid Conference was held on February 29, 2024 based on the attached Minutes of Pre-Bid Conference - The date set for deadline of submission and opening of bids is March 15, 2024 but the date in the Invitation to Bid and actual opening of bids is on March 13, 2024	*Section 20.1*
3	Abstract of Bids as Calculated and TWG Report on the Detailed Bid Evaluation is undated thus compliance to the required timeline cannot be determined	*Section 32.4*
4	Notice of Award (dated 03/26/2024) is dated earlier than the approval of the HoPE of the BAC Resolution Declaring SCRB (approved on 03/27/24)	*Section 37.1*
5	Date of receipt of the winning bidder of the Notice to Proceed (04/04/2024) is earlier than the actual date of NTP (04/05/2024)	*Section 37.4*
6	No Certification from the website Administrator on the posting of NTP on the agency website	*Section 37.4*
Supply and Delivery of Rice, NSIC RC 160 – P3,412,450.00		
1	Official Receipt for the purchase of Bidding Documents was not attached	*Section 17.4*
2	Discrepancies in the dates indicated in the approved Minutes of the Pre-Procurement Conference: - The date set for Pre-Bid Conference is on March 1, 2024	*Section 20.1*

No.	Noted Deficiency	Specific Provision in the Revised IRR of RA 9184
	but the actual Pre-Bid Conference was held on February 29, 2024 based on the attached Minutes of Pre-Bid Conference - The date set for deadline of submission and opening of bids is March 15, 2024 but the date in the Invitation to Bid and actual opening is on March 13, 2024	
3	In the approved Minutes of Submission, Receipt and Opening of Bids, the other bidder (LTS Retail Specialist Inc.) was excluded despite passing the preliminary examination of bids as detailed in attached "Annex A"	*Section 29*
4	Abstract of Bids as Calculated is undated thus compliance to the required timeline cannot be determined. Also, only the winning bidder was included in the calculation; the other bidder, LTS Retail Specialist Inc., was excluded	*Section 32*
5	In the Notice of Post-Qualification, it was indicated that the bid was considered as Single Calculated Responsive Bid despite passing a BAC Resolution declaring the bidder as the Lowest Calculated and Responsive Bidder	*Section 34.4*
6	No notification to the losing bidder of BAC's recommendation on the award of contract	*Section 37.1.1*
7	Notice of Award (dated 03/26/2024) is dated earlier than the approval of the HoPE of the BAC Resolution Declaring LCRB (approved on 03/27/24)	*Section 37.1*
8	No Certification from the website Administrator on the posting of NTP on the agency website	*Section 37.4*
9	The total no. of sacks to be delivered in the delivery schedule (1,166.56 sacks) is different than the total quantity (1,227.50 sacks) indicated in the PO	*Section 37*

B. Deficiency in the Distribution Process

424. The submitted photos during the distribution of items do not have a time stamp, thus, the authenticity of the documentation provided cannot be verified and insufficient to support the time and date of distribution.

425. Only the list of distribution of items to various CDCs was attached. No other documents were provided evidencing the actual conduct of supplementary feeding

program in various CDCs utilizing the food items received therein, including the list of recipient children.

426. Also, no document was provided showing that the target outcome of the SFP, which is 80% of malnourished children in CDCs and SNPs with improved nutritional status, is attained.

427. The afore-cited deficiencies in the procurement and distribution process create doubts on the regularity of the transactions pertaining to the 13th Cycle Supplementary Feeding Program (SFP) activity sourced from DSWD fund transfer.

Recommendations:

428. We recommended the following courses of action:

a. The Bids and Awards Committee (BAC) should submit a written justification on the noted deficiencies in the procurement documents and submit the cited lacking documents;

b. The City Social Welfare and Development Office (CSWDO) should submit the following lacking information and documents:
   - Date and venue of distribution with corresponding time-stamped photos;
   - Supporting documents showing the actual conduct of supplementary feeding program in various CDCs utilizing the food items received, including the list of recipient children; and
   - Documents showing that the target outcome of the SFP is attained.

Management's Comments:

429. During the exit conference, the BAC acknowledged the noted deficiencies and inconsistencies and informed that they are currently finalizing the written reply and requested for additional time for its submission. Nonetheless, during the exit conference, the management did not raise any contention on any of the matters discussed above.

430. The CSWDO have submitted a report showing the date and venue of distribution with photos and the actual conduct of supplementary feeding program in various CDCs utilizing the food items received. They are currently gathering the other needed documents for submission.

Auditor's Rejoinder:

431. The Audit Team's audit decision shall be finalized after the evaluation of the management's written reply and the verification of the documents to be submitted.

Under remittance of withheld taxes and GSIS, PHIC and Pag-Ibig contributions

432. **Under remittance of withholding taxes and withheld GSIS, PhilHealth and Pag-Ibig contributions possess risk on the disqualification in the availment of the benefits by the City Government personnel affected and subjects the City Government for possible fines and penalties; while lapses in monitoring and maintenance of accounts on withholding taxes resulted to possible over remittance.**

433. This observation has been included in the Annual Audit Report for CY2018 and 2023. However, as of December 31, 2024, the audit recommendations remained unimplemented thus this restatement.

434. As of December 31, 2024 the total balance of Due to GSIS, Due to PhilHealth and Due to Pag-Ibig of the City Government of Panabo to P25,455,590.37. This account is composed of the following:

Account Name	Amount
Due to GSIS	P12,653,571.82
Due to PhilHealth	9,612,832.94
Due to Pag-Ibig	3,189,185.61
TOTAL	**P25,455,590.37**

A. The withheld GSIS personal share of employees for both regular and casual amounting to P12,460,741.01 were not remitted in full to GSIS.

435. Section 6(b) of RA No. 8291 (GSIS Act of 1997) states that:

> Each employer shall remit directly to the GSIS employees' and employers' contributions within the first ten (10) days of the calendar month following the month to which the contributions apply. The remittance by the employer of the contributions to the GSIS shall take priority over and above the payment of any and all obligations, except salaries and wages of its employees.

436. The details of withheld GSIS contributions and remittances made are shown below:

Due to GSIS				
	General Fund	**SEF**	**Trust Fund**	**Total**
Beginning Balance	**P15,643,048.00**	**P41,011.49**	**-P0.00 -**	**P15,684,059.49**
Less: Remittances from January 2024 for PY Withholding	(7,234,808.67)	-0.00-	-0.00-	(7,234,808.67)
(Over)/Under remittance, prior years	**8,408,239.33**	**41,011.49**	**-0.00-**	**8,449,250.82**
Add: Total Withholding for CY 2024	84,175,578.87	-0.00-	-0.00-	84,175,578.87
Less: Total Remittance for CY 2024	(79,930,246.38)	(41,011.49)	-0.00-	(79,971,257.87)
Due to GSIS as of 12/31/2024	**12,653,571.82**	**-0.00-**	**-0.00-**	**12,653,571.82**
Less: Remittance by January, 2025*	192,830.81	-0.00-	-0.00-	192,830.81
(Over)/Under remittance, CY 2025	**P12,460,741.01**	**-P0.00-**	**-P0.00-**	**P12,460,741.01**

**The remittances of January 2025 was based on the Report of Check Released (RCR) submitted by the CTO*

437. As shown above, the under remittance from prior years amounted to P8,532,027.00. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2023. The total withheld contributions for CY2024 totaled to P84,175,578.87 while the total remittance for the year amounted to P80,164,088.74 (composed P79,971,257.87 and P192,830.81 as presented in the table above), thereby, **reducing the under remittance to P12,460,741.01**.

438. Inquiry with the City Accounting Office (CAO) and City Human Resource Management Office (CHRMO) disclosed that that the unremitted balance was due to differences between employee records of the City Government and GSIS, these mainly happens with casual employees who renew contracts every six months and were automatically inactive in the GSIS system. Also, the yearly salary adjustments make it hard to calculate exact withholding amounts because of the large number of regular and casual employees.

B. The withheld PhilHealth contributions of Job-Order personnel of the amounting to P9,612,832.94 were not remitted to Philippine Health Insurance Corporation (PHIC).

439. Section 11 (b) of RA No. 7875 as amended by RA Nos. 9241 and 10606 "The National Health Insurance Act of 2013" provides that:

> (b) The monthly premium contributions of employed members shall be remitted by the employer on or before the tenth (10th) calendar day of the month following the applicable month for which the payment is due and applicable.

440. The details of withheld PhilHealth contributions and remittances made are shown below:

Due to PHIC				
	General Fund	**SEF**	**Trust Fund**	**Total**
Beginning Balance	**P7,754,578.96**	**P8,838.00**	**P5,200.00**	**P7,768,616.96**
Less: Remittances from January 2024 for PY Withholding	(815,262.92)	0.00	0.00	(815,262.92)
(Over)/Under remittance, prior years	**6,939,316.04**	**8,838.00**	**5,200.00**	**6,953,354.04**
Add: Total Withholding for CY 2024	19,662,294.62	0.00	2,400.00	19,664,694.62
Less: Total Remittance for CY 2024	(16,988,777.72)	(8,838.00)	(7,600.00)	17,005,215.72
Due to PHIC as of 12/31/2024	**9,612,832.94**	**0.00**	**0.00**	**9,612,832.94**
Less: Remittance by January, 2025*	0.00	0.00	0.00	0.00
(Over)/Under remittance, CY 2024	**P9,612,832.94**	**P0.00**	**P0.00**	**P9,612,832.94**

**The remittances of January 2025 was based on the Report of Check Released (RCR) and LBP E-Payment screenshot submitted by the CTO*

441. As shown above, the under remittance from prior years amounted to P7,768,616.96. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2023. The total withheld

contributions for CY2023 totaled to P19,664,694.62 while the total remittance for the year amounted to P17,005,215, thereby, **increasing the under remittance to P9,612,832.94**.

442. According to CAO, the unremitted PhilHealth contributions pertain to the Job-Order personnel who are employed in the City Government. These outstanding balances have accumulated since July 2022 when the mandatory withholding of their PhilHealth contributions has been enforced by the City. The delay in remittances was due to the awaiting validation of the PhilHealth numbers of the job order personnel. Currently, approximately 300 out of over 1000 Job-Order employees have been received by the City Government.

C. The withheld Pag-Ibig contributions of Job-Order personnel amounting to P3,176,275.12 were not remitted to Home Development Mutual Fund (HDMF).

443. Item E.4. of Home Development Mutual Fund Circular No. 275 on the Implementing Guidelines on Employer Registration, Contribution, and Remittance under RA 9679 provides:

> Employers shall remit the required monthly employer and employee contributions to the nearest Pag-IBIG branch or its authorized collecting banks, together with the duly accomplished Membership Contribution Remittance Form (MCRF), in accordance with the following remittance schedule:
>
> | **First Letter of Employer's Name** | **Due date** |
> |---|---|
> | **A to D** | **10th** to the **14th** day of the month following the period covered |
> | **E to L** | **15th** to the **19th** day of the month following the period covered |
> | **M to Q** | **20th** to the **24th** day of the month following the period covered |
> | **R to Z** | **Numeral 25th** to the **end** of the month following the period covered |

Failure or refusal of the employer to pay or to remit the contributions herein prescribed shall not prejudice the right of the covered member to the benefits under the Fund. Such employer shall be charged a penalty equivalent to 1/10 of 1% per day of delay of the amount due starting on the first day immediately following the due date until the date of full settlement.

444. The details of withheld Pag-Ibig contributions and remittances made are shown below:

Due to HDMF				
	General Fund	**SEF**	**Trust Fund**	**Total**
Beginning Balance	**P2,364,650.21**	**P45,561.80**	**P1,000.00**	**P2,411,212.01**
Less: Remittances from January 2024 for PY Withholding	(1,150,884.04)	(5,000.00)	(1,200.00)	(1,157,084.04)
(Over)/Under remittance, prior years	**1,213,766.17**	**40,561.80**	(200.00)	**1,254,127.97**
Add: Total Withholding for CY 2024	15,728,938.87	60,000.00	2,600.00	15,791,538.87
Less: Total Remittance for CY 2024	(13,765,638.07)	(88,443.16)	(2,400)	(13,856,481.23)
Due to HDMF as of 12/31/2024	**3,177,066.97**	**12,118.64**	**0.00**	**3,189,185.61**
Less: Remittance by January, 2025*	(12,910.49)	0.00	0.00	(12,910.49)
(Over)/Under remittance, CY 2024	**P3,164,156.48**	**P12,118.64**	**P0.00**	**P3,176,275.12**

**The remittances of January 2025 was based on the Report of Check Released (RCR) and LBP E-Payment screenshot submitted by the CTO*

445. As shown in the above table, the under remittance from prior years amounted to P2,411,212.01. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2023. The total withheld contributions for CY2024 totaled to P15,791,538.87 while the total remittance for the year amounted to P13,869,391.72 (composed P13,856,481.23 and P12,910.49 as presented in the table above), thereby, **increasing the under remittance to P3,176,275.12**.

446. The CAO explained that the unremitted Pag-Ibig contributions pertain to the Job-Order personnel who are employed in the City Government. These outstanding balances have accumulated since the implementation of mandatory withholding of their Pag-Ibig contributions commenced on July 2022 by the City Government. They, however, did not provide the reason for its non-remittance.

447. The non-remittance of GSIS, PhilHealth and Pag-Ibig contributions to concerned institutions could deprive the employees and job-order personnel of the City Government from enjoying/availing benefits from these social services by way of disqualification due to incomplete required contributions and/or inactive status. Although, the management assured that the employees and job-orders can still avail of the social benefits by issuing certificate of contributions from the CAO and CHRMO, it causes so much inconvenience on the part of the employees and job-order personnel. Finally, non-remittance may subject the city from unnecessary fines and penalties due to the non-remittance of the withheld mandatory contributions.

D. Under remittance of withholding taxes in the General Fund and Special Education Fund Trust Fund totaling to P8,307,357.63

448. The details of withholding taxes and its remittances made are shown below:

Due to BIR				
	General Fund	**SEF**	**Trust Fund**	**Total**
Beginning Balance	**P6,330,569.00**	(P126,641.04)	P1,104,633.78	P7,308,561.74
Less: Remittances from January 2024 for PY Withholding	(7,248,018.79)	(124,393.63)	(633,474.74)	(8,005,887.16)
(Over)/Under remittance, prior years	**(917,449.79)**	**(251,034.67)**	**471,159.04**	**(697,325.42)**
Add: Total Withholding for CY 2024	60,750,153.32	2,727,239.91	3,799,005.02	67,276,398.25
Less: Total Remittance for CY 2024	(52,752,839.25)	(1,887,585.02)	(3,631,290.93)	(58,271,715.20)
Due to BIR as of 12/31/2024	**7,079,864.28**	**588,620.22**	**638,873.13**	8,307,357.63
Less: Remittance by January, 2025*	0.00	0.00	0.00	0.00

Due to BIR				
	General Fund	**SEF**	**Trust Fund**	**Total**
(Over)/Under remittance, CY 2024	**P7,079,864.28**	**P588,620.22**	**P638,873.13**	**P8,307,357.63**

**The remittances on January 2024 was based on the submitted copy of remittance thru EFPS by the City Treasurer's Office (CTO)*

449. As shown above, the under remittance from prior years amounted to P7,308,561.74. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2023. The total withheld taxes for CY2024 totaled to P67,276,398.25 while the total remittance for the year amounted to P58,271,715.20, thereby, **resulting to an under remittance of P8,307,357.63**.

450. The CAO explained that the under remittances is currently being reconciled with the over remittance recorded under the General Fund. This is so since remittances of withholding tax for all funds are charged against the General Fund. Cash equivalent to withheld taxes from SEF and Trust Funds are then transferred to General Fund to defray the disbursements for the remittances. This practice is being done due to the limitation in the Electronic Filing and Payment System (EFPS). However, as of date, the audit team has not been provided with detailed breakdown of the over and under remittance per fund.

451. The under and over remittances of withholding taxes recorded under the General Fund, Special Education Fund and Trust Fund books indicates lapses in the monitoring and maintenance of the records in the withholding and remittance of taxes.

Recommendations:

452. We restated the prior years' recommendations that the City Accounting Office and City Human Resource Management Office:

a. Reconcile the gaps between the records of LGU and GSIS to determine the list of regular and casual employees that has no records in their system;

b. Regularly follow-up on the validation of the PhilHealth numbers of the job order personnel; and,

c. Immediately remit in full all outstanding withheld GSIS, PhilHealth and Pag-Ibig contributions of the City's employees and job-order personnel.

453. We further recommended that the City Accounting Office immediately:

a. Reconcile its record to determine the nature and necessary details of the under remittance of withholding taxes per fund; and,

b. After reconciliation, make the necessary adjusting entries to correct the balances of Due to BIR account per fund.

Management's Comments:

454. During the exit conference, the management acknowledged the audit observations. As per City Human Resource Management Office, as to the unremitted GSIS premiums, reconciliation of records vis remittances, in partnership with the City Accounting Office, is still on-going due to the volume of active and inactive members tagged under the City. Further, direct coordination with GSIS is conducted to fully reconcile the records within CY 2025.

455. As to the PhilHealth and Pag-Ibig contributions of job order personnel, validations and processing of respective records were already conducted by the CHRMO and close coordination with CAO is continued regarding the remittances thereof.

Auditor's Rejoinder:

455. The Audit Team will be verifying the action taken by the management and the documents supporting thereof.

Non-preparation of GAD Agenda

456. **The City's non-compliance with PCW-DILG-DBM-NEDA JMC Nos. 2013-01 and 2016-01 in its omission of the preparation of a GAD Agenda delays the effective integration of gender issues into their strategic framework for gender mainstreaming and women's empowerment.**

457. Section 4.C.2, paragraph 1 of the Philippine Commission on Women-Department of the Interior and Local Government-Department of Budget and Management-National Economic and Development Authority (PCW-DILG-DBM-NEDA) Joint Memorandum Circular (JMC) No. 2013-01 provides that in consultation with local

functionaries and stakeholders, the Local Government Unit Gender Focal Point System (GFPS) shall set the Gender and Development (GAD) agenda or identify priority gender issues to be addressed by the LGU during the three-year term of its leadership. The GAD agenda shall be the basis for the annual formulation of Project Programs and Activities (PPAs) to be included in the LGU GAD Plan and Budget (GPB).

458. Item 5, paragraph 6 of PCW-DILG-DBM-NEDA JMC No. 2016-01 states that the GFPS Technical Working Group shall review all submitted GPBs and as needed, provide comments or recommendations for revision. The review of GPBs shall focus on the alignment of the GAD plan with the GAD agenda, Magna Carta of Women, Convention on the Elimination of All Forms of Discrimination Against Women and/or other related GAD laws, and the correctness and alignment of the entries in each column of the GPB form, e.g., if the proposed activities respond to the identified gender issue, if the issues are correctly identified or formulated, if there are clear indicators and targets, if the proposed budget is realistic, and if the number of proposed activities are doable within the year.

459. The City successfully prepared the Gender and Development (GAD) Plan and Budget (GPB) for calendar year 2024, however, a significant discrepancy was identified. Specifically, verification revealed the City's non-compliance to develop a comprehensive GAD Agenda for the entire three-year term of the current local officials, despite the GPB's preparation. This omission indicates a potential disconnect between planning and strategic implementation. Further review, through an inquiry with the Gender and Development Focal Point System (GFPS) Secretariat, disclosed that their GAD Agenda is only incorporated in the City’s Executive Legislative Agenda. This suggests a potential gap in capacity and understanding regarding gender mainstreaming principles. Nevertheless, the GAD Office guaranteed that they eill prioritize the preparation of comprehensive GAD Agenda in consonance with the term of office for the local officials to be elected in the CY 2025 midterm elections.

460. Due to deficiencies in GAD Agenda preparation and capacity, the City affected the adequate implementation of priority gender projects, hindering women's empowerment and equality. This may divest LGU clients and employees of fundamental gender rights and poses reputational risks and hinders the LGU's promotion of gender equality.

Recommendation:

461. We recommended and the Management agreed that the GAD Focal Point System shall prepare the GAD Agenda in CY 2025 in accordance with Section 4.C.2, paragraph 1 of PCW-DILG-DBM-NEDA Joint Memorandum Circular (JMC) No. 2013-01 and Item 5, paragraph 6 of PCW-DILG-DBM-NEDA JMC No. 2016-01.

Deficiencies on the grant of financial assistance to individuals

462. **Unclear policy/ guidelines for the grant of financial assistance to individual resulted to unreliable validation of beneficiaries and varying amount of cash assistance granted exposes government funds to possible misuse, while delays in the execution of Memorandum of Agreement with partner hospitals resulted to non-utilization of allocated funds for hospitalization assistance hinders the efficient delivery of social welfare services to intended beneficiaries.**

463. Section 123 of Presidential Decree (PD) 1445 dated June 11, 1978, as amended, defines internal control as *the plan of organization and all the coordinate methods and measures adopted within an organization or agency to safeguard its assets, check the accuracy and reliability of its accounting data, and encourage adherence to prescribed managerial policies.*

464. Section 124 of P.D. 1445 further states that, *"it shall be the direct responsibility of the agency head to install, implement, and monitor a sound system of internal control."*

465. Section 2 of RA No. 11032, also known as the Ease of Doing Business, has declared as the policy of the State *"to promote integrity, accountability, proper management of public affairs and public property as well as to establish effective practices, aimed at efficient turnaround of the delivery of government services...xxx."*

466. It likewise provides that *"the State…xxx…shall take appropriate measure to promote transparency in each agency with regard to the manner of transacting with the public, which shall encompass a program for the adoption of simplified requirements and procedures that will reduce red tape and expedite business and non-business related transaction in the government."*

467. The City Government of Panabo, in the pursuit of its vision, mission and goals, aims the provision of streamlined, expedited, and prompt social services to Panaboans especially to those who are in dire need of financial assistance. As such, for CY 2024, the City continued the implementation of its social welfare services programs as authorized in its current year Annual Budget and Annual Investment Program, to wit:

AIP		**Annual Budget**		
PPA Description	**Office**	**Major Final Output**	**Type of Financial Assistance**	**Appropriation**
Social Welfare and Development Program	CSWDO	Pauper's Burial	1. Pauper's Burial Assistance	P900,000.00
		Senior Citizen and PWD Assistance/ Services	2. Senior Citizen Burial Assistance	7,700,000.00
			3. Veterans Burial Assistance	20,000.00
			4. Centennarian Benefits	90,000.00
			5. Limited Financial Assistance for PWD's Medical Expenses	500,000.00
			6. Bedridden PWD Financial Assistance	500,000.00
Social Protection Program	CSWDO	Limited Financial Assistance	7. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances	3,416,800.00
			8. Limited Financial/Cash Assistance for Individuals (Hospital Bills)	6,000,000.00
			9. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills)	3,000,000.00
			10. Limited Financial Assistance for Exiting 4Ps	250,000.00
		Social Protection Program	11. Donation-Regional Rehabilitation Center for Youth and Bahay Pag-Asa	50,000.00
			12. City Counterpart to Institution (Carmen District Hospital)	700,000.00
			13. City Counterpart to Southern Philippines Medical Center	250,000.00
			14. City Counterpart to Luntiang Paraiso	50,000.00
			15. City Counterpart to Home for the Aged	50,000.00
			16. Emergency Shelter Assistance	200,000.00
			17. Sulong Dunong Program for Youth	900,000.00
Gender and Development Program	CMO-GAD	Not specified	18. Limited Financial Assistance	49,750.00
TOTAL				**P24,626,550.00**

468. As shown above, a total of 18 types of financial assistance with a total appropriation of P24,626,550.00 for CY 2024 are being provided by the City Government of which 17 are under the City Social Welfare and Development

Office (CSWDO) and one (1) is under the Gender and Development Section of City Mayor's Office (CMO-GAD).

469. In CY 2023, an audit observation memorandum (AOM No. 2024-004 dated February 1, 2024) was issued to the Management pertaining the noted weaknesses in the internal control and unclear policy/guidelines for the grant of financial assistance. The said audit observation was also presented in the CY 2023 Annual Audit Report. Audit Query Memorandum (AQM) No. 25-10 (FA-2024) was sent to the management in verification of the agency's related actions. Evaluation of the status of implementation of the audit recommendations thereof showed the following conditions and deficiencies, viz:

A. Internal policy/ guidelines for four (4) types of financial assistance are still not established

470. As presented in the following table, out of the 18 types of financial assistance, nine (9) were already authorized by SP Ordinances while five (5) were under a Memorandum of Agreement with other government agencies. However, four (4) types of financial assistance still do not have a clear established internal policy/ guidelines. Moreover, out of the 18 types, only four (4) were included in the City Government's Citizen's Charter 2nd edition (2021) published in its official website. The other five (5) types, although provided with a Citizen Charter, were not published in the website and were not updated/ aligned with the latest city ordinance re: the grant of financial/medical assistance. Section 6 of RA No. 11032 provides that the details of requirements, procedures, responsible person, amount of fees and processing time for each type of government services offered by the government be included in its Citizen's Charter.

Office	Type of Financial Assistance	Authorization/ Guidelines	Citizen Charter	
CSWDO	1. Pauper's Burial Assistance	City Ordinance No. 02-13, Art. 44	✔	
CSWDO	2. Senior Citizen Burial Assistance	City Ordinance No. 02-13, Art. 46	✔	
	3. Veterans Burial Assistance	City Ordinance No. 02-13, Art. 41		
	4. Centenarian Benefits	City Ordinance No. 07-17	✔	Not published in the website
	5. Limited Financial Assistance for PWD's Medical Expenses	PPA Design CY 2024 - Social Welfare and Development Services and Activities for the Senior Citizen and Person with Disabilities	✔	-do-
	6. Bedridden PWD Financial Assistance	PPA Design CY 2024 - Social Welfare and Development Services and Activities for the Senior Citizen and Person with Disabilities	✔	-do-
	7. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances	City Ordinance No. 07-2024	✔	-do-
	8. Limited Financial/Cash Assistance for Individuals (Hospital Bills)	City Ordinance No. 07-2024	✔	-do-

Office	Type of Financial Assistance	Authorization/ Guidelines	Citizen Charter	
	9. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills)	City Ordinance No. 07-2024		
	10. Limited Financial Assistance for Exiting 4Ps	Social Protection Program Design CY 2024		
	11. Donation-Regional Rehabilitation Center for Youth and Bahay Pag-Asa	MOA signed 10/07/2021		
	12. City Counterpart to Institution (Carmen District Hospital)	MOA signed CY 2021		
	13. City Counterpart to Southern Philippines Medical Center	MOA signed 06/19/2020		
	14. City Counterpart to Luntiang Paraiso	MOA signed 10/13/2021		
	15. City Counterpart to Home for the Aged	MOA signed 11/04/2020		
	16. Emergency Shelter Assistance	City Ordinance No. 22-12	✔	
	17. Sulong Dunong Program for Youth	City Ordinance No. 37-2020	✔	
CMO-GAD	18. Limited Financial Assistance	No established internal policy		

471. Specifically, the four (4) types of financial assistance without clearly established internal policy/ guidelines are as follows:

a. Limited Financial Assistance for PWD's Medical Expenses
b. Bedridden PWD Financial Assistance
c. Limited Financial Assistance for Exiting 4Ps
d. Limited Financial Assistance (CMO-GAD)

472. The authorization for the implementation of Items 1-2 is based from the CSWDO's Program, Projects and Activities (PPA) Design for CY 2024 only. Although the PPA design for the two financial assistance programs granted to PWDs specifies the qualification requirements and criteria, and the corresponding Citizen Charter outlines the procedures—albeit not published on the city government's website—discrepancies were found between these documents regarding the maximum cash assistance granted to beneficiaries, as follows:

Type of Financial Assistance	As per PPA Design	As per Citizen Charter	Actual Amount Granted
Limited Financial Assistance for PWDs Medical Expenses	Maximum of P7,000	Maximum of P3,000	P3,000
Bedridden PWD Financial Assistance	Maximum of P2,000	Maximum of P1,200	P1,200

473. For Item 3, although its implementation is anchored on DSWD-DILG JMC No. 2022-001 and supported with a program design, it is not included in the City's

Citizen's Charter. While the program design specifies the amount to be granted per beneficiary, it does not outline the requirements, qualification criteria, or procedures for the financial assistance grant. Also, the said joint memorandum circular encourages local government units (LGUs) to institutionalize a comprehensive local Social Protection Ordinance. This ordinance would mandate the LGU to provide adequate social protection services, including provisions complementing the Pantawid program and a package of support services for exiting and graduated households as part of the LGU's sustainability plan. However, the comprehensive ordinance is still currently being drafted to serve as the primary guideline and policy for this financial assistance program.

474. On the other hand, for Item 4, the financial assistance granted to women in crisis and victims of gender-based violence under the Gender and Development Office is temporarily suspended pending the creation of a written internal policy and guidelines. As per agency action plan, an executive order was already drafted and submitted to the City Legal Office for review and approval.

475. Section 455 (b) of RA 7160, the city mayor shall exercise general supervision and control over all programs, projects, services, and activities of the city government, and in this connection, shall **determine the guidelines of city policies**.

476. The establishment of clear internal policy/ guidelines is mandated under Section 2 of RA No. 11032 while regular updating thereof is embodied under Section 5 of the same law, to wit:

> Reengineering of Systems and Procedures – All offices and agencies which provide government services are hereby mandated to regularly…xxx…, undergo evaluation and improvement of their transaction systems and procedures and reengineering the same if deemed necessary to reduce bureaucratic red tape and processing time.

477. Ambiguity in the policy/guidelines for the grant of financial assistance and non-inclusion thereof in the Citizen Charter of these four (4) types of financial assistance are not in compliance with Sections 2, 5 and 6 of RA No. 11032. It may lead to several challenges and potential issues such as uncertain criteria for eligibility, inequity, and operational inefficiencies in the grant of financial assistance thereby undermining integrity, accountability, and proper management of public affairs and government funds.

B. Unclear quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary

478. Examination of the transactions showed that the amount granted for the following three (3) types of financial assistance varies per beneficiary, viz:

Type of Financial Assistance	Amount Authorized	Reference	Amount Granted per beneficiary	No. of Beneficiary	Total
Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances	Minimum of P500 Maximum of P3,000 (medicines); Maximum of P5,000 (laboratories)	Ck#1668638 07/19/2024; Ck#1714776 10/21/2024	P400.00	1	P400.00
			500.00	41	20,500.00
			700.00	49	34,300.00
			800.00	63	50,400.00
			900.00	1	900.00
			1,000.00	152	152,000.00
			1,200.00	197	236,400.00
			TOTAL		**P494,900.00**
Emergency Shelter Assistance	P5,000 per family (P10,000 if with casualty)	Summary of Obligations	P3,000.00	50	P150,000.00
			5,000.00	22	110,000.00
			TOTAL		**P260,000.00**
City Counterpart to Institution (Carmen District Hospital)	Not specified	Ck#1653739 10/13/2023	Maximum of P3,000	85	P180,870.00
			TOTAL		**P180,870.00**

479. As shown in the above table, the following conditions are noted:

a. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances

- The maximum amount granted is P1,200.00 only even though the authorized maximum amount for medicines and laboratory expense is P3,000.00 and P5,000.00, respectively.
- One (1) beneficiary was granted P400.00 only even though the authorized minimum amount is P500.00.
- The published Citizen Charter is not updated/aligned with City Ordinance No. 07-2024.
- Absence of quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary. For illustration:

Reference	Amount Granted	Remarks
Ck#1714776 10/21/2024 AR#2024-11-2809	P1,200.00	As per Intake Sheet, "Client is living with her sister. Client is RA 7160". No further details indicated. No medicine prescription or laboratory request attached but the client was granted with P1,200.00
Ck#1714776 10/21/2024 AR#2024-11-2788	P400.00	As per Intake Sheet, client is seeking medical assistance for laboratory request. With medical certificate, medicine prescription and laboratory request costing P1,600.00 but the client was only granted P400.00.

b. Emergency Shelter Assistance
   - The authorized amount for the grant, as indicated in the City Ordinance No. 22-12 is P5,000.00 per family. If with casualty, the amount granted to the family is P10,000.00.
   - As per actual disbursement, families with partially damaged properties received P3,000.00 while those with fully damaged properties received P5,000.00.

c. City Counterpart to Institution (Carmen District Hospital)
   - The Memorandum of Agreement does not specify the maximum amount to be granted per beneficiary.
   - As per actual disbursement, the management limited the amount granted to P3,000.00 per beneficiary.

480. Absence of quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary undermines the fairness and transparency in the implementation of the said programs specially that the determination of the amount granted is left to the discretion of the assigned personnel. There is also a high risk that inequity in the granting of the amount due to political affiliation, familiarity with the assigned personnel, and other biased factors may occur.

C. Non-utilization of appropriation and suspension of the grant of hospitalization assistance due to delay in the execution of Memorandum of Agreements between the City and the partner hospitals

481. In CY 2024, under the Social Protection Program of the CSWDO, one type of cash assistance provided is the "Limited Financial/Cash Assistance for Individuals (Hospital Bills)", with an allocated budget of P6,000,000.00. This assistance was

established through City Ordinance No. 07-2024, titled “Institutionalized Medical Assistance to Individuals in Crisis Situation (AICS) Programs in Panabo City for Bonafide Residents of Panabo City” which was promulgated on April 2, 2024.

482. One of the sub-programs under this ordinance is “Hospital Medical Assistance”, designed to support individuals with hospitalization expenses, such as, cost of medicines, medical treatments, implants, procedures, and doctors’ professional fees. Patients admitted to private or public hospitals in Panabo City who are diagnosed with various diseases or illnesses may qualify for financial assistance, subject to assessment by social workers. Eligibility requires the completion of documentary requirements by the client and that the receiving hospital has an account with the Land Bank of the Philippines and has entered into a Memorandum of Agreement with LGU-Panabo.

483. A review of the program's implementation revealed that the ₱6,000,000.00 allocation was not used during the year. Similarly, in the previous year, the budget for the same financial assistance was not fully utilized. Details are shown below:

Limited Financial/Cash Assistance for Individuals (Hospital Bills)	**CY 2023**	**CY 2024**
Appropriation	P8,000,000.00	P6,000,000.00
Obligation	2,988,790.92	0.00
Unobligated Balance	5,011,209.08	6,000,000.00
% of Non-utilization	62.64%	100.00%

484. The hospitalization assistance was temporarily suspended in response to the audit observation noted in the CY2023 Annual Audit Report of which payments were issued to beneficiaries instead of being directly paid to hospitals, posing a risk of non-payment. As stated in the Agency Action Plan and Status of Implementation (AAPSI), the suspension will remain until a memorandum of agreement is established with local hospitals and the noted program deficiencies and issues are addressed.

485. Management stated that all hospitals in Panabo City were invited to submit a letter of intent for the partnership with the City under the program before entering into a memorandum of agreement. However, due to unresolved issues, the MOA preparation is on hold, keeping the financial assistance suspended in CY 2024.

486. As a result of the foregoing, the intended beneficiaries were deprived from accessing essential health care benefits especially indigent patients and individuals in crisis situation. Consequently, this disruption affects the overall provision of

social welfare services, potentially limiting the reach and effectiveness of assistance programs designed to support vulnerable individuals and communities.

487. Internal control and internal policies are critical components of an organization's governance structure in ensuring that operations are conducted efficiently, financial reporting is accurate and compliance with laws and regulations is maintained. As an integral part of the operations, it is essential that internal controls are embedded into the key processes of the City Government. Particularly, formulation of specific policies and guidelines on the grant of financial assistance should be in placed to ensure consistency and uniformity in implementation of the program to deter possible bias and to promote impartiality, accountability, and transparency in the provision of government services.

Recommendations:

488. We recommended the following course of actions to the Management:

a. To prioritize for legislation the submitted proposed ordinance submitted by the CSWDO to the Sangguniang Panlungsod on the comprehensive and updated guidelines and procedures on the grant of the identified four (4) types of financial assistance with established quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary.

b. CSWDO and GAD Office to ensure that the details of requirements, procedures, responsible person, amount of fees and processing time for each type of financial assistance offered by the city government be included and/or updated in its Citizen's Charter, as well as with those posted in the City's official website.

c. CSWDO and GAD Office to ensure that the minimum and maximum amount of assistance are strictly followed, and minimize, if not eliminate, any discretion on the part of assigned personnel in the determination of the amount to be granted.

d. CSWDO and City Mayor's Office to expedite the execution of Memorandum of Agreement with the public and private hospitals in Panabo City to facilitate the provision of hospitalization assistance to individuals/families in crisis situation.

Management's Comments:

489. As per Management's reply, a Social Protection Ordinance and a Unified AICS Ordinance that consolidates all types of financial assistance to individuals in crisis situation, as well as the Gender and Development Code which authorizes the grant of assistance to victims of gender-based violence, are already requested to the Sangguniang Panlungsod for legislation taking into considerations the concerns noted hereof including the setting of quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary. Accordingly, the Memorandum of Agreement with partner institutions will be revised for the inclusion of said quantifiable parameters for fairness and transparency.

490. A corresponding Citizen Charter outlining the procedures in the grant of financial assistance will also be published upon its approval. For CY 2025, all requirements, qualification criteria and procedures for financial assistance is already integrated in the PPA Design with specified amount to be granted per beneficiary. As to the execution of MOA with partner hospital, follow-up communication was sent for them to provide the LGU with the letter of intent to enter into agreement and partnership for the implementation of the hospitalization assistance program.

Auditor's Rejoinder:

491. The Audit Team shall evaluate the action taken by the management and verify the documents supporting thereof.

Enforcement of Settlement of Accounts

492. **Summary of Suspensions, Disallowances and Charges as at Year-End**

NS/ND/NC	Balance as at Dec. 31, 2023	This Period (Jan. 1 to Dec. 31 2024)		Balance as at Dec. 31, 2024
		NS/ ND/ NC	NSSDC	
Notice of Suspension	P0.00	P0.00	P0.00	P0.00
Notice of Disallowance	7,761,010.61	0.00	1,881,471.96	5,879,538.65
Notice of Charge	0.00	0.00	0.00	0.00
Total	**P7,761,010.61**	**P0.00**	**P1,881,471.96**	**P5,879,538.65**

493. During the year, the Team issued Notice of Settlement of Suspension, Disallowances and Charges amounting to P1,881,471.96, leaving an outstanding balance of P5,879,538.65 as at December 31, 2024. None of the outstanding balance pertains to the present administration.